Tata Chemicals Ltd. (TATACHEM)

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Call: May 2023

May 9, 2023
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM

Dear Sir / Madam,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter ended March 31, 2023

Further to our letter dated April 21, 2023 , we enclose herewith a copy of the transcript of the Analysts/Investors Call on the Audited Standalone and Consolidated Financial Results of Tata Chemicals Limited for the quarter ended March 31, 2023 held on Thursday , May 4, 2023 .

The same is also being made available on the Company’s website at:
https://www.tatachemicals.com/investors/financial- reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
General Counsel & Company Secretary

Encl: as above
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Q4FY23 Earnings Conference Call Transcript
May 04 , 2023
Moderator Ladies and gentlemen , good day and welcome to Tata Chemicals Limited Q4FY23 Earnings Conference Call. Please note that this conference is being recorded. I now hand the conference over to Mr. Gavin Desa from CDR India.
Gavin Desa: Good day everyone and thank you for joining us on Tata Chemicals Q4 and FY23 Earnings Conference Call. We have with us today, Mr. R. Mukundan – Managing Director and CEO, Mr. Zarir Langrana – Executive Director, and Mr. Nand akumar Tirumalai – Chief Financial Officer.
Before we begin, I would like to mention that some of the statements made in today’s discussions may be forward -looking in nature and may involve risks and uncertainties.
I now invite Mr. Mukundan to begin proceedings of the call. Over to you, Mr. Mukundan.
R. Muku ndan : Good day and welcome everyone for our Q4FY23 earnings call. I am joined by my colleagues, Zarir and Nandu for today’s call. I will start the discussion with key operational highlights across business es and geographies following which Nandu will walk through the financial performance for the year.
We have ended the year on a strong note as can be seen from the results. Revenue and profitability have registered healthy growth. And more importantly this has been a healthy growth in all our geographies compare d to previous year.
Performance was largely in line with what we ha d expected in th e soda ash marke t. We expect in the medium term the balance to be continuing in the soda ash market especially because of the continued demand , and start of various plants and operations both in India, around the world. Our focus is on timely execution of our projects and efficient cost management.

Business Geograph y wise
Starting with China , we are very enthuse d by the strong reopening of China. And this has led to tightening of dense ash within China and inventories remain low in the dense ash sector because of high demand from the glass including container glass sector .

U.S. continues to register strong demand from all parts of the world. And as can be seen, the contracts which we had mentioned last time have started taking effect, and would continue to hold in terms of margin expansion in U.S.
UK, as we mentioned last time, will move to fixed margin from Q1 of 23-24 the effect of that fixed margin would be fully seen by Q2. And that will continue to hold good because that protects the Company from gyrations arising out of the risk of gas prices.
Kenya and India serve almost similar markets i.e., Indian market as well as the nearby markets. We expect a few trends to continue. As you know we have taken price corrections during the current quarter and also in November 2022. This was mainly to avoid discounting in the market and make sure our list price was aligned with the pricing levels prevalent in the market. But as we move through the year going forward, while the prices will remain more or less flat, our view is the costs will start to moderat e within India. So, going forward beyond Q2, we do believe that the margin would go back to previous levels.
Just as a reminder, our contribution in this business used to be at the level of the percentage which we had gain ed in the margin structure W e will be able to go back to the old margin gains which we had prior to the high increase in cost, which is trending to moderate now at a constant price.
So, the way we see the markets going forward, it will be that the U.S. would continue to lead in terms of both margins and volume for us. And that is expected to marginally improve and then in fact hold right through the year. UK would moderate to fixed margin. Kenya and India would hold flat at the current margin and start to improve from Q2 once our cost structures come down, because we contract for coal to build our coal stocks to run for about four to six months. And they need to be wound down with the new stocks when the prices are at a lower level.
Our view is that demand patterns are good. Prices are more or less stable, except where there is occasional inventory movement, especially in India where we did see some inventory coming in, because of which the discounting had increased, and we took a pricing correction. But overall, worldwide we continue to see strong demand right across sectors, especially driven by the new solar glass plants which are coming up, including three lines that are expected to come up in India. And additional lines are coming up around the world. Just as a benchmark, a 100 GW of solar capacity needs a million ton of soda ash, and every ton of lithium carbonate needs two tons of soda ash. So, that should give a broad benchmark on the demand growth.
Overall, in terms of demand supply on a global basis, while the demand growth will continue region to region, depending upon where the capacities come on stream, anywhere between 2% to 6% growth , the supply is not going to keep pace with it, even considering at some point, the 1.5 million tons of Inner Mongolian capacity which we have highlighted in the past. While this capacity will come in the interim, I think the key issue one should bear in mind is the fact that this will largely in our view, because of the high logistic cost to get it to port and beyond port, serve the domestic market. And we do believe that with the strong reopening of China, this is going to bode well for this capacity to get absorbed.
We have continued to maintain that the world needs close to about 1.5 to 2 million tons of capacity every year for remaining balanced. And till year FY'27 / FY'28 we don’t see large capacities coming on stream, and hence the market is expected to
 remain either balanced or tight depending on what the current contextual situation is, and i t could vary geography to geography .
The structural el

ements of the business remain good , and we continue to invest in this business. Our capacity of 200,000 ton s in India would come on stream in two steps : we expect 100,000 tons of soda ash to come on stream during the current year and an additional 100,000 ton s to come a year later. In addition to that the salt capacity will also go up in India by about 200,000 ton s, but that will be slowly absorbed in the market at the rate of 100,000 tons per year.
In U.S. we are in the final stages of finishing our debottlenecking details where we intend to add about 400,000 tons of capacity over a period of about 24 to 28 months.
Broadly that is the context of our growth.

In terms of our specialty portfolio, Rallis has had a difficult quarter in terms of cleaning up its balance sheet. With this clean up behind it, I think Rallis is poised for steady and strong year -on-year growth going forward.
In terms of our two other specialty fora ys, as the quantit ies continue to rise, the capacity utilization continue to rise. As far as Cuddalore is concerned, the Board has agreed to add additional capacity of another 10,000 ton s in the short term in addition to the current capacity and also pivot our entire capacity to t yre grade, and we would be focusing on that grade going forward more and more.
With these words, I just wanted to highlight that our strategy continues to be in place. The structural characteristic of the market continue s to be in place , and we remain watchful because of the high interest rate environment and the i mpact on the market conditions. We continue to focus on cost management to ensure that we continue to deliver on the margins and the return profiles to all stakeholders.
Thank You, with this I invite Nandu to give his comments.
N Tirumalai : Good afternoon to all. I will broadly cover in four different sections --. 1) for the quarter for consolidated ; 2) annual performance ; 3) each geography and 4) cash and CAPEX.
On the first part for the quarter for the Company as a whole, we had good financials for the quarter. Our revenues for the quarter grew by 27% over last year’s Q4. The growth was broad -based with all businesses and geographies performing well. EBITDA grew by 47% and stood at Rs. 965 crore for the quarter. The margins expanded by 3% and it was 21.9% for the quarter aided by higher sales and improved cost management.
Coming on to the annual performance for last financial year :
Our revenue stood at Rs. 16,789 crore, almost 33% more than last year. The EBITDA was at Rs. 3,822 crore, 67% more than last year. The margins improved by 4.5% and stood at 23%. As far as the whole year PAT is concerned, the profits for the year was at Rs. 2,452 crore against Rs. 1,400 crore last year, a 75% increase . The PAT margin was at 14.6%. The financial year ended March '23 was perhaps the highest ever across all geographies and for the Company as a whole.

 Moving on to individual businesses, starting with India, the revenue for the quarter grew by 17% year -on-year for the quarter. Growth was largely due to higher revenue on account of better selling price, amidst stable demand. Salt and bicarb business as well performed well. A higher operating leverage result ed in the bette r margins for the quarter. Further, last year in Q4 we had a one -off Rs. 65 crore tax relief which boosted the income last year, which didn’t come in the current year ’s Q4. And hence the PAT numbers for India were lower than last year’s Q4.
In the U.S. we saw good performance for the business the newer contract s, as Mukundan mentioned , entered for the calendar year became effective in January, and those helped us in the quarterly profits that we had a healthy margin for the quarter.
Europe , especially UK, had a good performance on the back of high pricing and volumes. Salt and bicarb registered good growth which, in turn , helped the business to register a revenue growth over last year and PAT grew very well as against a loss last year. The benefit of gas hedging remain ed till March 2023, and we got the benefit of that during the quarter. And we also made a one -off deferred tax asset creation in the quarter, in the UK, which increased the PAT numbers for the UK for the quarter.
Kenya too had good growth over last year because of higher revenues and better profits. And the balance sheet and cash flows were strengthen ed during the year. And Kenya became debt free during the year '23.
Nutra and silica Mukundan just covered in depth , and Rallis, we had a one -off kind of a provision o n inventory and impairment of intangible since its business of Rs. 63 crore during the quarter and that impacted the profits for Rallis for the quarter.
On a consolidated basis we had Rs. 2,398 crore of cash at the end of March 2023 . Net debt was at Rs. 3,898 crore . The consol idated CAPEX for the year was about Rs. 1,6 00 crore. We are very much focused on cash generation and paying off debt over a point of time.
With that I close my comments and I hand it over back to the Moderator to open up for questions. Thank you.
Moderator : The first question is from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar : So, my question is for India business. You are ta lking about margin recovery in Q2 FY'24. So, can you talk about the whatever the raw material lag we have, say power cost, we are buying coal from Indonesia . So, what is the lag effect, how many month lag effect we have for the soda ash business in India, and any other raw material?
R Mukundan : The main reason why we keep that inventory during the first half of the year, because during monsoon the shipping delays happen from Indonesia to India, and to avoid

that we do keep stock. And I said it peaks at about six months and goes down to three months during the year. So, you can take an average of four to five months of inventory which , as prices come down, will take its own time to consume the inventory build -up.

Sumant Kumar : And do you think India business will reach at the whatever the peak margin we had seen in past quarters, can reach that level or that will normalize from there.

 R Mukundan : Regarding t he margin level of India business, India has always been leading in margin s, but the next year will start seeing U.S. to lead the margins massively. The key lever for us in terms of performance going forward next year is going to be that as mention ed before , UK will go to fixed margin structure which means they will be profitable, but they will be on fixed margin ; In Kenya and India, the margins would moderate to normal levels, but they are much higher than what it used to be pre-COVID and we are going to be in that structure, because that is the nature of the current demand supply environment. And U.S. would al so improve and get to the margin levels, we have seen worldwide, but that means there is going to be an expansion in the U.S. margin.

So, the way we see next year panning out is fundamentally that numbers from U.S. will substantially change. Numbers from India more or less will hold around the same levels. And numbers in Kenya and UK would moderate and would stabilize to normal profitable levels, but this will be a higher level that what we use d to see before COVID.

Moderator : The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella : First on the Europe business, this Rs. 225 crore EBITDA for the quarter, is there some gas hedging benefits still within that and if so could you please quantify t hat? And when you are alluding to a fixed margin structure for the year ahead, would it be possible to share with us broadly what sort of EBITDA numbers we should be looking at for the year?

R. Mukundan : Yes, I understand your question. I think just wait f or next quarter result that will show the constant margin numbers ; we would not want to disclose that b ut in terms of deferred tax asset and one -offs I think Nandu can highlight .

N Tirumalai : We spoke about our hedges being in place up to March 2023, the benefit of our lower cost hedge of gas has played out in Q4 FY23 also. And we also had the one -off tax benefit which came at around Rs. 50 crore in the UK , in Q4 FY22 . So, that won’t come back in the next quarter .

R. Mukundan : The Rs. 50 crore is at the PAT level, and it’s a positive impact of tax asset. But in terms of the NG they were in play, but for you to get a peek into the fixed margin we need to wait for Q1 result. And because of the fixed margin structure , firstly , we have an assured volume off take within the UK . So, volumes are not going to be under pressure at all. A nd, second ly, the Company will be consistently profitable.

Abhijit Akella : And the second question I just had was with regard to upcoming supply additions in the world market. So, regarding this Inner Mongolia project, apparently the news from China or at least the claims from China are that they are trying to ramp up this capacity to five million tons within this calendar year itself. So, is that something that you are seeing as we ll.

Also, if you could just help us with regard to other capacity expansions coming up across the globe . I believe there is something in the U.S., so if you could just help us with that over the next one or two years, that would be helpful?

R.Mukundan : Yes in terms of capacity addition I believe I have mention ed already that I think world needs about 1 million to 1.5 million ton s of additional volume every year going forward, and if you add two years it’s going to be 2.5 million tons . And the world needs it to be balanced. The exact month and when it is going to come, we can’t

 predict as of now, and the additions also, I think will be broadly in that range or slightly below that range.

As far as Mongolia is concer ned, our information and our understanding is 1.5 million tons. Over a period of time, they will go to 5 million tons . , The last time the only natural capacity which came up was in Turkey and it came up in tranc hes of 1 or 1.5 million tons, spread over a long time. So, I don’t think it’s going to come in that speed , and if it does , we will keep you posted . Right now, our information is only about 1.5 million tons .

And also, the second element , which is unlike in Turkey where the plant is very close to port, just about 200 kilometers to port , Inner Mongolia has a long distance to travel to any port and get to any export market. So, our view remain s that large amount of displacement it wi ll do with the Chinese domestic market. And it is going to challenge the domestic, synthetic manufacturers more. And they will be under pressure , and some of the weaker units in China may actually close down. And , in fact , they have been pretty much , since the government has been , in China , very forceful in meeting environment targets and shutting down unviable capacity.

So, you are going to find some kind of a reordering there. I cannot predict how, but it is a natural process which will happen. And to give you an example of that natural process, in U.S. where we have 12 million tons of natural capacity prior to this natural capacity coming on s tream in U.S., it was fully synthetic. All the synthetic capacity in U.S. got wiped out over a period of time, because natural capacities came on stream. So, any natural capacity coming in any geography, that immediate geography gets to challenge th e synthetic capacity there.

And as I al so mentioned, synthetic plants generally cannot export for long distance, because the cost of production is high, so they can't bear a large amount of logistic s cost. The competitive position of Chinese synthetic plants is as good as our s ynthetic plant so we do not see any issues at all on competing with them. The issue is going to be that how do they step up and compete internally within China, we need to watch.

So, this whole element of that Inner Mongolia capacity will play it self out but will very differently from the way, Turkey play ed out . Over time, the Turkish capacity had to be absorbed in other markets. The large amount of displacements they did was in Europe and it did find its way to multiple market s. So, we would leave it there and we should watch this very closely.

Our view is thatit may not disturb the world markets as one would expect. Of course, there are always fears that one need to be prepared. We are focused on being cost competitive and being ready for them.

Abhijit Akella : Next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani : Two small clarifications and one question from my side. Just to clarify th ere are no one-off on the India cost that it's just the lag effect of it inventory which will normalize, is that fair?

R.Mukundan : Yes, that is fair . I think it would normalize over a period of the year . Costs will normalize over a period of time, but the market pricing has to be implement ed immediately in line with the expected cost structures which we have.

 Vivek Rajamani : And when you say normalize level of margins, would the first half of Financial '23 be a good benchmark or what should we consider to be a normalize d margins for this India segment ?

R. Mukundan : I think it will be closer to Q3 o r maybe between Q3 and Q4 ; It would be better than Q4 over a period of time, but maybe a tad below Q3.

Vivek Rajamani : If you could just throw some more color with respect to the downstream demand trends that you are seeing . You obviously mention ed demand is healthy, but if you could just give a little bit more color in terms of the segment that's driving demand if you are seeing really good growth or if there is any slowness in any particular segment, some more color on that front would be really helpful.

R. Mukundan : Growth across segments and across categories is fairly good. And the growth drivers as I mentioned are all sustainability drivers, which has shift ed to glass , more due to solar glass and container glass, where sustainability is playing a big role. And als o for the lithium carbonate.

Let me just say the small pocket of weakness which we do see in some markets is the light ash demand . And I think this is about the producers ' portfolio not keeping pace with the demand patterns, and some of us had to shift the product portfolio towards more dense ash and less light ash. But that's the only element which we see in pockets and in certain markets where synthetic plants exists mainly i n China and partly in India. But light ash does not travel, because the port authorities don't tend to give approval for light ash unloading, because the material tends to disperse a lot in the air and very difficult to get it across to multiple port s except as bag ged cargo.

Moderator : The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

Arjun Khanna : The first question is in terms of the CAPEX, so you did allude to or you did explicitly say you are looking at an expansion in the U.S. market debottlenecking, have we talked about what would be the CAPEX for the same, how much would that cost?

R. Mukundan : Yes, we will come with the exact numbers in the next quarter, because by next quarter we would be very clear about the contours of that. We are conducting detailed engineering and it's almost in the final le g. The India capacity also we will move from the current to one million tons which would be completed , and once the current expansion finish es, India capacity will move to 1.3 million tons, another 300,000 tons is being added in Mithapur . So, that adds up to about 700,000 tons and we are also looking at other geographies where we can add another 300,000 ton s to take additional million ton s overall.

So, in India capacity addition of 200,000 ton s will be coming on stream in the near
term so that we go to a million tons, and then the capacity will increase to 1.3 million
tons in the next phase , where detailed engineering work is going on, which should
be completed by this quarter , and we will be able to give exact specific numbers.
And as far as the U.S. is concerned, the 400,000 ton s there also detailed engineering
will get completed and we will be able to give exact numbers.
Arjun Khanna : Secondly in terms of the amount of debt so we are down to a 770 million gross debt
and we also saw the interest cost are increasing globally. How do you anticipate this

Page 8 of 14 debt position to play out going forward given that we have a heavy CAPEX, do you
antici pate the net debt from around Rs. 4,000 odd crore to come down going ahead?
R. Mukundan : This year our plan was to, as we said last year , repay about $100 million, and, in
fact, we have done more than that across all geographies put together; about $80
million in U.S. and about $40 in Kenya and then about £20 million in UK. So, we have
done more than we had planned. This year, our plan is to do anywhere between
$200 million to $250 million of pay down of debt.
Arjun Khanna : And this would obviously be after the CAPEXs that we have envisaged for this year?
R. Mukundan : Yes this is including all this ; we are not having any borrowing or equity plan s to do
the rest.
Moderator : The next question is from the line of S. Ramesh from Nirmal Bang Institutional
Equities.
S Ramesh : If you look at the U.S. market the way the volumes and margins are performing is
there an expansion in the U.S. domestic market. And secondly we were to
understand that there is competitive pressure in exports to LATAM and Asia because
most of the U.S. prod ucers are out of ANSAC . So, is that concern abating based on
the pricing power you see, so how do you rate the competitive landscape in the U.S.
for both U.S. market as well as for exports from U.S.
R. Mukundan : I think U.S. tends to supply mainly into the North America and Central America and
when we say U.S. market, we actually say, Canada, U.S. and Mexico as one market
which is the domestic market. And the LATAM and the Far East are where the
material goes and some to Southeast Asia. So, as far as our ex it from A NSAC is
concerned there are no pressures as we are fully sold out. Our exit also in terms of
quantities would wind down over a period of time. This year, our own volumes will
be about one -third of the total export volume out of the U.S. and it will go up in a
phase d manner over three years , and we were able to place all our volumes with
customers through contracting with them all t he way through. We do not see any
issues in markets for the dense ash out of U.S.
S Ramesh : If you see the U.S. realizations based on the 4th Quarter results, that is going to be
sustainable over the rest of the current year because last year you got
accommodation from your customers when your cost were going up. So, given that
there is deflation across the various cost items, would there be so me request from
customers asking you to reduce the price during the current contract period.
R. Mukundan : There is no such move. And you would see Quarter 1 results when they are
announced , Quarter 2 when the numbers are announced ; they are pretty much intact
and we have no reason to state anything otherwise.
Moderator : The next question is from the line of Saurabh Jain from HSBC.
Saurabh Jain : I wanted to know whether the U.S. contracts, is it possib le for you to highlight what
is the percentage increase from last year or if you can give us the amount of the price
that we negotiated to?
R.Mukundan : It’s reflected in the results, and in the next quarter also it will reflect , so if you track
that, you will know the increase.

Page 9 of 14 Saurabh Jain : I know but t he thing is that you know it is a mix of both exports and the domestic
prices --
R. Mukundan : We only give blended rates and both have gone up. Last year also it was a blended
number, but the overall blended number has gone up and it will continue to, this
quarter is reflective of that, next quarter will be even more reflective of that.
Saurabh Jain : And additionally on the Chin a capacity, what kind of reserves would be there in
China, wanted to get a sense of what can be the scale of them being able to continue
to supply the markets for the next few years?
R.Mukundan : Generally, when anybody opens up a natural mine, they look at around 20-year mine
life. It’s very rare anyone opens up a mine with less than 15-year mine life.
Saurabh Jain : So, it will at least be a 20 years to 25 years kind of reserve. But can it reach to a
scale of like what U.S. has, any info on that ?
R. Mukundan : The biggest world deposit is in U.S. and there are multiple be lts there, and U.S.
reserves can last over thousand years.
Saurabh Jain : So, China still we don’t, we ar e not in a position to know that whether these reserves

can last for next 50 odd years or anything of that sort ?

R. Mukundan : Certainly, I can confirm that it is 20 to 25 years it will last . The Turkey is the one which probably will , has a lesser reserve life than that.

Moderator : The next question is from the line of Rohit Nagjraj from Centrum Broking Limited.

Rohit Nagraj : First question is now since the European Energy issues a re normalizing whether incremental capacities are coming , I mean people who are on sidelines are operating at lower rates , have they come back completely and will that have any impact on the short -term demand supply and pricing ?

R. Mukundan : Actually, most of our supplies is within island of UK. And I think we have generally not seen major material land except from Turkey, and we do not see any major change in that position. And we have not seen anything to say that we will have any issues with the quantities we have there. And we are fully sold out through contracts . And the fixed contract also ensures that both of us the Company and our customers are well protect ed.

Rohit Nagraj : Second question is on natural soda ash capacity, so from an incremental capacity perspective what is the dynamics and timelines that are usually followed, maybe 0.5 million tons capac ity of synthetic and natural, how much time does it take? And again, a similar question from Chinese perspective, so currently we have said that there is 1 to 1.5 million tons additional capacity, if they were to take it to five million tons, what would be the constraints or what will be the key drivers for the same. And within what period of time they can get to that ?

R. Mukundan : See normally a synthetic plant would take anywhere between, I would say two and half years to three years to put up and stabilize ; sometimes a little longer depending on what is the level of environment clearance needed, that usually varies from country to country, from one to two years. So, from the time one gets a go ahead,

 usually it ends up almost being four to fiv e years in terms of execution time. If it is a debottlenecking where one does not need major environment clearance, it can be done in about 24 months at best and most companies finish it in 36 months. Every incremental capacity needs a fresh environment process to be done by most players, because that's how the environment laws run in most countries and that's what we are aware of. So, this broadly should give you the ti meline of most of the projects.

Moderator : The next question is from the line of Riya Mehta from Aequitas Investments.

Riya Mehta : My first question is in regard to India demand, so I was just reading a couple of article where detergent demands on a YoY basis has not grown significantly and for India per se as a geography, the contribution from glass and lithium ion has been lesser. So, what incrementally you think that will drive demand in India?

R. Mukundan : So, detergent, you are right , which is why I mentioned that light ash is bit soft in some parts, especially India. And we do hope that it corrects over a period of time. But the real growth in India is going to come from increased glass lines which are getting invest ments ; this year we see in the next two quarters three new glass lines coming , and annually there are multiple additions being planned. As India industrializes one would find that the key players move to container glass and flat glass and that would continue to be the case in India. And also, the solar glass capacities are coming and that's another addition which we mentioned through PLI schemes and other schemes that those capacities also wi ll get established.

Riya Mehta : And glass as a percentage for India demand how much it would be and what would be the kind of growth that we are --?

R. Mukundan : About 45% would be the glass demand in India , and it is a faster growing sector close to about 6% to 8% .

Riya Mehta : So, last quarter basically we had seen that the imports from China had increase d to India, and hence we had taken price cut. So, how is the imports from China in this current quarter and going forward in the month of April and May? And secondly would be, since China would be going towards natural mining will th e synthetic player be more motivated to exports the soda ash to India?

R. Mukundan : Yes, we have seen normalization or some toning down of the imports coming in, overall basis , Consignments have landed from U.S., from Turkey as well as from China, it is not just one place where it's landed in India in the past. We do believe that this would normalize. As far as China is concerned the broad issue what synthetic play does , is that those who are competitive and large -scale plants will continue to export from synthetic plants. But it will put pressure on the domestic smaller plants and weaker players, domestically. So, it's going to be a combination of putting pressure on the domestic players. Some synthetic players who may have the margin and cost competitiveness to export, will export. But those who can't will face increasing pressure to run their operations with difficulty .

Moderator : Next question is from the line of Nitesh Dhoot from Prabhudas Lilladher.

Nitesh Dhoot : My question is Solvay results declar ed today, they highlighted lower flat glass demand, particularly in Europe. So, just wanted to know how much of our soda ash volumes go into flat glass, typically? And are we also experiencing any slowdown there and what sort of --?

 R. Mukundan : In UK we do not have flat glass lines at all , where we sell. Our product sells only in the UK . We don't export out of the UK . And it is mainly to container glass and we are fully sold out. And there is no slowdown in container glass demand. And we have no exposure to Continental Europe.
Nitesh Dhoot : So, I was asking for flat glass, so --
R. Mukundan : Correct, that's right, the flat glass plants are all in Continental Europe. In UK it's mainly container glass plants and we sell only to them.
Nitesh Dhoot : My second question is recently South Africa rejected our applications to set aside this 40% anti -dumping duty, that is imposed on U.S. imports.
R. Mukundan : It has no impact on us, in the past we had a preferential duty of 7% , we were trying to get the preferential duty, it didn't come, so it has got no impact. So, we would have gained little bit had they not struck it down .
Moderator : The next question is from the line of Saket Kapoor from Kapoor & Company.
Saket Kapoor : Firstly, about the employee cost, if you could explain the increase in the employee cost, QonQ, both on the standalone numbers as well as for the consolidated numbers . And as a percentage of sales also going ahead what would be the number?
R. Mukundan : So, in the standalone, actually the number is some actuarial adjustments we had done which usually happen s in the Quarter 4 and in the international operations , there is no major change in headcount . The second one is, in terms of international operations there are some translation effect with respect to the exchange and some impact of rupee falling in addition to actuarial adjustments internationally.
Saket Kapoor : And they will remain in this vicinity only 10% of sales have generally been --?
R. Mukundan : We do not see any major change. In terms of increases also which we have, they are all in keeping with the local trend , and the increase has been because of high inflation, higher than what we would normally give. But we do make that up over a period of time through productivity increase and control on headcount.
Saket Kapoor : On the Bi-carb part, do we see any flattening of demand from the bi-carb front? And also flu gas as an opportunity, what's the understanding of on the same , their requirement --?
R.Mukundan : No that is a steadily growing sector, it continues to grow at 5% to 7% , so we do not see any issue on that front. And it feeds into multiple sectors, including animal seed, poultry, human food applications and pharmaceutical application, and they continue to grow.
Moderator : The next question is from the line of Mithil Bhuva from Unlisted India.
Mithil Bhuva : I had a couple of questions relating to TCNA, so we have spent around $1.2 billion to acquire TCNA over a period of time, like 2008 we spent $1 billion and we have had a free cash flow of around like $50 million to $100 million, so getting a subpar return on equity of 5% to 10% . So, going ahead if we want some 15% kind of return on equity on the TCNA so can we expect like $180 million kind of free cash flow, isn't it fair for a shareholder to expect that?

 R. Mukundan : Sorry, I will not comment specifically, but you watch for the results in Q1, Q2, Q3, we will be able to add those numbers up.
Mithil Bhuva : But like over the period of last 15 years we have not made that kind of returns. So, isn't it same in the case of even Tata Chemicals Europe, we make up for that period actually? Given that now we are going to fixed kind of profits, so.
R. Mukundan : No, Eur ope is a very different situation, as we are moving more and more to value - added , you will find by the year end pharmaceutical salt capacity will come on stream . And so next year we will have pharma salt which we will be bringing into market , a higher margin product. And in U.S. our competitive position is fa irly strong. And the margin and earnings profile is very good. And it will pay down its debt and continue to give us adequate return on capital. We would not want to make a forward - looking specific statement on the U.S.
Moderator : The next question is from the line of Jainam Doshi from Kriis Portfolio.
Jainam Doshi : Just two questions, first one is how are we seeing the lithium bicarbonate demand shaping up. And the second one is, whether we are planning to foray into any bromine -based specialty chemicals?
R. Mukundan : So, on the demand, as I mentioned every lithium carbonate unit needs about for every ton, two tons of soda ash and that demand is good. And we have good contracts in South America with respect to that. In terms of bromine, we have a small bromine capacity and we continue to work on options to potentially increase the extraction. And if there is anything specific were to happen in the bromine area, we will come back .

Moderator : The next question is from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella : Just two question s from my side , one is the U.S. domestic volumes seem to have decline quite sharply this quarter down to about 237,000 tons. What might be the reason for that?
R. Mukundan : We are basically exporting more and there is nothing specific to it . We do not have any issues. We are producing and moving the all the material s. And it will be just that under the export contracts , we would have exported more during the quarter.
Abhijit Akella : And second thing was just with regard to this tax benefit in the UK, if you could please just help us understand exactly what has happened there and what we should expect as a normalized tax rate going forward for the UK and for the overall Company ?
N Tirumalai : So, in UK we had this deferred tax asset ; what it means is that UK has made losses for many years' time . And there is a tax benefit on account of that. Now whenever you foresee that yo u are going to make a profit going forward based upon some assumptions and having made profit in the current year as per accounting rules, one has to make a deferred tax provision , and one has to create a n asset which means there is a possibility of the past losses being consumed going forward on the tax point of view.
So, we made a one -time kind of a DTA in March quarter, which brings asset, which means it's a profit. It's a one -time kind of event for the quarter, accounting impact, there is no cash impact there. So, going forward what tax would come, will depend upon how much losses we have carry forward. So, we expect to consume those

 losses for some time. So, that's where we stand Abhijit. But this is a one -time which came in Q4, which won't repeat.
Moderator : The next question is from the line of S Ramesh from Nirmal Bang.
S Ramesh : So, in response to the question about the slowdown in flat glass you were saying , in the UK it's only container glass, but is there a risk of the capacity of soda ash, because both of them are using dense soda ash, right so is there a difference in the grade of soda ash, to that extent your market for container glass is protected or is there some fungibility in terms of the soda ash between flat glass in Europe and in India . Is ther e any risk to some substitution of the competition from UK soda ash capacity release if there is a slowdown in flat glass ?
R.Mukundan : See they are fungible; you can move the flat glass this dense soda ash to both flat glass as well as container glass. You are absolutely right on that. I had mention ed that we are contracted out fully for the full year. And we see no issues with respect to our customers and they continue to produce well and they continue to consume well. We have not seen any demand slowdown as far as our customer base is concerned in the UK .
Moderator : Next question is from the line of Sumant Kumar from Motilal Oswal.
Suman t Kumar : In U.S. business, you said, this quarter we had $91 U.S. dollar EBITDA per ton, and you said it is going to further improve from here also. So, considering this and strong balance sheet why we are not aggressive for soda ash exp ansion in U.S?
R.Mukundan : No, U.S. we are expanding , I think we are in the final stages of , as I mentioned , detailed engineering to go ahead with the project . And the project is approximately 400,000 tons of capacity addition there .
Sumant Kumar : So, this 400,000 ton is I think a t oo conservative. And going by your strong balance sheet and the kind of margin we are making, can we not 40% to 50% kind of capacity expansion in U.S. for next three, four years?
R. Mukundan : See, as a vision, our vision is to lead in this market. We have already announced we will be aiming to be the leading player. And as a leading player, you know the capacity of where the leading players are, we will be ahead of that. But we can only announce what we have taken to the Board and what the Board is supporting us to go ahead with, that's the vision, vision is to be numbe r one, in all the businesses we are in, including soda ash, bicarbonate, salt and silica. These are four products we have identified for the leadership position.
Moderator : Thank you very much. I now hand the conference over to the management for closing comments.
R.Mukundan : Thank you all for attending this conference call. While this quarter has been good, we continue to focus on executing our strategy. The market conditions while they remain robust there are also words of caution because the interest rate has r isen sharply, while it may have peaked in this quarter , we anticipate interest rate to stabilize for some time before they co me down. We are preparing for that interim period so that we remain focused on delivery with cost competitiveness, and our focus is to remain competitive and support our customers. At the same time, our growth plans are robust and they are moving in a phased, in a structured manner to execute and participate in the growth in this sector.

 And lastly, we do believe that we need to continue to work our way through improving our balance sheet and move towards a reasonable level of debt and hope fully the curre nt trend continues. We would continue to make sure that we go to net debt levels which are almost zero in a near term of three to five years. This year as we committed, we will be reducing our debt further. And that would also help us to weather an y disturbances, if they do occur , by reducing interest burden on the Company . So, overall, we have a robust frame in terms of expansion, growth, also improving our fitness and continue to serve our customers in a competitive manner. Thank you all for this. And see you next quarter. And have a safe year ahead. Thank you.

Call: Aug 2023

August 16, 202 3
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM
Dear Sir / Madam,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter ended June 30, 2023
Further to our letter s dated July 25, 2023 and August 2, 2023 , we enclose herewith a copy of the transcript of the Analysts/Investors Call on the Audited Standalone and Unaudited Consolidated Financial Results of Tata Chemicals Limited for the quarter ended June 30, 2023 held on Tuesday , August 8, 2023.
The same is also being made available on the Company's website at: https://www.tatachemicals.com/investors/financial- reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above

Tata Chemicals Limited
Q1FY24 Earnings Conference Call Transcript
August 08 , 2023

Moderator : Ladies and gentlemen , good day and welcome to Tata Chemicals Limited Q1FY24 Earnings Conference Call.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you , and over to you , sir.
Gavin Desa: Thank you Zico. Good day everyone and thank you for joining us on Tata Chemicals Q1FY24 Earnings Conference Call.
We have with us today , Mr. R. Mukundan – the Managing Director and CEO, Mr. Zarir Langrana – Executive Director, and Mr. Nandakumar Tirumalai – the Chief Financial Officer.
Before we begin, I would like to mention that some of the statements made in today's discussions may be forward -looking in nature and may involve risks and uncertainties.
I now invite Mr. Mukundan to begin proceedings of the call. Over to you, Mr. Mukundan.
R. Mukundan: Thanks, Gavin. Good morning and welcome everyone to our Quarter 1 FY24 Earnings Call . I am joined by my colleague Nandu and Zarir for today's call .
I will start the discussion with key operational highlights across business geographies , following which Nandu will walk you through our financial performance for the quarter .

Tata Chemicals at consolidated level has had a higher revenue on account of better realization partly impacted by lower volumes . I will come to that in a minute .

There has also been EBITDA growth driven by higher realization . There is an impact on PAT and PBT due to higher interest cost and higher tax outflow because many of our entities are net positive now and they don't have the tax shield which they had earlier, and hence impact in terms of tax calculation, especially Magadi and U.S ., which are now on a higher tax rate .

I will now give an update on Soda Ash demand supply situation :

As you would all know , the China net supply increase in the market partly is driven by post -COVID slowdown and lower than expected demand in China . We expected a pretty strong recovery, which has not happened , and this slowdown has created a surplus in the market . Added to that , Inner Mongolia cap acity , which came on stream maybe about five to six months sooner than expected . This was anticipated , but it came earlier , and that coupled with the lower demand created a demand supply ease in the market .

For the rest of the market , demand was as planned , and more or less stable , and India also remained stable in general , mainly driven by the sustainability demand coming off glass sector . The domestic supplies in India were largely impacted due to surging imports, which almost doubled , and accordin gly Tata Chemicals had to take appropriate steps in the marketplace to ensure its supplies to customers were at the most competitive levels .

Coupled with this, in some parts of the world, there was some delay in purchase decisions which was on the expectation of management of inventory levels which had gone up due to supply chain constraints in the past, but now eased, and some postponement of purchase decisions with expectation of a lower pricing over a period of time. Our overall demand situation remains robust, which is mainly driven by the growth in the key markets, driven by energy transition, as highlighted before, and it will continue to be so .

I have talked about the near -term challenge , but in the medium and long -term , it remains still the same as per the commentary we had given last time .

Moving on to Tata Chemicals' market position :

We have our net sales in India of about 180 ,000 tons . This includes India production and Magadi imports into India as compared to 185 ,000 tons last year , which is almost 96 % of last year .

This was despite the impact of 10 days on dispatches in Mithapur due to the Biparjoy Cyclone , because of which there was some slowdown in availability of rakes and trucks . For about three to four days the district administration had stopped all road and rail movements due to safety issues .

However , we did manage to get to 96 % of combin ed Tata Chemicals sales in India as compared to last year .

Our focus continues to ensure our customers are serviced and we maintain our position with customers through engagement with them and continue to maintain steady margins with focus on cost .

In addition to Soda Ash business in India , the rest of the other parts of the world , especially UK and U.S . perform ed to our plan . Magadi was partly impacted by certain supply chain issues which impacted its sales into Southeast Asia, and also there was an increased pressure of Chinese material availability in that market . That position is getting corrected as we speak .

Moving on to Rallis , it overcame a challenging period and was able to restrict the impact on its EBITDA due to better product mix , OpEx control and pricing action , and that has been visible in the results declare d. Relative to the marketplace , they have performed to plan .

To conclude :

We expect the market to remain in the range bound situation with the demand supply situation easing in the short -term and over a medi um-term , our overall target in terms of positive changes happening on the demand side , will lead to balanced demand supply situation , hence medium to long -term re

mains our base
case .

With this, I woul d like to add that we remain committed to our expansion plan , which have already been approved by the Board of approximately 300 ,000 tons in India , about 250 ,000 tons in Kenya , and about 400 ,000 tons in U.S ., about a million ton all worldwide capacities put together .

In addition , we are scaling up our salt capacities in India and in the UK, by the end of this year , our pharmaceutical grade salt plant will be operational . We remain focused on managing our margins and cost structures , ensuring debt repayment continues and strengthen ing the cash flows . We continue to de -leverage and repa y our debt . This quarter we repa id about $95 million . In U.S., we repaid about $45 million , and in Singapore about $50 million .
So, we remain committed to ensuring a very balanced approach to marketplace and a very conservative approach to our balance sheet and a very robust approach to our growth plans and we remain on track as we speak .
With this, I hand over the flo or to Nandakumar who wi ll walk you through our financial performance .
N. Tirumalai: Thank you, Mukundan, and g ood morning to everyone .
Let me take you through the performance after which we will go to the Q&A.
On the headline numbers first:

For the quarter , our revenues for the quarter was at Rs.4,218 crore as against Rs.3,995 crore last year's Q1 higher by 6%. Revenue increase was driven by price increase partly impact ed by lower volumes across geographies and contributions being impacted mainly in India and UK.
EBITDA for the quarter was at Rs.1,043 crore as against Rs. 1,015 crore last year , and this , in fact , is the all -time high EBITDA ever . The EBITDA margins were lower by 0.7 % owing to pricing drops in India and lower volumes . PAT for the quarter was at Rs.578 crore lower by 10% compared to last year's Q1.
Moving on to each business , starting with India :
Revenue for the quarter was Rs.1,135 crore . Soda Ash volumes were do wn by 8%. The prices were lower owing to the price drops taken during the quarter . Salt business continue to perform well and good volumes came there . Bicarb volumes were a bit down compared to last year's Q1.
Moving to U.S .:
It delivered yet another very good quarter with revenues and profitability registering healthy growth over last year's Q1. The business continues to benefit from better prices following the newer contracts entered during the beginning of the calendar year .
UK business performed well with revenues up by 22% as compared to last year's Q1. EBITDA was 17 % for the quarter .
As far as Kenya is concerned , both volumes and prices saw softening , which in turn impacted margins and profits for the quarter .
As far as Silica and Nutra is concerned , both the businesses have growth map in front of them . With time and investment , we expect both the segments to clock in good numbers going forward .
Moving on to Rallis :
Q1 was one of the most challenging periods for t he agrochemical industry . Crop care business has been affected by high market inventories , steep price drops and the late monsoon . Although revenues for Q1 were lower compared to Q1 of last year , margins were largely maintained , through better product mix and good pricing .
The company's long -term strategy remains unchanged , focused on increasing manufacturing capacities and product portfolio expansion and widening market reach .

Our cash at a consol idated level was Rs. 1,544 crore at the end of June '23. capex for the quarter was Rs.423 crore and net debt was Rs.4,329 crore .
With that, I close my comments and hand over back to Moderator to open for the Q&A session.
Moderator: Thank you very much . We will now begin the question -and-answer session . Our first question is from the line of Saurabh Jain from HSBC .
Saurabh Jain: My question is that we

have seen a decline in volumes on Soda Ash for all the geograph ies. While India you alluded to there was an impact of the cyclone, but the rest of the geographies, is the impact more because of softness in demand as such in industry or is it more because of any loss to market share to the new capacities that have been coming online ? And then , what is your outlook on the volume recovery from here o n?
R. Mukundan: So, let me address this broadly . In India , it is a combination of the cyclone and because of precautionary operational measures taken by us at the plant due to cyclone . Up to April and May , we were pretty much on track . It was towards the

end of June where we saw a bigger dip in the numbers .
As far as Kenya is concerned , our biggest shift has come in two markets . One in Thailand , the other one in South Africa . In Thailand there is a pressure felt from the Chinese imports and large quantities landing up there . So, while we had to continue to serve our contracted customers , we also ensured that we got into fresh contracts , so that going forward we had volumes which we could push in that market and engage with customers .
In South Africa , there was a large amount of consignment which had landed in the market and hence delayed some of our customer orders . So, it is more a temporary phenomenon as far as Magadi is concerned , which should catch up over a period of time .
As far as the U.S . is concerned , there w ere no market issues . It was more related to some pressures we did feel at the beginning of the year , which was a spillover of the last quarter where there were supply chain issues with respect to the railroad movement and that has now mor e or less corrected .
In fact, there has been a change in the leadership and management , and they have assured they will fix the railroad issues , and we are seeing improvement in the situation . It is not fully resolved , but it is pretty muc h on way to getting resolved as far as the rail movement is concerned .
So, broadly , in Quarter 1 , we would not attribute it largely to the market . Our commentary on the market is going forward , and when I said short term , I think that period could range between 9 to 12 months on one hand to stretching as much as 15 to 18 months . We have to see how China demand improves . The overhang of

the real estate sector pressures which are being transmitted to the flat glass industry are creating undue pressure on the market , especially with respect to supplies coming on . So, there is a mismatch there , which , if we put in our demand supply model , continues for anywhere between a year to year -and-a-half, after which it sort of equates again . So, that's the broad market and our operation issues.
Saurabh Jain: That is helpful , my second question would be that we are seeing some softness that is pretty evident in the Soda Ash pricing . Are you seeing any pric ing adjustments in the U.S . exports business ? And also, you lock in the contracts for the domestic part of the U .S. business , but any sort of renegotiations that can happen in those contracts as well for the rest of the year ? Any insight would be really helpful .
R. Mukundan: Where it is contracted , if the erosion is even more sharp than what we see , customers will have to get accommodated . I see no reason why we would not do so. At this point of time , the domestic contracts , especially in these markets, are still holding . There has been some impact because of some furnace closures because of the Bud Light controversy and that has led to some container glass impact wherein two or three furnaces had to be closed . This is one of the largest selling beer in the U.S . other than this, we haven't seen any major issue .
On the export market, certainly , we move pretty close to the marketplace , especially in Southeast Asia it is a quarterly adjustment . So,

you would continue to
see us reset on the price sid e, partly supported by the cost which is easing along the way .
In the UK , it is more or less contracted . The open positions for the UK is more about quarter four . So, we will have to wait and see how the situation moves , especially in the local context of Europe , which is a very different context where we do not see the commentary very similar to the rest of the place , and there it is more about the European market situation where our worry is not so much on the market side but more on the energy side which in the past had a very good gas storage .
So, the gas prices have been benign in the UK , but we are very watchful . We have gone ahead and done our hedging on energy more or less so that we don't get impacted during the year , but we will wait and watch and see how it unfolds in terms of energy supplies there .
Moderator: Our next question is from the line of Arjun Khanna from Kotak Mutual Fund.
Arjun Khanna: Sir, the first one in terms of the CAPEX , you have mentioned the next phase . Have we decided amount , what would be the CAPEX amount for this 1 million expansion ?
R. Muku ndan: Yes. in India it is already approved , and it is already underway . It is our last capex round finished at about Rs.2,900. Then this CAPEX round will finish at about Rs.2,000 crore [corrected post call] and of which Rs.1,300 crore is on soda a sh and the balance for other products .

That will give us about 0.3 million tons of soda ash capacity in addition to what we already have .

As far as Kenya is concerned , it is not going to be a major capex – it is around $20 million to $25 million and pretty much it is de-bottlenecking . In U.S. it is closer to about $80 million to $100 million with the large amount of element being on process improvement and some de -bott lenecking.
Arjun Khanna: So, just to understand this , you a re saying U.S . 100 million for 300 ,000 capacity ?
R. Mukundan: Yes, it is still for 400 ,000, it is still being worked out . It could be up or down by 20 %. Detailed engineering is in progress and largely depends on whether we choose to go ahead with the switch to gas fully or not . That decision is yet to be made , but otherwise , our other elements are more or less in place including the addition of 13th calciner and the Trona purification process , which are being undertaken .
Arjun Khanna: The second question is , sir, when I look at the standalone , I see we did an EBIT loss of almost Rs.22 crore on Rs.51 crore of revenue. Could you help us understand why such a large EBIT loss given your commentary , you all spoke of the specialty side of it improving ?
R. Mukundan: On a standalone basis , it is more related to our Silica business . We have two businesses . Silica business is performed to our plan . It, in fact , had a positive EBITDA number , but I think the issue we faced was on the nutraceutical , the fructo - oligosaccharide fermentation platform where the unit had produced in anticipation of an export order last quarter .
Since that order got delayed , we decided to slow down production and keep running the unit . In fact, the unit restarted production only about 30 days back and has been running at 50 % capacity because their stocks are still available . Until that order comes through, and the current stocks are shipped , we do not want to increase production . It's a manageme nt decision .
Moderator: Our next question is from the line of Rohit Nagraj from Centrum Broking.
Rohit Nagraj: Sir, first question is on China . So, China coming back , has it changed in terms of the movement of soda ash across different geographies ? And will it likely to stay till this new capacity comes in phases over the next few years ?
R. Mukundan: It is a model which we have to work out and the way it will work in the short -term will be different f

rom the medium -term . In the short -term , certainly , the exporters who a re manufacturers close to coast will begin to move the material out of China which is what is happening .
Our view is that the prices have hit bottom in terms of the cash break -even numbers , and we may see a reflection of logistic s cost improvement being passed on to customers . However , we do not see a bigger shift out of China in terms of

pricing , but volumes will certainly move out because the natural ash will tend to displace synthetic ash.
In the medium -term , what will likely happen is how it unfolded in U.S . In U.S., there was a combination of synthetic and natural plants , but as natural plants came on stream , it led to closure of synthetic plants domestically . So, we do believe that certain uncom petitive capacities which are there within China will be challenged , but that process will take time . It is not going to be immediate and will unfold over a period of time , and we will have to keep watching . It will also be in combination of when the demand supply situation balances out . At that point any further changes in capacity will be put on hold .
So, our view is that this balancing broadly happens in about 12 to 18 months . After that we will have a clearer picture of how much of natural capacity will remain , how much of synthetic capacity will remain and how it will balance out in the overall context .
Rohit Nagraj: Sir, second question is in terms of demand from user segments , is there any challenge in certain geographies from the downst ream demand in particular users ?
R. Mukundan: Different geographies have different issues. As far as China is concerned , as I mentioned already , it's the construction sector which has been the problematic one in terms of our previous model and what is coming through in the current model , and we ha ve had to take some downward adjustments on those numbers .
In India , it has been primarily the export market. The dye and chemical sector has not been doing well , and that is reflected in some of the export numbers out of India for intermediate chemicals where soda ash is consumed . Also in India , there has been a sharp fall in caustic soda prices . So, silicate market has switched to caustic from soda a sh. The end user can switch between caustic and sod a ash and that has created a n issue in Indian demand .
As far as Kenya is concerned , it is pretty much all markets are fine . I can't see anything related to the market . It was just extra shipments landing up from various markets that led to inventory issues .

In terms of U.S ., the big driver in the U.S . up till now has been the one big event which happened in the market which is the Bud Light controversy which had impact on the container glass demand . As that demand shifts to other bottle rs, we will see that aspect easing over a period of time . The big issue we need to watch out for is interest rates , if and when it begin s to hurt the housing market . We remain watchful , but we don't see any big shifts up till now . If there are any , we will bring into the commentary by next quarter .

Moderator: Our next question is from the line of Abhijit Akella from Kotak Securities .

Abhijit Akella: Just a couple . One is on the Inner Mongolia soda ash expansion . You know , is it actually 1.5 million tons that has come on stream so far ? And I believe the projection by the producer was to ramp up to 5 million tons by December of this year . So, do you see them on track for that sort of timeline ? Or would you expect that to get significantly delayed ?

R. Mukundan: So, as far as the Berun is concerned , we think by the next year , at least 3 million will be there . That is what our model states. We have not used any number . The 1.5 million ton has been slightly ahead by about three months versus what we expected to happen on the gr

ound .

And so, by next year , we had model ed 3 million , and we are also watching the speed by which it come on stream . So, we will remain vigilant. As of now we know that 1.5 million will com e on stream , which is about 50% of what we had model led.

Abhijit Akella: Sorry, just to clarify this 3 million by next year is by end of CY24, like December , or sometime earlier in the year ?

R. Mukundan: During next year it probably is going to average around three . So, that is what our numbers were modeled on , and we retain that model .

Abhijit Akella: And just the other thing I just wanted to check is I know you have alluded to this a few times in the past , but just to sort of maybe try to get an update , if any , with regard to the Tata Group's EV battery plans is there any sort of involvement that Tata Chemicals might have in any capacity over the , let's say , next t wo, three years or so ?

R. Mukundan: So, as I had mentioned even during AGM , we continue to work on the chemical side of the battery requirement . If there are any opportunities which come up , we will certainly make th e announcement as and when required. We continue to work with all Tata companies in terms of their chemical requirement in general and wherever there is capability match , we would engage . And so this also falls in the same bucket .

Moderator: Our next question is from the line of Vivek Rajamani from Morgan Stanley .

Vivek Rajamani: Just from a cost perspective , just wanted to understand what was the biggest driver of the higher cost that we saw in UK ? And secondly , in relation, if you could just talk about how we should think about cost going forward and what kind of levers are available at your end to really optimize co st over the next few quarters ?

R. Mukundan: So, Vivek, the cost s have more or less stabilized now . We don't anticipate any big spikes in costs . As far as the UK is concern ed we had the benefit of hedging , which we benefited during the last year , but now it is the current hed ging rate . So, what you see this quarter we anticipate should continue , as we have also hedged it , but we remain watchful on the European energy cost side and really that's the outline .

We also have in the UK , for example , a surplus power capacity which will feed power into the grid and that really depends on the spread and that impacts the net cost in our calculation . So, whenever wind energy is very high , our spread reduces and that increases the net energy cost for us because we are not able to feed power into the grid . So, it is only these two combination s. It's going to remain range bound right across all our units and trending to go down in some geographies like India and U.S. because that softness remains . The counter to that , Vivek, is if the world demand increases , especially coming out of China , these prices will probably hold , will no t fall any further .

Vivek Rajamani: Just to clarify , I think the last time you mentioned you do have some high -cost inventories that you are going to be unwinding progressively . Would it be fair to say that going forward , any cost benefit would just be a function of these energy prices ? Or is there anything that you could do specifically to further optimize co st?

R. Mukundan: Yes, I think what you would see the reduction in cost s, some of them would be the unwinding of the inventory level because at any given point of time , we have three to four months inventory . As that winds down , the cost at which it is fed into the plant will be lower , but market costs are not changing too much . I would just leave it at that. So, it is mostly driven off our inventory numbers .

Moderator: Our next question is from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar: My question is regarding U.S. business . So, we have seen in domestic market of U.S . over the last two qua

rter , there is a volume decline and export is doing good . So, can you talk about the last two quarters , is there any slowdown of the demand of soda ash in particularly domestic U.S . market ? The second is after ea sing out of the supply chain and we are sending into the neighboring country and exporting from U.S. to other markets . So, is there any pressure in the demand side also ? And third is for U.S . also, what is the contract mix of six months and quarter and year for the U.S. business ?
R. Mukundan: So, U.S. mostly domestic , Sumant, would be annual calendar contract . So, they would be contracted right up to December . On the export side , part of the m are annual , part of them are quarterly . Those which are going to some parts of customers in South America would be annual and rest of them would be quarterly . So, that's the mix in this . And in terms of the specific domestic volumes , we ship to manage our margins and customer orders . Except for some railroad issues and container glass issues , we haven't seen any major shift , and also some part of the shift would be towards material going towards Mexico . So, I would not read anything beyond that .
Sumant Kumar: So, when you talk about the some mix is for the quarterly cont ract, so do you expect some softness in the realization in entire U.S . business ?
R. Mukundan: On the domestic side , certainly we ha ve to wait for the new year contracts to be signed where they settle . that's quarter four issue , which also is true for UK . On the

export side , it is mostly getting rese t every quarter . So, you would continue to see shifts as the market numbers sh ift.
Sumant K umar: Because you are at the lifetime highest EBITDA per ton in Q1FY24. So, do you think there will be a normalization of EBITDA per ton from here onwards?
R. Mukundan: Yes. in the export side, as I said, there will be certain shifts which will be happening , but it will still be better than last year .
Moderator: Our next question is from the line of Tejas Sheth from Nippon Asset Management .
Tejas Sheth: Just on the 1-million -ton addition in the capacity of soda ash, what would be the timeline of these ?
R. Mukundan: So, these are under execution . So, normally they would come on stream over next 36 months . Our current plan which is to take the soda ash capacity in India to 1 million ton, that part should be finishing by that 2.3 l akh tons , which is in the presentation sent to you as well as most of it should come on stream by September when we expect our boilers to come on stream and partly , it may spill over into some months of October or so .
The 1 million in addition to that which is 400 in U.S., and 250 odd in Kenya , that is underway , should come in about 36 months .
Tejas Sheth: And the balance Rs.1300 crore which we are spending , which will be towards which products ? And what will be the timelin e completion of those ?
R. Mukundan: So, I said that approximately Rs. 2,000 in India (corrected post call) , of which Rs.1,300 is in soda ash, which is broadly towards the soda ash , and salt , and some bicarbonate . So, it is in the core products only, and all these numbers which I said , they are all part of 1 million ton.
Tejas Sheth: And on the EV battery comment which you made , where we are working with the Group companies on the chemical side of it , it's only on the sodium -ion battery side or we are even working on the lithium -ion side?
R. Mukundan: Yes, there are chemicals which all companies use . So, we continue to engage with them wherever our chemicals can go or we have an opportunity to produce the m because they would be manufacturing at scale capacities to be created for them . We will engage with them and to the extent that we can have a profitable and viable pathway to implement , we will Implement them . It is not related to sodium or those chemist ries.

Moderator: Our next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So, can we have some numbers in terms of what was the global consumption in first quarter and the available production in the world and how you see this demand supply balance moving in terms of numbers say in the next one year ?
R. Mukundan: So, I won't give yo u a quarter , but I will give you the annual number . I think our net , addition in the model of the new capacity coming on stream was about 2 to 2.2 million ton s or so that we think we underestimated that by a million ton and the demand fall which is really driven off by what has happened in China which is close

to about 1 million ton . So, the overall overhang is about 2 million to 2.5 million ton as we speak . So, I would speak in terms of net numbers in the model rather than take specific numbers .

S. Ramesh: So, the next thought is then , when do you see this overhang of supply getting absorbed by new demand , especially the solar glass ? And you said it's about one to one-and-a-half years for the construction market in China to improve . So, if that remains so ft, do we see the solar panel addition and lithium carbonate growth absorbing ?

R. Mukundan: It includes everything . It is not just that element alone. It is all of them .

S. Ramesh: So, that means we need to see underlying fundamental demand across all the sectors improve before this supply overh ang can be absorbed . Is that a correct way to understand this?

R. Mukundan: So, the issue drivers are very different across market s. So, as I mentioned , in China , it mainly seems to be driven by construction , the real estate and the whole element around it and the slowdown. The other segments are not seeing that kind of slowdown . In India , for example , it is mostly led by the export softening which our exporters are seeing especially into Europe for dyes and dye stuff and other chemicals , and also the switching of the demand from soda ash to caustic in the silicates sector . Both t he caustic switch as well as the export demand , we have to watch the market as we go .

And the other one on the construction site , we had to really keep focusing on the Chinese government policies with respect to interest rates , funding , etc . And rest of the world , again , I just want to say , Europe and U .S. and in other parts of the world , certainly the heightened interest rates , if they continue to harden more , I think that will put pressure again on the housing and housing sector , which again flows back into the flat glass. So, we need to watch this whether we are at the end of interest rate cycle or it is going to continue to be hardening even more .

S. Ramesh: So, coming to the UK business , so in terms of the growth from the Pharma grade bicarbonate and the other initiatives with regards to energy , do you think that will improve the EBITDA performance of UK say in FY25 and going forward ?

R. Mukundan: Yes, I think that that remains on track and that will continue to be the positive driver , and it will continue the baseline EBITDA which we used to sort of track in UK

for about £25 million , that would move up by around £10 million on account of pharma salt (corrected post call) . That is the broad change it should happen .

Moderator: Our next question is from the line of Saket Kapoor from Kapoor and Co .

Saket Kapoor: Sir, firstly, if you could allude again , what would be the normalized margin for our UK business ? I think the per ton margin was guided to us from this quarter onwards , this quarter itself . So, these numbers are the ones which we should pencil in for the year as a whole analyze them or what should be the margin profile for the UK business ?

R. Mukundan: Yes. So, if you just look at the per ton margin structure in the contract s, which most of it is contracted in soda ash

, that will track the Quarter 1 broadly , and quarter four we will have to still go through the per ton margin structure because that contract is for first three quarters .

Saket Kapoor: So, these will be the normal reported margins , this Q1 numbers are the one which we can annualize because these are very lower set of numbers for the UK segment ?

R. Mukundan: It was the same , but this should probably track the numbers as we move forward because this is the contracted number . This reflects the contract ed number.

Saket Kapoor: Sir, on the import part of the story f or the Indian market , sir, what have been the imports in the country for the last quarter ? And sir, also you mentioned that generally we have seen that when there is a natural capacity coming up in the region , the chemical process , one of the other capacity generally went down . So, what is the current split between the same in China ? And, on what is the incremental demand from solar. I think , so annual, the per day capacity or the p er day production of solar panels is 1 lakh per ton that was reported somewhere from China . So, if you could sum up these three points , sir?

R. Mukundan: The point about synthetic versus natural in the region or in the country will play out, and that is largely a function of overall domestic de mand and domestic supply and how much surplus needs to travel out because exports are generally less remunerative than domestic sales. And that will play out specific to China . Today, it remains the largest producer and largest consumer accounting for almo st 30 million tons of demand and 30 million tons of supply. On that 30 million ton , overall while by next year end, at least 3 million tons will be on stream . We expect as per the market estimation will go up to about 5 million tons of natural ash coming out of

Mongolia . That effectively is close to 17 % to 18% of the domestic demand .
So, that's a large overhan g, and we do anticipate some kind of rebalancing to happen there internally , and a timeline for which we can't estimate . And if the demand bou nces back in China and it moves in a robust manner , the impact on the synthetic will be less. I think that is the difficult part why we are not giving any specific guidance on that piece . At least in our model , we are not able to model that.

The second piece in terms of soda ash demand into solar glass , broadly can take 20%. If someone opens a 1,000 ton per day plant , he will need 200 tons per day of soda ash . That's a broad thumb rule which one can use .

Moderator: We have a follow -up question fr om the line of S. Ramesh from Nirmal Bang Equit ies.

S. Ramesh: Sir, in the nutraceutical segment , has production resumed normally and they are able to operate a normal run rate ? Do we expect that to show profits over the rest of FY24 and do you see the India Specialties business contributing to our earnings in this India business over FY25?

R. Mukundan: So, I won't go that far . I will just remain in the current situation wherein our utilization is below what we had last year . It is running at about 50 % because we are holding inventory and which we need to address by getting a contract in export orders which our teams are working .

In terms of silica , I think it is not so much related to the market . We are running the plant at about 85 % or 90 % capacity and is nearly full because if you account for switches in product grade and all , that is the rate at which it needs to run . Where we need more additional volumes , what we are doing is to take up the capacity . By October , I think we will be fully aligned to the tire and rubber business , and we would take the capacities to 13 ,000 ton , and we are in the planning phase of adding another 10 ,000 tons of capacity there . It's more a capacity is sue and silica is certainly a profitable and a steadier business tod

ay for us . So, that's where we are .

Moderator: Thank you. Ladies and gentlemen , that brings us to the end of our question -and-answer session . I would now like to hand the conference over to the management for closing comments .

R. Mukundan: Thank you everyone for participating in the conference call . As we mentioned that the Quarter 1 has been delivered well considering the market conditions . We remain watchful for the rest of the year . And the only thing we continue to do is to engage with our customers and ensure we have an agile response to the marketplace and ensure our costs and margins are held tightly .

At the same time , our medium -term and long -term strategy in terms of bringing on stream additional capacity remains on track , and we will navigate this period with agility to ensure that we have a more robust balance sheet , higher level of customer engagement in the relevant markets and ensure that our profitabilit y and contribution continue to improve . Thank you.

Moderator: Thank you. On behalf of Tata Chemicals Limited, that concludes the conference call . Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

November 17, 202 3
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM
Dear Sir / Madam,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the second quarter and half year ended September 30, 2023

Further to our letter dated November 10, 2023, we enclose herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of Tata Chemicals Limited for the second quarter and half year ended September 30, 2023 held on Friday , November 10, 2023.
The same is also being made available on the Company's website at: https://www.tatachemicals.com/investors/financial- reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above
Page 1 of 11
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Tata Chemicals Limited
Q2 and H1 FY '24 Earnings Conference Call Transcript
November 10, 2023

Moderator : Ladies and gentlemen, good day and welcome to the Tata Chemicals Limited Q 2 and H1 FY '24 Earnings Conference Call.
I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you, and over to you, sir .
Gavin Desa: Thank you, Zico. Good day everyone and thank you for joining us on Tata Chemicals Q2 and H1 FY '24 Earnings Conference Call.
We have with us today, Mr. R. Mukundan – Managing Director and CEO, Mr. Zarir Langrana – Executive Director, and Mr. Nandakumar Tirumalai –Chief Financial Officer.
Before we begin, I would like to mention that some of the statements made in today's discussions may be forward -looking in nature and may involve risks and uncertainties.
I now invite Mr. Mukundan to begin proceedings of the call. Over to you, Mukundan.
R. Mukundan: Thanks, Gavin. Good evening and welcome everyone to our Q2 and H1 FY '24 Earning s Call. Let me start by first wishing all of you greetings for the festive season and Happy Deepa vali.
I am joined by my colleagues , as mentioned by Gavin , Zarir Langrana and Nandu . I will start the discussion with key operational highlights across business and

geograph ies, after which our CFO will walk you through the “Financial Performance ” for the quarter .
Overall , amongst the markets where we have sizable presence , India and U.S. were stable . There was softness in some segments of the market , especially in container glass . Our prices have remained subdued with new supplies coming from China or at least the new supplies being announced out of China . There has been a bit of a slowdown in spillover from China into other markets . Overall , in the medium -term, the outlook for soda ash remains stable backed by demand from sustainability sectors like solar PV and lithium .

As far as our compan y is concerned – we have maintained our market share in key market s through active customer engagement . Our cash generation was better with better working capital management . Our focus in some of the markets like in UK will remain on high value -added b icarb and pharma salt, and we will contin ue to focus on operational excellence to ensure our margins are protected .
We have repaid a debt of US$120 million in overseas units in the first half of the year. Our capex program will continue as planned for the projects which are already underway , and the future programs will continue to focus on debottlenecking with a very high capital efficiency .
Moving on to Rallis : Their quarterly performance was better than the previous quarter despite the challenging environment . As compared to the corresponding quarter last year, revenue did decline by 12% due to the subdued performance of international business , but domestic business remained stable . EBITDA for the quarter was higher by 14% , and Rallis ' approach to ensur e the right level of placements reflected in improved collections .
To conclude we believe that the core fundamentals of our main business, soda ash continues to remain steady . We expect the medium -term demand -supply situation to remain stable . While we are scaling up capacities of our core business by almost a million ton s cost effectively mainly through de bottlenecking, we remain very much focused on management excellence , debt repayment and strengthening our cash flows . Our endeavor is to maintain our customer engagements at a high level to ensure market position and continue to have steady contribution with focus on excellence .
That concludes my opening remarks . I now hand over the floor to Nandu who will take you through financial performance .
N. Tirumalai: Thanks , Mukundan. And good day , everyone . Let me walk you through the financial performance , after which we will get the Q& A.
Starting with headline numbers for the quarter : Our revenue for the quarter was Rs.3,998 crore , down 6% compared to last year's Q2 . Decrease in revenue was driven by lower sod a ash volumes and contribution being impacted mainly in India and Kenya .
EBITDA for the quarter was Rs.819 crore as against Rs.920 crore in the last year's Q2, 11% lower . PAT for the quarter was Rs.495 crore, lower by 28% compared to last year's Q2 which also has Rs.102 crore of exceptional gain booked in the quarter on account of a reversal of provision on account of a long pending entry tax issue we had with state government authorities .
Moving to each business starting with India : Revenue for the quarter was Rs.1,066 crore. Soda ash volumes were up 4% compared to last year's Q2 . Pricing was lower because of which we had lower revenues as compared to last year . The salt business performed well and clocked steady volumes . Bicarb saw good volumes too as compared to last year .
Moving to U.S, business contin ued to benefit from better pricing during the quarter . EBITDA margin was at 24% for the current quarter .

In the UK business , revenue was impacted as compared to last year's Q2 due to lower volumes which led to lower revenue by 7% in the current quarter . EBITDA was 19% for the current quarter .
As far as Kenya is concerned , both the volumes and realizations were softening , which in turn impacted margins and profits for the quarter .
As far as Silica and Nutra are concerned, both the businesses have a growth map in front of them. With time and investment, we expect both the segments to clock in consistent numbers going forward.
Moving on to Rallis: Revenue for the quarter was at Rs. 833 crore , 12% down compared to last year ’s Q2 . EBITDA was Rs.135 crore , 14% higher than last year ’s Q2, PAT Rs.81 crore against last year’s Rs.71 crore, up by 15%.
Our c

ash at the consol level was Rs. 1, 701 crore at the end of September . Capex
was Rs.418 crore. Net debt was Rs. 4,347 crore on account of dividend outflow ,
capex etc.
With that, I close the comments and hand it over back to Gavin to open for Q &A.
Thank you.
Moderator: Thank you very much . The first question is from the line of Vivek Rajamani from
Morga n Stanley .
Vivek Rajamani: Thank you , two questions from my side . Could you just talk a bit about the US ,
Volumes have not recovered back to the normal levels this quarter , and it also
appears that the pri cing for exports, which are more levered to spot have corrected
quite a bit . So, could you just give us some color of what's happening there , and how
we should think about this going forward ?
And the second question I had was more specifically on China . Could you give us
some color on , you know, what's the demand supply situation in China ? I asked this
because we did see a rally in spot prices in China a couple of months back , and
recently , we have again seen a very sharp decline . So, any color on what's
happening on the ground would also be very helpful .
R. Mukundan: Let me first start with China . I think in China the basic market issue was that there
was a new supply coming from Inner Mongolia and in anticipation of which , many
customers had delayed purchases , and they were hoping that prices would correct .
But unfortunately , those disturbances did not happen in China . It seemed more
stable than what the market participants would have thought should happen . The
China inventory actually fell to a very low level from approximately 3 lakh tons , it had
fallen down to something like 2.7 lakh tons , and it is now up little bit . The issue in
China in our view is that Chinese market has remained bit range bound , and the
spillover in the international markets of volumes have not happened . That does not
mean that it could not happen . We will keep a close watch on this .
And the other angle in China was about the demand situation within China which has
remained slightly soft . A lot of measures by government and you would be reading
this across sectors in the general news to o. And the real impact of that we will wait
and watch and see .

If you look at China numbers in terms of volume compared to last year are about 3%
up. That is the overall number which we have done the calculation , but reality is that
we need to keep a close watch on China . So, the news from China is the anticipated
disturbance the market did not follow through . It was softer than what we had thought
it would be .
Your question was on the U.S. market volumes , right? So, in terms of U.S. market
volumes , in terms of domestic market share , we have more or less protected our
domestic market share overall in the market . The pressure, as you rightly identified,
was on the export market where the prices have broadly tended down from the
previous quarter . From previous year , the export pricing is more or less same , but
from the previous quarter , they have tended down approximately by $50 -$60 per ton ,
and we anticipate that will be a stable number going forward . It is back to what it was
the previous year same quarter . So, I hope that sort of explains the current market
situation .
Vivek Rajamani: Do you expect the volumes in the U.S. to go back to , you know, the 600 kilo ton level
or you think this is going to be a more normalized number going forward ?
R. Mukundan: Actually , the domestic market in U.S. has been fairly stable except for some softness
in container glass , and the real impact in the U.S. has been the export market where
I think the South American Market, we do expect will remain stable . But I think the
big issue we need to watch out for is the Southeast Asian market . So, I don't want to
make an immediate co

mmentary . We are watchful . If things turn out benign, then the
volumes will be back to normal . Otherwise , it will tend towards what we are having
in this quarter .
Moderator: Thank you. Our n ext question is from the line of S. Rames h from N irmal Bang
Equities .
S. Ramesh: So, in terms of the Inner Mongolia capacity addition , what is the latest number we
have in terms of confirmed capacity addition this year ? And will we see the entire 5
million capacity being added in the next two months ?
R. Mukundan: So, the public news is that the entire 5 million may come on stream this year . When
I say this year , that is 31st March '24, but we think more realistically , it is likely to be
close to about 3 million .
S. Ramesh: The second thing is , if you see the India performance , the margins are under
pressure . So, what is the reason for the weak performance in India ? Because rest of
the world we can understand , but India , we thought the end user segments including

property and automobiles are doing well . And last time you told that that there is a
certain amount of overhan g from incre ased exports from Turkey and the supply
overhang in China . So, how much of that is still persisting in terms of channel stocks
and re-consumption ? And when do you see this recover ?
R. Mukundan: The issue in India is not so much the demand , Rames h. I think you rightly pointed
out, India is actually probably the bright star in demand si de. So, Indian market , we
don't see it as a demand issue . But certainly , Indian market has suffered from heavy
increase in imports . Indian imports which were broadly around , let's say , 13% or 14%
of the total sales , that has double d to close to 27 %-28%.

So, the real change has been the imports landing in India mainly from Turkey , and
that has impacted the pricing because they have landed at unreason ably low prices ,
and that has tended to pressure the market prices overall .
So, we do think this is a phenomenon which is very specific for this market , and we
do think that over a period of time , it will correct itself . If you ask me whether we
reached the bottom or not , it is not very clear to me , but we are very close to bottom .
S. Ramesh: If I may squeeze in a last question on UK and Kenya , Kenya margins have really
come down sharply . So, is this the margin which we can expect going forward or is
there some scope for recovery in the Kenya margins ? And similarly in UK?
R. Mukundan: I think in Kenya , the way the current margins which are trending would probably be
the normal margins going for ward because bulk of their exports is to India and
Southeast Asia , and those numbers mor e or less would tend to be around the same
figure going forward .
Moderator: Thank you. Our next question is from the line of Saket Kapoor from Kap oor and Co .
Saket Kapoor: Sir, as earlier alluded by you that UK will be moving to now the per ton profitability
structure . So, current numbers for UK can be penciling in , this is now the new normal
for the UK numbers or what should be our understanding ?
R. Mukundan: Certainly , I would say in bicarb and in salt , these numbers would reflect themselves .
In terms of soda ash , while we have tended to maintain constant margin , and that
probably will hold true for Q3 of this fiscal year and Q4 of the calendar year , you have
to wait for a commentary from us exactly where the margins will settle for the next
contract period . We are still in the process of going through the negotiation . So, I am
not able to comment whether it will remain stable or move around a little bit up or
down , but we will come back to you on that . But bicarb and salt will remain more or
less stable .It is really the sod a ash one which we need to sort of manage for the new
contracting period starting from January to December .
Saket Kapoor: And sir

, for the CO 2 program , which we have conducted through with the aid of the
UK government , the benefits of the same are now fully accrued and this is going to
be pertinent now ?
R. Mukundan: Yes, the bicarbonate plant actually completely utilizes the carbon capture unit. In
fact, it is really close to net zero kind of a situation for our b icarb production . So, it is
a green product , and it is finding very good customer t raction .
Saket Kapoor: Sir, as you mentioned rightly , that the contracts will be renew ed, the annual contracts
in the next month , so the outlook for U.S. also you would be able to share post the
Q3 numbers . That would give us an assumption of how the next year is going to
shape up . Is that would be a better understanding for U.S. market also since there is
lot of volatility currently in the sod a ash market , so that will have an impact on our
contracts with annual contracts for U.S. also?
R. Mukundan: Correct . I think we will be able to share with you in Q3 . I can only tell you that the
teams are working hard to close out all contracting , and it is moving in the right
direction .
Saket Kapoor: Sir, last point was on the global conference on soda as h that happened in the month
of October . If you could enlighten us with what 's the global scenario shaping up

currently ? And what 's the feedback in terms of the demand out look globally ? If you
could give some more color on the same and then I will join the queue, sir.
R. Mukundan: I think one big theme from all customers in that conference was the focus on
sustainability . All customers are looking to the Carbon Reduction Program . For t he
big ones , the global ones , that's one of the key themes running . The chemical
companies which are able to demonstrate a move towards a lower carbon footprint
would continue to benefit with greater customer traction. To that extent , our units in
U.S., which has a lower carbon footprint as well as the one in UK will benefit . Kenya
is also very low carbon footprint . It is in India , we need to address on what we have
committed , which is 30% reduction . That's one broad trend right across .
The second trend is there is a continued belief and bullishness about the applications

like solar and lithium carbonate . They are going to continue to be the drivers of growth . The other traditional sectors , we will have to wait for the macroeconomics to correct , how the real estate market behaves and how the automotive sector behaves , which will drive the flat glass .

In terms of container glass , it has been a bit of a surprise for all of us that the market demand has softened . Traditionally , this segment has held up . So, we will have to wait and watch what has led to this , especially in terms of both wine and beer consumption usually should hold up . But there has been a reduction in the container glass demand , and we don't have clarity on what way it will trend . We will have to watch very closely . These are the broad lessons to learn from the Soda Ash Conference .

Certainly , I think in terms of supply side , all the companies are focused on improving their core offering to customers by reducing carbon , and most companies are also focused on making sure that their cost competitiveness continues to improve more and that is what they are focused on .

Saket Kapoor: Last two questions from my side sir . For the finance cost , so we see that on a consolidated basis , our finance cost s have gone up by Rs.100 crore, whereas you have also alluded to the fact that we have reduce d our debt on the U.S. unit by $100 million . So, what's the debt on the U.S. counterpart currently ? And why has the finance cost gone up ?

R. Mukundan: Actually, the borrowing cost is almost the interest rates have increased dramatically . They have more than doubled . Nandu, you want to clarify ?

N. Tirumalai: We have loans in UK , Singapore and U.S. UK and Singapore debts got refinanced about a year back in December last year . So, those came at much higher rate s than what we took ear lier. Last year 's Q2 had an earlier rate taken a long time back at 1% LIBOR fixed . Therefore , this rate difference of 5% on the loans in Singapore and UK is the reason for increase in interest rate . Otherwise , we a re repaying debt , and therefore that is resulting in a lower increase over last year . Broadly , it is refinancing done in UK and Singapore last year in December , and December rates were very high.

Saket Kapoor: Sir, what is the debt on U.S. currently after the repayment ?

N. Tirumalai: In terms of the debt in U.S. it is $258 million in U.S. Overall , $728 million is the overall debt on the whole , $ 258 million in U.S., £ 150 million is in UK and $182 million is in Singapore . Broadly , that's the breakup .

Saket Kapoor: And sir, next point would be on sodium bicarbonate use for float glass treatment . What kind of incremental demand are we anticipating with the implementation of float glass treatment at the power plant , I think ? So, Tata Power is also contemplating lot of initiative on this basis . So, how is this going to shape up and the out look on the same?

R. Mukundan: It's a growing sector , and we are very much focused on that sector too . Zarir, you want to add .

Zarir Langrana: Yes, you are right . Certainly, in India , we have seen over the last 12 months increased demand from this sector , primarily from one of the pan-India player. Tata Power is also looking at it . Our estimate is that it will continue to grow at about 10 %-12% per annum but in a phased manner as each utility takes up each of the plants separately . So, it's certainly moved from a pilot phase to a commercial phase as far as the utilities are concerned .

Moderator: Thank you , our next question is from the line of Mithil Bhuva from Unlisted India.com .

Mithil Bhuva : My first question is for the additional capacity that's going to come on stream , do we have contracts ready for it , like, to take away for the new stream ?

R. Mukundan: The first additional stream which is going to come is the s alt capacities and it is more or less fully booked with our contract with Tata Consumer . And on the soda ash about 250,000 ton addition is coming on steam which we are very confident that Indian market with its growth would take that .

The additional capacities we are bringing are in Magadi about 200,000 tons and in U.S. about 400,000 tons, those we are very confident because of the cost competitiveness of both these sites , but they are about 2-2.5 years away , and in the current year , the capacity which is coming is only in India .

Mithil Bhuva : Sir, my second question is on the growth front , like what is Tata Chemicals planning to have to be on a very high growth front , like our sister companies , Tata Power, and Tata Motors ? So, if you see in soda ash and salt , the capacity expansion also is very moderate . So, what is Tata Chemicals planning to , grow aggressively ?

R. Mukundan: So, in terms of the organic growth , our plans are exactly what I mentioned , that we will be bringing about 30% more capacity in our Sil ica unit i.e., 3,000 ton s, and it will

further go through doubling of capacity in phase two for which we should start the process of construction in about a month's time after getting consent to establish from the Tamil N adu government .
As far as the sod a ash is concerned , it will go to 1 million ton in India , and salt will go to 1.5 million ton s. Beyond that, the next phase , it takes the salt capacity to 1.8 million tons, and the soda ash capacity to 1.3 million ton in India . That is about 2 .5 years away . And in U.S. about 400,000 ton s additional and in Kenya about 2

00,000 tons
additional . Those capacities will also be around 2 .5 years to 3 years away . So, we will be adding capacities in a phased manner , and they have to go through execution phase , and that's the way the business is.
Mithil Bhuva : Anything on the inorganic side? Because these numbers look very small actually in the overall context of things . That's why.

R. Mukundan: We continue to look for opportunities . If anything fructifies , we will come back to you . The sector has interesting opportunities , and w e are on the lookout .
Moderator: Thank you , our next question is from the line of S. Ramesh Nirmal Bang Equities .
S. Ramesh: So, if you have to look at the current consumption , what is the current consumption in million tons ? And what is the kind of growth you are expecting consumption of soda ash over the , say, next one to two years ? And what is the visible capacity addition you expect in the next one to two years other than the Inner Mongolia capacity ?
Zarir Langrana: Over one to two years other than Inner Mongolia , we aren't seeing anything substantial on the horizon . Anything substantial that's been talked about has been talked about in the 2027 , 2028 time frame . So, capacity wise , we don't see too much coming up other than some usual d ebottlenecks . On the d emand side, historic global demand growth rates have been in the region of 2 .5%- 3%. Today , it's softer , and i f the traditional sectors go back to the original growth rate , we should see those kinds of numbers appearing once again .
S. Ramesh: No, if you look at the glass , like Asahi Glass report ed very weak number. So, is there a challenge ? While you said that the demand is okay , is there a kind of a softening of the trend in terms of Indian glass sector ? How is the demand trend in India ?
Zarir Langrana: So, Indian glass sector I think the demand trend is good .
R. Mukundan: So, Rames h, I don't know whether you have heard what Zarir mentioned that in glass , volume growth is continuing . There is no issue on that . It's mainly the pricing pressure , and pricing pressure is mainly coming from glass imports from China and from Malaysia . And you know, with Malaysia , India has a Free Trade Agreement , and that does create issues for glass players from time to time .
S. Ramesh: And lastly , can you give us the CAPEX for FY '25, ‘26 and '27 since you have lined up all the expansion ?
R. Mukundan: On the capex , just to address the question, which was there , beyond the current cycle where what we mentioned the expansion of salt from 1.5 to 1.8, broadly , we expect that number is to about Rs.400 odd crore. The soda number in India from 1 to 1.3 is about Rs.1,000 odd crore, and the Kenya and U.S. put together , which is broadly our 0.6 expansion million tons will be about broadly $200 million . All put together would be about Rs.3,000 odd crore spread over next 3 years for the expansion beyond the current cycle .
Moderator: Thank you , our next question is from the line of Rohit Nagraj from Cent rum Broking .
Rohit Nagraj: Sir, first question is on Turkey . So, what is the differen tial in terms of the imports from Turkey and the local prices ? And an allied question to that , given that China demand is relatively low er, so are there any exports happening from China ?
Zarir Langrana: So, let me take your second question first . China was exporting till about four months ago. The market then suddenly tightened domestically , and Chinese exports came down . At the moment , it is not back to the historical levels , but as Inner Mongolia production starts appearing into the market , primarily into the domestic market to start with , you might see exports increasing out of China , but we have to see how that plays out .

The second question , the differential between domestic pricing and Turk

ey's import
pricing would , varies from market to market and customer to customer . Domestic pricing is at a premium to import pricing , and we believe that differential will continue to stay.
Rohit Nagraj: And any specific reasons for high imports coming from Turkey ? I mean, are the prices in terms of the energy costs et cetera have come down dramatically or there

is constraint from the economy side, and they are just pushing the volume ? So, any thoughts on this ?

Zarir Langrana: We do not think energy costs have come down . In fact, energy costs may have gone up. The large impact may be due to the fact that some of the core markets in Europe , especially Southern Europe , have seen a decline in demand , and they are finding new home for their product now .

Rohit Nagraj: And just second question on the U.S. pricing front . So, in your opening remarks , you alluded that on a Q -o-Q basis , the prices have gone down by about $50 - $60. So, will these prices prevail when it comes to the renewal of contracts in the month of January ?

Zarir Langrana: I think the market is still fairly volatile and in a state of flux . And as Mukund mentioned , we probably get a better idea when we talk again in Q3 as to where the prices might settle . But as he also mentioned , I think the team is today focused on making sure that , all of the contracting is closed as soon as possible .

Rohit Nagraj: And if I can squeeze in one last one , in terms of all the different geographies , which are the segments which are doing well and which are the segments which are lagging behind ?

Zarir Langrana: Across the board , sustainability driven segments like lithium , solar glass are doing well and are continuing to grow , in fact , growing in double digits . Within the more traditional segments , the one that's been impacted is certainly float glass , primarily due to slow housing and residential sectors and construction activity in most of the geographies . And as Mukund mentioned , there has been some recent softening in container glass demand , but that we believe might bounce back perhaps faster than what we will see in the float glass segment .

Moderator: Thank you , our next question is from the line of Saket Kapoor from Kapoor and Co.

Saket Kapoor: Sir, when as you mentioned that our contracts , we are working with the contract for the next year for both UK and the U.S. market , so taking into account the current average prices which are prevailing , the spot prices and our contracted value for last year, what's the current differential between the two ? And what can we read from this data ?

R. Mukundan: In terms of the data as Zarir has explained , the domestic contracting in U.S. and U K is more or less stable . That is what our conditions tell us . In terms of exports , there is a bit of volatility which Zar ir has explained , and the volatility is fairly more acute in Southeast Asia than in South America . And on that , the contracts are still getting closed , and we do know that some of the low-end prices we have seen may not prevail in the market for these contracts , but where they will settle , we will be in a better position to highlight to all of you in the next quarter when we come back for the results .

Saket Kapoor: In Indian operations , we are seeing there is this decline in margins , and we are trending lower . So, is this attributed mainly to due to this unabating imports and the lower realization only , or why are the margins trending lower for Indian operations now?

R. Mukundan: The main issue in India is not demand . The main issue is the high level of imports of low-priced material , which hopefully will reduce going forward . We have seen a major increase in Imports , and as I said , the share of imports has jumped from 14% to 28% over the last four quarters , and that to

o happening at a fairly very low price , and that has depressed the local market conditions . And we will have to wait and watch whether this will continue .

Saket Kapoor: And sir, do you have the import data for the month of October ? This trend continued for the previous month also .

R. Mukundan: No, October month has reduced . Actually , it has come down by more than half , but we need to watch the trend going forward , whether this trend will continue or not . It seems to be trending down , and if for a couple of more months the same trend continues , then we can say the pressure would have eased up. It probably is closer to 14% as we speak in October .

Saket Kapoor: And on the realization front, sir, how are the pri ce trends currently month -on-month for the spot market ?

R. Mukundan: The spot market is continuing at the same level . If there is any change , you will hear that through the circulars we sen d out to our customers .

Saket Kapoor: And lastly on the solar demand part , sir, you were alluding to some facts about the demand from solar and lithium . So, taking into account solar manufacturing , the pipeline , the investment pipeline in the solar segment , what is the anticipated demand , especially from solar for domestically and also globally , if you could give some color on the same?

R. Mukundan: While the segment is still small in India , it has seen 60% growth , and there are more investments lined up . As they come , they will need the soda ash , and we expect at least half a million ton of additional demand coming from that segment over a period of time , but these are early days . As of now , this within India is one of the fastest growing sectors .

Saket Kapoor: And your outlook on our silica and another segment currently ? And how would that segment shape up for the next half ?

R. Mukundan: We are very confident about silica. We are fully booked . We are expanding as the market needs more . So, we will be exp anding bringing on 3,000 ton additional quickly , through simple de bottlenecking. The next phase of addition al doubling the capacity will take 18 months , and we are doing everything we can to speed that up because market demand is good .

Moderator: Thank you. Ladies and gentlemen , that was the last question of our question -and-answer session . I now hand the conference over to the management for closing comments .

R. Mukundan: Thank you , everyone . As we mentioned that the market conditions , while they look challenging at the beginning of the quarter , there are some positive signals , but it is

too early to comment about it , and we do expect the medium -term outlook for the soda ash business to be stable . Our businesses in salt and bicarb are continuing to trend up. The new business in silica is sha ping up well , and also Rallis ' performance is back in the positive direction .

With this, we remain positive about the strategic direction we set ourselves , which is to focus on core and ensure that we have capital -efficient expansions going ahead and continue to grow the business along with the market growth .

With this, I want to thank all of you , and wish you all a very happy Deepavali, and see you next quarter .

Call: Feb 2024

February 12, 2024
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500770 The Manager , Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM
Dear Sir /Madam,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Re sults for the third quarter and nine months ended December 31 , 2023
Further to our letter dated February 5, 2024, we enclose herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of Tata Chemicals Limited for the third quarter and nine months ended December 31, 202 3 held on Monday, February 5, 2024 .

The same is also being made available on the Company’s website at:
https://www.tatachemicals.com/investors/financial- reports .
You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above
Page 1 of 13

Tata Chemicals Limited
Q3 & 9M Earnings Conference Call Transcript
February 05, 2024

Moderator: Ladies and gentlemen, good day and welcome to Tata Chemicals Limited Q3 & Nine Months FY24 Earnings Conference Call.
Please note that this conference is being recorded.
I now ha nd the conference over to Mr. Gavin D esa from CDR India. Thank you and over to you.
Gavin D esa: Thank you. Good day, everyone and thank you for joining us for Tata Chemicals Q3 & Nine Months FY24 Earnings Conference Call.
We have with us today, Mr. R. Mukundan, Managing Director and CEO, Mr. Zarir Langrana, Executive Director ; and Mr. Nandakumar Tirumalai , Chief Financial Officer .
Before we begin, I would like to mention that some of the statements made in today's discussions may be forward- looking in nature and may involve r isks and uncertainties.
I now invite Mr. Mukundan to begin proceedings o f the call.
R. Mukundan : Thanks, Gavin. Good evening and welcome everyone to our Q3 & 9M FY24 Earnings Call. I'm joined by my colleagues , Zarir and Nandu for today's call.
I'll start with the d iscussion with the key -operational highlights across geographies, following which Nandu will walk you through the financial performance of the q uarter.
Firstly, an update on the overall Soda Ash industry :
The market conditions remain challenging across all key regions and segments , especially flat glass , which has been impacted in Europe. LATAM also is experiencing a bit of slowdown, especially in the lithium sector, which is more recent. Consequently, there's been a surge in

Turkish exports to Asian markets, which has pivoted from Europe to Asian markets, especially in India, China and Southeast Asia.
While China grew overall, demand was impacted in the construction / real estate and the demand grew for solar glass . Solar glass also had a strong demand in Southeast Asia. Other sectors were flat.

India demand saw a marginal growth of 1%. The softness was mainly felt in export - facing sectors in dyes and organic chemicals .
South African demand saw a bit of a decline in mining sector . Overall , in our view, the customer sentiment is bearish with approximately 12 to 18 months recovery period, as we explained in t he last call.
The Company 's performance was lower as compared to the previous year due to pricing pressure in all regions and low volume. Especially in US , volumes were lower due to plant maintenance shutdown and rail car shortage, which led to lower contribution, lower absorption of fixed costs and increase in fixed cost s during the quarter . The shortfall was about 80 ,000 tons (as compared to the previous quarter) .
Input costs continue to be stable.
We prepaid a debt of US $ 25 million in USA. Our endeavor is to continue to maintain our share through customer engagement and have steady contribution margin with focus on costs and higher value -added products. Our focus will also be to deliver capital investment projects on time, conserve cash and continue to deleverage.
We have seen good performance in R allis amidst challenging external environment.
Domestic business has registered growth. International business is facing challenges . But we do believe it should revi ve in coming quarters. Management has undertaken steps in recent years to improve profitability of business. We expect that to translate in the coming years.
We anticipate in the short -term, current demand- supply situation is likely to persist but should stabilize and improve over long- term driven by sectors which we continue to engage with which are sustainability sectors of solar , lithium and other related sectors.
As we strategically expand the core business capability through cost -effective debottlenecking, we are equally committed to rigorous cost management, debt reduction and bolstering of cash flows. Our aim is to sustain market share through customer engagement and maintain stable margins with a keen eye on controlling costs.
Going forward, we do expect the next few months to be challenging due to subdued pricing of soda ash. This is more so for the US export markets while the domestic market seems to be stable .
That concludes my opening remarks. I now hand over the floor to Nandu who will walk you through the Financial Performance.
N. Tirumalai: Thanks , Mukundan and good evening, everyone.
Let me walk you through the Performance, after which we go to the Q &A Session.
Starting with the headline numbers for the quarter :
Our revenue for the quarter was Rs. 3,730 crores against Rs. 4,148 c rore last year 's Q3, down by 10%. Decrease in revenue was driven mainly by lower soda ash volumes and pricing pressure in all regions. EBITDA for the quarter was Rs. 542

crore as against Rs. 922 crore in the last year Q3, lower by 41%. PAT for the quarter was Rs. 194 crore , lower by 5 5% compared to last year's Q3.
Coming to India:
Revenues for the quarter were Rs. 1,093 crore . Soda ash volumes were actually up compared last year's Q3. The pricing pressure has been there because of which we had lower realizations which was on account of higher import and drop in pricing.
Salt and Bicarb saw steady volume during the quarter.
Moving to US business :
Pricing saw a sharp decrease versus the previous year. However , both domestic price s and market share have been stable while absolute volumes have fallen.
EBITDA margins were at 12% for the current quarter.
Moving to UK business :
Revenue was impacted as compared to last year's Q3 because of lower volume of soda ash, which led to the revenue being lower by 20% in the current quarter .
EBITDA was 10% for the current quarter.
As far as Kenya is concerned, both volumes and rea lizations saw softening which in turn impacted margins and profits for the quarter.
A

s far as HDS and Nutra are concerned, both the business es had a stable performance in this quarter.

Rallis :
Revenues were at 598 crore, a 5% drop compared to last year's Q3. EBITDA was Rs. 61 crore in the quarter, higher by 14% compared to last year 's Q3 and PAT was Rs. 24 crore .
Our cash at a gross level was at Rs. 1,535 crore in December ending. CAPEX was at Rs. 492 crore , net debt was at Rs. 4,377 crore .
With that , I close my comments and hand it over back to Gavin to open up for the Q&A.
Moderator: We have our first question from the line of Saurabh Jain from HSBC.
Saurabh Jain: I have two questions. Firstly , can you throw some light on what kind of contracts you must have entered starting of this year in both US and Europe?
R. Mukundan : Let me just highlight broadly . On the US domestic front, contractually , we are more or less stable both in volume and pricing. On US exports , what we do see is, because of reset in prices sometimes quarterly sometimes semi -annually , we see a sharp erosion next year . Some of the material is going to China and we expect the blended erosion of approximately $100 on the export contribution and realization.

Saurabh Jain: So, on domestic realizations, are they still closer to what realization we have delivered in the previous quarter?
R. Mukundan : Yes, they will continue to be almost same, not a big shift and the contribution will remain almost same, whereas exports are where the erosion of contribution could be by approximately $100 per ton.
Saurabh Jain: So, it is still kind of a fixed pricing contract for the domestic business for the 2024 in US?
R. Mukundan : Basically, for the full year, which means for the last quarter of this year and three quarters of the next year.
Saurabh Jain: What is the situation in Europe, h ow are the contract s structured over there for this year?
R. Mukundan : Europe is a bit of a different story. B roadly , while some customers are on the energy price adjustment and a longer -term d uration, many customers have moved to what we call as a fixed pricing c ontract where the risk is with us and hence we have been very cautious about it. Our bigger issue there is the erosion in pricing is close to about £100 per ton.
Saurabh Jain: Versus 2023?
R. Mukundan : Yes, compared to previous year same period.
Saurabh Jain: Average of previous year, right?
R. Mukundan : Yes.
Saurabh Jain: So, what kind of margins do you think are more likely to come through in US and Europe for FY '25, any sort of guidance on that will be helpful ?
R. Mukundan : I would say that broadly the domestic should be stable in the US . The contribution number to be down by approximately about $ 100 for US exports ; unless the pricing environment around the world improves, but this is the current situation. And in UK , I would say £ 100 compression in soda ash margin right across.
Moderator: We have a next question from the line of Abhijit Akel la from Kotak Securities.
Abhijit Akella: One is on the US business, would it be possible to quantify maybe the profit lost during this quarter because of the 80,000 tons approximately of volumes that we lost? And also just to check , US domestic volumes seem to have fallen a lot more than the export volume this quarter . Any specific reason for that?
R. Mukundan : While you a re seeing the domestic as compared to the previous year, more or less if you look at a trai ling quarter, it has almost been flat. So , we haven't seen any major shift there. There is an overall reduction in the market v olumes, which is reflected in our volume. In terms of pricing, it is stable. Your first question was on the 80,000 tons (as compared to Q3 FY23) . Approximately , if you take about $130 or $150 of contribution, we are seeing an erosion of close to about $10 million o n that account.

Abhijit Akella: And also one quest

ion on how much of China's demand for soda ash comes out of the lithium and solar segments, if it might be possible to shed some light on that , and also whether you would have some projections for what it might be for India in the coming years?
R. Mukundan : Can we come back to that a little later? We'll just get the data and we'll flash it to you during this call itself. [Answered later: ~2.75 million tons]
Abhijit Akella: Okay, sure.
Moderator: We have our next question from the line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: Sir, apologies if this was asked, but just in India it appears that the implied pricing and margins appear to have improved sequentially. Could you just talk about what

has been different this quarter because all the literature seems to point that it's bee n
a tough backdrop for this part o f the world ?
R. Mukundan : In terms of overall situation, it is absolutely fine. B ecause of our contract structuring,
we have benefited as compared to the rest of the pack. So, that's where it is. If you
strictly go by the market position, we should be, as our own analysis shows the
domestic industry is into contracting structures . Through that we've been able to
protect and annualize number . I would say had we priced it at import parity versus
where our contractual pricing wa s, there's a benefit of approximately Rs. 100-odd
crore , that's an internal working, but I don't want you to go by that. Broadly, it is all
the result of the contracting structures.
Vivek Rajamani: So, if I were to just get a clarification, going forward, should we kind of look at it from
a sequential perspective or maybe just look at it from an annual perspective that at the end of the full year, you'll probably be more stable ir respective of what happens
on a sequential basis depending on imports, exports , would that be a fair statement?
R. Mukundan : Yes, sequentially , I think we should be there. I think that is a fair statement .
Vivek Rajamani: And the second question was obviously I think you've spoken about the new
contracts on the pricing and we've obviously seen meaningful erosion over there. I'm
just wondering, given that we are in an environment of falling energy and all the other
costs. Wo uld you be able to offset some of this ASP declines by way of lower cost
over the course of the year?
R. Mukundan : On export, I did mention that the erosion for US exports is our understanding of
where energy will land and so the pricing in the market, $100 erosion which I spoke about. So, it includes that . It's slightly lower than $100, but I'm saying for ease of
discussion, we should just round it off to $ 100 and keep it there.
Moderator: The next question is from the line of S Ramesh from Nirmal B ang Equities.
S Ramesh: Sir, if we were to get some update on the Mongolia capacity addition, is there any
update on that in terms of how much they've added and what is the progress likely on that 5 mt expansion there?
R. Mukundan : The situation seems to be more or less static in the sense that the capacities which
were supposed to come in, have come onstream and there have been some
challenges for them in terms of reaching that capacity to market and quality as we

mentioned. And overall , we think the China market remains either balanced or
slightly short, which is why I also mentioned, this includes a blended sale to the
Chinese market. U S exports are headed to China only . But we think it will get
balanced over a period of t ime. The real challenge for us has been coming from
again, as I mentioned in the last call , from the Western Europe where w e've lost
about a million ton of demand and that million ton needs to find a home somewhere
else, especially coming out of Turkey and which is depressing prices. So, we need
to work our way through that.
S Ramesh: Second thing is , if I look at your average inventory cost of coa l, you w

ould have got
some benefit from the decline in coal from April. But what is the impact of the current increase in freight because of the Red Sea related crisis and do you see your input
cost particularly for coa l going up say over the next t hree, six months and w ould that
squeeze your margins further in India?
R. Mukundan : As I mentioned to the previous question, the margin in India sequentially is going to
be stable. We have all the numbers . They're not impacting it overall.
S Ramesh: What about the other markets like US and Europe, w ould the freight cost has any
additional strain compared to what you have mentioned in terms of the erosion in
margins ?
R. Mukundan : So, the erosion in margin includes part freight, part benefit in energy and also
includes the reduction in prices . Put everything together is what creates the
contribution number which I spoke a bout. So , it's all embedded inside there.
Moderator: We have our next question from the line of Riya Mehta from Aequitas Investments.
Riya Mehta: My first question is in the India business, how much percentage would be in the
contractual basis , short or long?
Zarir Langrana : Quarterly contracts in India would be approximately 50% of our volume.
Riya Mehta: And these are annual contracts or what would be the ir account?
Zarir Langrana : Quarterly .
Riya Mehta: In India, how are we seeing the demand side scenario? So, like you mentioned, this
quarter we saw a 1% increase in demand. Going forward in the month of January ,
how are things getting?
R. Mukundan : The demand challenge is deep in Western Europe and now because of the lithium
prices , in the Latin American markets, but otherwise in Asian market i t's not a
demand problem, it is either growing or it is flat, but it's more a pric ing p roblem here
because of the excess supply coming in out of the lost demand in Western Europe.

Riya Mehta: What would typically be the consumption in Europe and what has it reduced to, if we
can get some numbers , loss of demand in Europe?
R. Mukundan : It's about 6.5 mt or so. It's down to about 5.5 mt or so.

Riya Mehta: What will be the current level of imports which are happening in India on that account
like incremental ? I think earlier it was around 60,000 to 70,000 tons were imported
from outside.
R. Mukundan : The incremental what would have been a normal run rate versus where we've
entered the calendar year, I'm speaking is about the 600,000 tons addition.
Riya Mehta: 600,000 tons per annum incremental in India?
R. Mukundan : It used to be between 200,000 to 250,000. I think we ended the calendar year with
around 8, 00,000 or 850,000 somewhere in between.
Moderator: We have our next question from the line of Saket Kapoor from Kapoor & Company .
Saket Kapoor: Just a data point firstly, sir. You mentioned about $10 million hit on the bottom line
on account of the lower sales from the US facility ?
R. Mukundan : Yes, approximately. I think that's what it comes to. O ur contribution broadly is about,
let's say $ 125 - $130 per ton, for 80,000 tons it is about $ 10 million.
Saket Kapoor: And about the European part, what has exactly led to this contraction in demand in
terms of the Western Europe which you are articulating to earlier reply and how are
things going to shape up, this demand is permanently lost, or what is the nature of
this contraction in demand if you could explain ?
R. Mukundan : In Western Europe m ost of the consumption industries are in stress. A nd this , in our
view, if the current energy environment, if the current European environment
continues, you could say in the medium term it is lost . So, effectively I don' t wan t to
use the word, but European supply has to rationalize itself.
Saket Kapoor: Just like th e Solvay part, we will be seeing further r ationalization of capacity going
ahead to balance the market ?
R. Mukundan : I see m

any of the capacities not being able to survive with the current pricing and
demand environment. So, it is going to be challenging for them. T here will be certain
rationalization, but I can't speak for the industry, I can only see the numbers headed
there.
Saket Kapoor: Then next question is pertaining to the solar demand that is expected domestically
for our country India. So, what are we currently anticipating and what are the fillers
in terms of the solar lines that are envisaged to be set up in say two or three years
down t he line and the incremental demand in terms of million metric tons, that is
expected out of this solar initiative taken by the Government of India?
R. Mukundan : If you don't pr oject too long, you just say what the incremental demand is going to
come on stream on the announced lines which are currently being built and will be
operational in about 18 months or 24 months , it's about 250,000 tons. And in China,
the lithium plus solar demand is about , somebody had asked it before, it's about 2.75
million tons.
Saket Kapoor: So, here it is 250 ,000 tons you have mentioned?

R. Mukundan : In India, solar demand on the basis of announced projects, which are under
implementation which should get commissioned in the next 24 months , in our
estimation about 200,000 mt to 250,000 mt.
Saket Kapoor: So, this unabated import which is routing from Turkey will create more price
distortion, I mean the prices will remain lower for a longer period of time, this should
be a better understanding going ahead?
R. Mukundan : I won't comment about the pricing, but all I can say is that on an overall basis , if the
European rationalization of capacity gathers pace, it could be shorter. It'll depend
fundamentally arising out of that because that's where the material will get absorbed.
So, we have to just wait for those processes to continue during the year.
Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar: Sir, y ou talked about the slowdown in lithium demand and we have seen a slowdown
of EV sales in the developed countries. So, the way we are talking about lithium is
going to have a more contribution in the battery side usage of soda ash. So , do you
think the near -term or maybe mid- term challenges of slowdown in EV because of
current scenario or there is a structural changes?
R. Mukundan : The projects which are already commissioned will continue to run at whatever
capacity they need to run because they're fu lly onstream. So, we don't see a
reduction in demand because these are continuous process plans. And the current pricing of lithium, we see new capacity
coming onstream getting impacted. They will
find it challenging because the return on investment will be subdued for some time.

So, they may just postpone. But we think this is not a long -term trend. We really don't believe i t is a permanent situation.

Sumant Kumar: Any alternate commodity which is going to replace lithium or some changes happening in the market?

R. Mukundan : For mobility application today for passenger vehicles or light commercial vehicles and light vehicles, lithium is the best solution. For commercial segments , heavy truck segment s hydrogen is the solution. A nd for stationary , there are many solutions including sodium a nd China has started to see some sodium chemistry come onstream. But these are in the early stages.

Sumant Kumar: What is the sustainable EBITDA per ton for the US business we can see going forward?

R. Mukundan : EBITDA u sually should be delivering anywhere around $35 or $40, and in good times it could be higher , if times are bad , trends are down. I mean we 've always maintained that the US business deliver EBITDA of about $100 million with the current capacity . So, either would be a little lower or a little higher depending on market . If the market environment is very positive

it will deliver very high but the range around which we tend to observe the US operation is around that range.

Moderator: We have our next question from the line of Ankur Periwal from Axis Capital.

Ankur Periwal : Just a clarification . For the US business, especially domestic , you did mention that there are quarterly contracts there while the export business is largely on spot as I understand. Typically , we take a repricing of these contracts in December or in the

month of January . A clarification here is whether the repricing has already happened or probably we'll see another repricing happening in this quarter which is January onwards.

R. Mukundan : So, US domestic runs for the calendar year, which is starting January to December and the pricing has already happened. And as I mentioned , the average rate within the US is almost stable. Minor changes here or there may be there. If you adjust for energy and all other changes the unit is going to have, we will have stable margin. It is in exports that the coming quarter is likely to see $100 erosion. But going forward it depends on quarterly movements, which we have to wait and w atch in the market.

Ankur Periwal: We had lined up our capacity expansion in the US as well. Any change in the timeline there? I think we have mentioned earlier around 1, 1.5-year for those capacity to come up. But given the macro, any changes there?

R. Mukundan : No, let me just explain the overall capacity expansion. In India the power plant is already commissioned, and it is already delivering steam and power to the system. So, the soda ash expansion should be finished by May of this year. So , those additional volumes will come. And salt also, we expect additional volume. Overall, we expect these capacities during the year would yield incremental numbers for t he next fiscal year. And in India, we have started the detailed engineering and examining of another 300,000- odd tons , the work will commence shortly. In India, the basic engineer ing is complete for the next stage. We're going to go through detailed engineering. In US, the basic engineering work has commenced for the 400,000 tons. And then, Kenya , the detailed engineering will also commence for their 200,000 tons. So, for the two sites, the detail ed engineering we will be commencing, now that we have the support of the Board, and the US has just moved forward with the basic engineering.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj : You mentioned that there have been demand side challenges. How has been the capacity utilization across different geographies ? And is there any issue in terms of excess inventories in the global system for soda ash?

R. Mukundan : So, there is inventory in pocket s. So, I’m not going to say where exactly it is, but I think if you see the capacity utilization of the industry as a whole, it is somewhere close to 90% utilization.

Rohit Nagraj: That aggregates all across the geographies you ’re considering, right?

R. Mukundan : Correct.

Rohit Nagraj: And the second question is in terms of different region wise demand challenges . So, are there any specific challenges in certain regions that the user segment demand is getting h ampered, any cue?

R. Mukundan : I mentioned in terms of demand side, the challenge is mainly in Western Europe, what we refer to as Europe, I think that's where the demand challenge is the highest. In the rest of the world, demand is either flat or the sentiment is flat. I mean we are probably at the bottom end of the curve everywhere. It's in Europe we need to be more wat chful.

Moderator: The next question is from the line of Abhij it Akel la from Kotak Securities.

Abhijit Akella: Two questions from me. One is just to clarify the US export price erosion of about $100 . The reference point for that o

r the base is basically the third quarter which has just gone by or we are referring to last financial year as a whole or something ?
R. Mukundan : No, this is referencing what you have seen in the previous year fourth quarter.
Abhijit Akella: Given the fact that US domestic contract prices seem to have corrected far less than export prices are, is that because basically the year ago period exports are at a significant premium versus the domestic market and now that gap is normalizing, is that how we should read?
R. Mukundan : Yes, you could say that. Last year the export numbers were at a premium, but this year they are at a discount going forward.
Moderator: We have our next question from the line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: Just two small clarifications. Just in Europe when you mentioned Europe is also seeing £100 per ton erosion compared to last year. This would be across the board or does Europe also have a concept of contracted and spot?
R. Mukundan : I did mention that in the UK our business will see erosion of £100 broadly.
Vivek Rajamani: So, would be across all the volumes , would that be fair?
R. Mukundan : Across the UK business and the US export will be under GBP 100 and USD 100 respectively.
Vivek Rajamani: Just a second clarification was, in the presentation, you've given a figure of Rs. 2,000 crore of CAPEX from FY24 to FY'27. I just wanted to double check if this also includes the expansions that are coming up in India, US and Kenya ?
R. Mukundan : This is mainly India, which has been cleared. T he US is going through basic engineering. We will come back to you with those numbers shortly. And Kenya, we have mentioned it is a CAPEX of about 20 or 25 million, b ut we will come back again because the detailed engineering is underway. This number is reflective of India.
Moderator: The next question is from the line of S Ramesh from Nirmal Bang Equities.
S Ramesh: In terms of follow up, if I look at your future expansion, once the detail ed engineering is complete, when do you expect to incur the CAPEX -- will it be from FY'26 or will you start from F Y'25 second -half, any timeline you can give on how you will approach this?
R. Mukundan : I would say given the experience of the team, once it is finished, we expect execution time of 24 to 30 months .
S Ramesh: And the second thing is you have booked some savings in the power and fuel cost in India business. So, is that run rate which you see in third quarter likely to sustain in the fourth quarter and can sustain for FY '25 given the current cost structure ?

R. Mukundan : This is you're referring to consolidated ?
S Ramesh: No, India power and fuel .
R. Mukundan : Yes, in India, more or less , we would be having the same run rate because our contracts are more or less stable .
S Ramesh: On the UK specialty salt, this pharma salt and other specialty salt, any indication you can give in terms of the volumes and the kind of pricing or delta in margins you can expect and when you can expect to see that in the UK P &L?
R. Mukundan : The pharma salt project is under commissioning or close to getting commission ed fully. We expect the UK salt volumes which used to be around 75,000- odd tons probably will creep up to 80,000 to 85,000 tons.
S Ramesh: This is per annum?
R. Mukundan : No, I'm talking per quarter.
S Ramesh: There is a 10,000 tons per quarter.
R. Mukundan : Part of it will be pharma, part of it will get sold as technical because we have to develop the market . So, the pricing we will come back to maybe in t he next call.
Moderator: The next question is from the line of Ramana Murty Malla from Ramana Murthy & Company .
Ramana M Malla: Just couple of questions, One is this consumer related business for Tata Chemicals has been moved to Tata Consumer. Now , what is left is the subsidiary sectors are there, are ther

e any plans to consolidate the domestic operations meaning the subsidi aries merging with the Tata Chemicals also as a part of cost rationalization? Second question is Rallis India remained small compared to competition. So, are there any plans to expand R allis as an individual Company or are any plans to merge with Tata Chemicals to make a slightly bigger Company because part of business has already moved to Tata Consumer , so therefore, are there any plans to further consolidation in the Tata Chemicals? This will help the Company to grow and reduce the cost.

R. Mukundan : Any listed or unlisted subsidiary, the B oard takes a call from time- to-time. As far as Rallis is concerned, our intention is to support the management to g row that business and we will continue to support Rallis to achieve its true potential. That's all I can comment sitting on the B oard of th e Company .

Moderator: We have our next question from the line of Bhav in Soni from Anand Rathi.

Bhavin Soni: Just needed a clarification on the capacity utilization figure that you had mentioned above. If you can just repeat it?

R. Mukundan : Broadly they tend to be closer to 90%, I think whether it was 89% or 88 %, we expect by the year finishes we will be close to that , and next year also, we expect a similar sort of a number .

Bhavin Soni: And this is an each and every geo combined basis, right?

R. Mukundan : This is on a global basis.

Moderator: The next question is from the line of Riya Mehta from Aequitas Investments.

Riya Mehta: My first question is in regards to the current expansion. We are doing around 1.85 lakh MT in India for soda ash by H2 FY24, and over and above that, we are planning for another 300,000 tons. Is my understanding right?

R. Mukundan : No, in terms of the expansion, what we are doing is close to230,000 tons to 250,000 tons, and additional stream of about 300,000- odd tons which is under execution.

Riya Mehta: So, by H2 FY24, we will be around that , we are currently at 12 and that only took 15.5?

R. Mukundan : We'll be slightly upward of 1 MT .

Riya Mehta: We get 11 lakh tons r ight now ?

R. Mukundan : We are about 0.85 is effective utilization capacity. I think we'll go to 1.1 MT .

Riya Mehta: By H2 FY24 ?

R. Mukundan : That's correct.

Riya Mehta: Are we planning any further price erosion in India business since the demand is like in low single digits and we are planning for expansion as well?

R. Mukundan : No, I told already that the margin is expected t o be maintained.

Moderator: We have our next question from the line of Saket Kapoor from Kapoor & Company . Please go ahead.

Saket Kapoor : When we look at the power and fuel line item on a Q oQ basis, that has gone up from Rs.650 to Rs. 700 crore . Is this f actoring in the US shut down, what explains this increase?

R. Mukundan : This is in terms of the gas pricing, oil consumption in Mag adi and energy costs in UK all put together, which is where the hedging of these commodities have come off and now they ’re paying the full market price .

Saket Kapoor: So, this will be the run rate going ahead also keeping the capacity utilization levels at the current level?

R. Mukundan : Broadly we should track i n that range between Rs. 650 and Rs. 700 Crs for the utilization levels .

Moderator: We have a next question from the line of Saurabh Jain from HSBC.

Saurabh Jain : One clarification is that there was a disruption that you mentioned in the US business for Q3. Are all the disruptions sorted in the fourth quarter and would it be a more normalized quarter from volumes point of view?

R. Mukundan : Our shutdown got extended by about three or four days more than what we planned, which was accounting for 50% of the loss for us . The balance 50% has been because of the rail car shortages . As I mentioned, w e are working with Union Pacific and ot

her logistics service providers. Th at's always a challenge because it is not fully within our control , but we are hopeful it will not continue. They've also done the needful to sort of support the industry.

Saurabh Jain: Also, can you give some comments around how the headwinds in bi carb business if at all in terms of demand absorption and also how is the profitability, how does it look like in the bicarb business, some comments on that si de will be helpful ?

R. Mukundan : In bicarb and in salt we are not seeing any such challenges. It is mainly in the soda ash business .

Moderator: We have our next question from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj : Sir, we have seen last year China was coming out with capacity in Inner Mongolia and they have further plans to expand the capacity next year as well. So, will that reflect in terms of benign price environment in 2024 and '25, so any color on the same?

R. Mukundan : As I mentioned even in the last quarter, I think we are actually focused on what's going to unfold in Europe and we remain focused on that because the challeng ing part of the world is actually in W estern Europe and hopefully the issues are

addressed, the rest of the world probably should rationalize.
Rohit Nagraj: Second question is in terms of the lithium battery space. I think earlier a couple of years ago we had indicated that we will be putting up a lithium battery recycling plant. Any progress on that front ? And beyond that or do we have any other area which we are looking at from a battery space except for supplying say soda ash from the lithium carbonate manufacturing perspective?
R. Mukundan : Yes, we are engaged with our Group Company , Agratas. And as I said , as and when we have any finalized plan, we'll come back .
Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to the management for closing comments. Over to you.
R. Mukundan : Thank you. So, I just wanted to say that we did face a fairly challenging quarter and most of the challenges have been met positively by the management team, but we remain focused on our long -term strategy . We think w hile the short term challenges remain, the long term future of all the parts of our businesses is positive. So, our growth plans are continuing at pace as planned before. And fairly , I just want to say that even though we know that the next few quarters will be challenging, we will continue to focus on what we can control, which is our customer engagement , fixed cost and cost competitiveness and paydown of debt and at the same time remain focused on long term. Thank you.

Call: May 2024

May 7, 202 4
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500770 The Manager , Listing Department
Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM

Dear Sir / Madam ,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and financial year ended March 31 , 202 4
Further to our letter s dated April 19, 2024 and April 23, 202 4, we enclose herewith a copy of the transcript of the Analysts/Investors Call on the Audited Consolidated and Standalone Financial Results of Tata Chemicals Limited for the quarter and financial year ended March 31, 202 4 held on Monday, April 29 , 2024.

The same is also being made available on the Company's website at: https://www.tatachemicals.com/investors/financial -reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above

Tata Chemicals Limited
Q4 FY24 Earnings C onference Call
April 29, 202 4

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY24 Earnings Conference Call of Tata Chemicals Limited.
I now hand the conference over to Mr. Gavin Desa f rom CDR India. Thank you, and over to you, sir.
Gavin Desa: Thank you, Rayen. Good day, everyone, and thank you for joining us on Tata Chemicals' Q4 and FY24 Earnings Conference Call. We have with us today Mr. R. Mukundan, the Managing Director and CEO; a nd Mr . Nandakumar Tirumalai, the Chief Financial Officer. Before we begin, I would like to mention that some of the statements made in today's discussions may be forward -looking in nature and may involve risks and uncertainties. I would also add that this call would need to conclude by 7:45 p.m. IST. I now invite Mr. Mukundan to begin proceeding with the call.
R Mukundan: Thank you, Gavin, and good evening, a nd welcome, everyone, for the Q4 and FY 24 Earnings Call. I have Nandu along with me for today's cal l, I will highlight with a brief overview of our market conditions and our operational highlights. Within India, demand for our main products, soda ash , while it was muted, it was showing signs of recovery, mainly boosted by detergent and chemical sector. The co ntainer glass demand re mains steady , and demand in Europe continued to be muted . US mainly, I think the demand while being stable, there are signs of some bit of fall in the container glass which we are watching very closely. As far as Africa and Middle Ea st, there continues to be pockets of strength and pockets of stable demand. In South America, while despite weaker imports, the optimism is growing. And this is despite the fact that , some of the lithium mark ets were

challenged. The view is that in the lon g term and in the medium term, these markets would continue to be fine.
As far as China, soda ash demand is concerned, it started on a strong note, and the apparent demand on January and February broadly gr ew by about 15 odd percent compared to last year. The supply side, the key challenge continues to be the European market where because of the loss of market, the Turkish capacity is moving to the rest of the world. But the Red Sea conflict has put some higher freight rates and has meant a challenge for th e material to move into the Asian markets and that has given a bit of cover.
The Mainland China did experience a higher soda ash supply also because of the imports, and they remained a net importer in Q4 FY24. We will continue to focus to monitor the Europe an soda ash market, which continues to be the main cause for our worry.

In terms of Tata Chemicals, overall sales volume grew sequentially despite adverse price movement on account of market factor . In India, we saw the highest salt production and sales, a nd we had to moderate a bit of the soda ash volumes mainly to make sure to maximize salt production , but with the incoming hooking up of the boiler, we expect both soda ash and salt to continue to grow. As far as US domestic market is concer ned, while the absolute volumes in the domestic may have fallen, the future trend is expected to be positive, and we continue to track very good production numbers as well as we would b e having very good shipment numbers going forward.
In UK, the soda ash did mo ve to fix ed price margin, our demand and volume have fallen sharply, and we continue to sort of maintain our production very close to the market demand conditions. Rallis had a soft quarter , while domestic market is fine, the international market continues to have challenge. They are well positioned to continue to improve their performance and they have a new leadership, which is rethinking the strategy and approach to market.
In conclusion, despite difficult operating environment, company has continued to maintain stable performance. Global demand is showing signs of stability and a bit of recovery. But we need to be cautious because of the geopolitical instability and high int erest rate environment still continuing. We expect sustainability to be a long -term trend and hence the market segments, which we have stated that solar glass and lithium will continue to be the growth engine.
Our focus is on timely execution of the expans ion projects. Most of them are getting commissioned in the month of May 2024 . So, towards the quarter two, you would start seeing additional volumes being coming in the market. We also are continuing to focus on customer engagement and cost management. And this will be aided by our digitization effort. So despite the challenging condition, we c ontinue to remain positive. We had to take a non -cash charge, which I'm sure Mr. Nandakumar will highlight during the Q&A session. And also, we would also address the issue of the NCD, the fund raise, which has been highlighted in the results meeting durin g the Q&A.
So, we would be happy to get into the Q&A session directly and address your queries as we move forward.
Moderator: Thank you very much. The first question is from the line Saurabh Jain from HSBC.
Saurabh Jain: Obvious first two questions are, ca n you provide more details around what is the purpose of these NCDs? And also explain more on the non -cash charge, please?
Nandakumar Tirumalai: So, on the NCD bei ng issued going forward, that is basically to look at where we can use the money for delevera ging other geographies . – The arbitrage opportunity is available in terms of interest rates ; the purpose is that . On the impairme nt, we do an annual impairment test every year ending in March .
And in UK, there are three plants, one is in Salt, one is bicar b, one is soda ash in Lostock, all are nearby.
So, this plant in Lostock has been impaired as per IND-AS 36 as required , because these future cash flows at this point of time are lower than what we are holding value of the assets are. It's a non -cash one-time charge in the books of accounts. So, it's one particul ar plant mainly in the UK.

Saurabh Jain: So, when you say the write -down of this asset, is it the inventory or we need more clarity on that side?
Nandakumar Tirumalai: It's fixed asset basically. So, you see we check for all the balance sheet assets in terms of what's actually worth. So, inventory checks for the NRV, so like that. So fixed assets are checked against what is the future discounted cash flow of the assets, which is going to perform over a point of time.
And every March, as per the part of account position we need to look at e

ach asset we have across the globe, which is in the US, India and Kenya. And this particular asset in Lostock had an impairment based upon the projections of cash fl ow which we have done based upon the view of the market in soda ash as of now .
Saurabh Jain : So, this is essentially -- all of it is relating to plant and machinery, no inventory , right?
Nandakumar Tirumalai : Point number 5B explains the exact impairment i n the SEBI notes.
R Mukundan : This is not inventory . This i s mainly plant and machinery , you're absolutely right.
Saurabh Jain : Okay. And can we expect more of such adjustments in future? Though you have said once in a year, but do we expect any surprises from any other geographies or UKs on this side ?
R M ukundan: Nothing, in fact, our view has been that Europe has been challenged. And I think this is a reflection of

the challenge, which we have been sort of highlighting to all the analysts and it is tested in terms of future cash flow, pricing and the contribution , the cha rge this quarter. We do not anticipate any other major asset or anything under pre ssure, incl uding our operations in India, Kenya or in U.S. or all our operations.

Saurabh, even within U.K ., our operations in Salt, Middlewich , which are absolutely fine. The charge is mainly related to the soda ash pla nt in Lostock. Our pharma ceutical salt plant, our bicarb plant, they're all absolutely in fine condition. We continue to operate these plants.

Saurabh Jain: Understood. And on the NCD, it is just a kind of refinancing, right? There are no fresh investments that you are going to deploy with this money?

Nandakumar Tirumalai: The purpose right now is to look at opportu nity for re financing debt over seas by borrowing in In dia for arbitra ge.

Saurabh Jain: And any timelines on this side, have you decided yet?

Nandakumar Tirumalai: I think in the next few months.

Mod erator: The next question is from Abhijit Akella from Kotak Institutio nal Equities .

Abhij it Akella: On the world demand and supply environment, if you could help us with your estimates of what the demand situation . Demand decline which we seen in CY '23 and your outlook for '24? And also you have mentione d that the m arket is oversupplied. So, is it possible to quantify how much the extent of oversupply is right now in the market? Thank you.

R Mukundan: Abhijit, the broad oversupply, demand supply mismatch is about 1 million to 1.2 m illion tons in the European market b ecause that's the demand de struction has happened and the supplies have remained and unless the capacities go out and we have not had any announcements of any capacity go out, I think this environment will continue and t his materia l will tend to flow out.

The other big demand supply area has been China, where we had 5 million tons com e in. But effectively, that material is still finding its h ome only in China. It's not finding it's home outside. And that is mainly because it fulfils some local requirements and local logistic requirem ents. We anticipate that if at all there's any pressure which can come, it will be from Chinese market in case the real demand there falls. As of now, what we can only say is that the Chinese prices have more or less seemed to ha ve bottomed out. They were close to about CNY1,900 or CNY1950. And they have moved to about CNY2,000. They have range bound in that number. Last year, same, I think this number was close to about CNY 2,400. So, there is a dip, there is a fall. But what we are seeing on the ground is that this is probably hit the bottom.

And the same as the pricing commentary as far as India is concerned, the prices, including the import prices are mo re or less holding and the demand environment continues to be fine. So real ly, as I mentioned in all t he calls, the trigger for demand supply balancing has to start from Europe and hopefully, what we get a addr

essed over a period of time.

Abhijit Ake lla: And ju st one other thing on our capacity expansion plans. In the context of the oversupply, any sort of second thoughts you might have about some of the expansion in the U.S. or Africa?

R Mukundan: So, Abhijit, the point is that we will contin ue to expand where it is competitive, in terms of serving the market. I think we've got v ery good markets in India a nd U.S. These economies are doing very well. And these are also in terms of cost to serve local as well as international markets ver y competitive. So, our work on this in this direction continues. Kenya, as you also know, is a lo w-cost asset, which is able to serve Indian and South -east Asian market very competitively. And ours is a dispersed expansion. It is not concentrated on one si te.

So, the expansion of 250,000 ton in India is almost done , actually, it's getting commissioned as we speak with the hook -up happening in the month of May. And in terms of the next phase of another 300,000 ton, that work is at pace in India. Kenya also would increase the capacity by 300,000 ton and 400,000 ton in U.S. This we are continuing to pursu e. These are all in design phase now and implementation will start shortly, and we will start highlighting the capex and the othe r numbers t o all of you. And since all these are brownfield, they are very value creating.

Moderator: The next question is from Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: So, in your comments, you mentioned that you're expecting the U.S. domestic v olumes and volumes in general to be positive going forward, and expecting good shipment numbers. Just wanted to clarify where you're seeing these demand trends that support this assumption of yours? That's the first question.

R Mukundan: The issue is about our o wn capability in terms of operation and delivery. I think the plant has had record numbers , actually in the month of Feb ruary and March, and the op erations continue to post record production numbers. And as you know, the U.S. operation because of the cost structure is able to move the material in most parts of the world , so it will continue to serve the domestic demand as i t continues to grow in all along in North America, which is in U.S. and Mexico and Canada put together.

In addition to that, we will also be able to ship this material to our customers overseas, mainly in LATAM , Asia Pacific region. And some part of it wou ld certainly go to Europe. We've already shipped one shipment to Europe and also one shipment to China in the last quarter and this quarter.

Vivek Rajamani: Sure, sir. And just one clarification here. You did not mention that container glass is still a bit of a struggle in the U.S., correct?

R Mukundan: Yes. This continues with respect to, to be a bit of a challenge in the beer demand, is continuing. And we do hope it will stabilize because the market conditions from the broad economic point of view, does r emain positive. We do know that we will have e ven greater positive bias once interest rates start to trend down, which has been long coming, which is why I was a bit cautious in my commentary saying that one is on the geopolitical conflict , depending on wh at happens in which region could provid e us opport unity. For example, the Red Sea conflict in some markets has given us a better opportunity. But if interest rate remains high er for longer, I thi nk we will have to continue to watch our consuming markets. But as of now, what we are s eeing is that there is no more increase in interest rate. We seem to have peaked. The prices of the soda ash have almost bottomed out. So from all perspectives, this is, where we are at a point where it can only trend a little bit up.

Moderator: Next quest ion is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Just continuing with U.S., given that last part of the sal es volume th

at we do have long -term in nature contracted, will it be fair to sort of working EBITDA run rate will be similar a s what we see in this quarter?

R Mukundan: Yes. Broadly , if you look at the domestic, for the first three quarters, the numbe rs are more or less contracted. There is some open quant ity in this Q4, which we will close during the course of th e year. And expo rts also, in Q1, it is fully contracted. Q2, it's close to about 80% contracted. So we would continue to see similar trends here.

Ankur Periwal: Sure. And the same breakup in terms of, short -term and long -term contracts, how do we stack up in the U.K. , given the profitability has been slightly under pressure here and the demand outlook has not been available here?

R Mukundan: The customers are now, understand that the prices are more as bottomed out , they are beginning to engage on a longer -term contract . Because you see , normally the customer behaviours when the prices have not yet bottomed out, they would want to test whether it's a bottom . Since the prices have more or less hit the bottom, most customers are willing to engage on a longer term. Our team al ways wants to have a mix, but really, we wo uld continue to sort of work on a combination of the two. But I want

to give the flexib ility to our sales and marketing team in the way they want to sort of build this whole piece. But usually, we tend to keep at least 50% to 60% under contract which are l onger term in nature so as to provide stability to our sales outcomes.

Ankur Periwal: Thank you.

Moderator: The next question is from Riya Mehta from Aequitas Investment Consultancy.

Riya Mehta: So my first ques tion is when we see soda ash vol umes for In dia they have declined on a quarter -on-quarter basis. With us ramping up the new Brownf ield capacity of 250,000 tons in May how do you see the volumes turning out to be and capacity utilization?

R Mukundan: So thi s quarter, as I mentioned , we did ramp down a bit of the production. It was actually constrained by production , not by market. And largely because we had a certain amount of utility shortage because hook -up of the boiler had not happened. It's happening in the mon th of May f ully and the expanded capacity is also coming on stream. So we did increase the production of salt to ensure th e shipment and the market needs are fully met.

Having said that, I think these constraints will not be with us post May when the boiler capacity that would be hooked -up. So really, the number which you're seeing in Q4 is a constrained number because of our utility constraint which we had faced during the quarter.

Riya Mehta: Okay. And how do you see the rampin g-up of the Brownfie ld capacity of 250,000 tons in India – if you can give the full capacity utilization?

R Mukundan: Once the capacity is hooked up, I think we would probably tend to sort of see full capacity reaching in about 90 -odd days or so, not more than that.

Moderator : The next question is from S. Ramesh from Nirmal Bang Equities.

S Ramesh: Sir if you look at the Chinese capacity addition of 5 million tons. Wouldn't that be driven is it operate at full capacity? Wouldn't that ac tually add to the excess supply given w hatever consumption if you take 60 million, 65 million consumption, it's about 10%. So how do you see that full production in China and Mongolia are coming in to the extent that although it's consumed in China or the overall Asian in consumption it kind of replaced whatever is being imported by the production. So wouldn't that need to excess supply in Asia?

R Mukundan: So you would normally tend to state that, but I think if you really look at what has happened in the marketplace , the Chinese material has t ended to continue to be in the same proportion as they been exporting in the past. The reason for that is , some of the units are beginning to operate at a lower

operati ng rate moderating at the level. And I mentioned this also in the last call, the natural capacity tends to put pressure on the synthetic capacity most synthetic capacity are near the co ast. Further, when they export, they come under even more pressu re because they get lesser net realization. So the incremental volume they move from domestic t o export because of the pressure they face from natural capacity tends to be at a lower pricing.

So this is a phenomenon we have seen in every market. So this will play out and is playing out exactly in the manner which we had highlighted. Now the issue w hich we need to worry about is not so much on the supply side. I would rather be focused o n the demand side. If the Chinese real estate and other elements in the mar ketplace play very negatively for them and the real demand starts to compress that's when w e should be worrying. As of now, China has been positive in demand growth and more or less I think from our perspective . So I would fundamentally say that , we are watching the situation closely. The Chinese demand in terms of the real esta te cost initially balanced out by the increase in solar glass d emand. Also , the demand for lithium carbonate they're booming EV sales, but we need to watch all these sectors.
So I'm for not once saying that there may not be any impact from the Chinese mar ket. All I'm sayi ng is as we are observing the market trends now the continued pressure seems to be coming out of Europe and not out of China.
S. Ramesh: So the next thought is around if you look at UK before this impairment you were bringing cost down Y-o-Y. So in the UK and US what are the kind of reductio n in the contract prices and how do you see the margins play out in UK and US from the current margin which are obviously in that low range of around USD 40, USD 50?
R Mukundan: So, I think there has bee n a compression i n terms of the contributi on margin i n UK. And I think Nandu can correct me. It has broadly been in the range of about USD 30 to USD 40-odd per ton and that's created a pressure on the financial numbers to do the impairment charge. We, as o f now, do not anticipate a ny major ch ange in that number, it will continue to be under pressure, and which is why we've taken the call to impair (take the financial charge).
Moderator: The next question is from Arjun Khanna from Kotak Mahindra Asset Manage ment.
Arjun Kha nna: Sir, given where the market is right now, how would we envisage our debt structure? We are raising NCDs, but if you look at the debt it's roughly up Rs.265 crore year-on-year. So what is our thought process in terms of the net debt si tuation?
R Mukund an: So broadly, this is also another issue which you've highlighted, Arjun. See, because our debt is denominated in dollars, I thin k there is also a value increase which happens due to depreciation of Indian rupee. So, once we sort of subs titute this with Indian debt, at least that increment will stop happening. And the idea is to as Nandu has highlighted there is certainly a benefit to having Indian rupee -denominated debt and pay down the dollar -denominated debt. I think that's the opportu nity we are lo oking at. T his is not to fund any expansion. Expansion will continue to be funded through internal accruals. This is to replace some of our existing dollar debt with Rupee deb t. Nandu, if you want to correct me if I am wrong.
Nandakumar Tirum alai: I think it' s correct, Mukund. So Arjun, the reason is that , it has to refinance some debt. And if you look at it, going forward as of now in India the major capex is over. Mithapur is getting capitalized now. So, we will be having a bit lesser capex going forward tha t will help us in the overall FCF being better. So therefore, that's wh ere we are in terms of the overall debt number. As rightly mentioned, if

the price improves, we ca

n start repaying more debt. As of now, we are loo king at the free cash flow which would be slightly better than past because of lower capex.
Arjun Khanna: Sir, what does that mean, sir, slightly better than past?
Nandakumar Tirumalai: See, if you look at the capex, we had in the last 2 years' time we had the expansion happen ing in India
at M ithapur. That has been more or less done. And we have just capitalized some part of it in March and some part in May or June. So the next stage of capex will start happening now over a point in time. So the major bulk of the capex in India has got down now .
Arjun Khanna: Because we have mentioned in the slide that we are doing INR2,000 crore of capex FY25 to FY28...
Nandakumar Tirumalai: Yes, that's over next 4 years . But as we had the last expansion, over the last 3 -4 years' time, so the pace of capex was much, much higher last 2 years' time. So the next phase will happen over 3 or 4 years' time, Arjun.
Arjun Khanna: And the expansion in U.S. and Kenya, which we had announced?
Nandakumar Tirumalai: That also happen over the next couple of years' time.
R M ukundan: Yes. So Arjun, let me just highlight that , what Nandu is saying is that the debt between India and Singapore is not likely to move up. In fact, i t probably is likely to trend down as we start to have positive cash earnings because the bulk of the capex cycle , (large capex growth cycle) is almost over, and we will capitalize all of this in the month of May -June in the period.
In terms of the U.S. and the ne xt phase of expansion, as I said, it's in design phase. So there will be a lull in between. Th e capex expenditure follows the S curve, which starts slow, p eaks up very rapidly and then start to slow down towards the end. And the S curve norma lly runs fo r about 18 to 24 months. So we expect the lean period to continue at least durin g the course of t his year and maybe part of the next year before it ramps up again, by which time, we would probably have enough visibility and also positive earning s across th e board.
Kenya is already having no debt. Rallis ha s do debt, I ndia has no debt. And Singapore de bt will be

partly addressed through the NCD, and we will pay th at down in India. In terms of the U.S. debt, I think we had committed 3 years to pay down that debt and the first year of that cycle is over. We had committed $100 million. We paid down $110 mi llion as against $100 million.

And we will continue to look at opportunities during the next 2 years. The maximum we see it increasing instead of being 3 -year pay down, it may have b ecome 4 -year pay down. Our calculations are landing somewhere there. So t here is a change, but I think we will work our way to make sure that -- to keep the commitment we have made to pay down in 3 years' time. First year has run well. The next 2 years may get extended by another year, that's the maximum we see .

Moderator: The next question is from Sumant Kumar from Motilal Oswal.

Sumant Kumar: Sir, my question regarding U.S. We have seen a Q-o-Q improvement in U.S. soda ash volume. But still, EBITDA per ton , per kg, are still subdued. And in Q3, we have an exceptional loss als o, one - time expe nse or one -time loss for the U.S. business - so what is the going ahead i n next coup le of years, EBITDA per ton we are expecting? And what are the key reasons for that when you subdued the EBITDA per ton in this quarter?

R Mukundan: So on t he volume, let m e address that broadly. If you look at the last quarter, Q3, our export v olumes were broadly 298,000 tons. This quarter, the number is 370,000. So there is an increase. There's al so increase in the domestic, which was 231,000 tons to 256,00 0 tons. Sequenti ally, there is increase in those numbers.

And as I said, our unit is doi ng well, and they are trending well. Lastly, last quarter, certainly there was an issue of broadl

y about 50,000 -60,000 tons getting impacted because of various shipmen ts as well as the Union Pacific as well as internal maintenance extended shutdown, which we had, but that is now behind us, which is why you see the numbers trending up.

As far as EBITDA is concerned, largely, I think the domestic EBITDA is stable. We have not seen anything more than $4 or $5 change in the EBITDA number compared to last year. The biggest fall has been on the export side, where the EBITDA number is almost dipped by about, $90 to $100 odd, in terms of what it was previous year to this year. S o overall, I think it's a blend.

Sumant Kumar: So you are saying that quarter -on-quarter export margin has deteriorated. When we talk about what we are getting at China is doing good in demand side of solar glasses, okay? And then you are talking about Eu rope is a problem. So w hat are oth er factors impacting export business for us?

R Mukundan: So fundamentally, if you look at it, the export realization overall has dropped. International prices overall have dropped in all markets. While in some m arkets, it may be less , more other markets may be more. But I think it has overall dropped by anywhere between $100 per to n to $120 per ton, and that continues to reflect in the export pricing and in the contribution and it' s sort of s traightaway pours into your EBIT DA margin.

More ac curately, if you look at it, the current quarter, the NSR is down from the previous quarter in export to almost $60 -odd. And the fall between the same quarter last year, beca use last ye ar, this quarter was a peak because the prices were r eset down by $150 broadly on the export side.

But on the domestic side, it is hardly a movemen t of $2 from last year, and it's hardly a movement of $8 from the previous quarter. So really, the change is not in the domestic pricing . our domestic realizatio n. It is mainly on the export. And this is likely to sort of continue in the near term. And we do expect at least some positive changes happening only towards the Q4 of this current financial year. The next 2, 3 quarters will trend to the similar number.

Moderator: The next question is from Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Sir, m y first question is you mentioned in your opening remarks that China demand improved by about 15% during the first 2 months. So could you just help us to explain w hich in all segmen ts are

doing well in China in terms of user industry, given that real estate has not picked up plus -- on EV side also, there has been some slowdown. So just your perspectiv e on the sa me.

R Mukundan: So I think it is across all sectors. A nd this is why the numbers from China are not matching the commentary we hear on real estate. They do seem to be doing well on solar glass. They do seem to be doing st ill on the lithium carbonate processing, even though the prices have fallen.

So most of these sectors seem to be doing well, but we need to sort of watch out which could ultimately lead to some bit of erosion in the deman d.

But more importantly, it's going to be very important to watch real e state how the unbuilt , let's say, units there in re sidentia l are dealt with by government. Do they take it through a mechanism for completion or they do not take it through a mechanism for com pletion, li ke it was done in India, especially if you look at some of the projects in and around Delhi and N oida. S o we sti ll have to watch that resolution . It remains an issue of pressure. So we will watch that space.

Rohit Nagraj: Sure. Sir, second quest ion, you me ntioned generally, the European demand remains the key driver. And if that demand does not improve, prob ably giv en the market is oversupplied, will the pricing environment generally remain benign throughout 2024?

R Mukundan: See, the basic issue for that h as been the supplies out of Turkey, which normally would hav

e gone
into Europe are now moving int o other parts o f the world. And that number is fairly high and that is causing a bit of dissonance in all parts of the world. For that to correct it self, it is not a demand question because we are not even questioning whether demand will go up. Our view is that t he suppl y within Europe has to come down, which means some of the units have to slow down or may have to take a very difficult view of what they do wit h the capacities there. And we have to watch that space. That is a process which will happen or maybe mos t likely to happen.
Moderator: The next question is from Nitesh Dhoot from Dolat Capital.
Nitesh Dhoot: Just a quick one from my side. Typ ically, how many days of shutdown is taken in Q1? And will it be sufficient for integration capacity with the existi ng plant ?
R Mukundan: So this quarter in Mithapur where the recovery is happening with broadly a 10 -day plant shutdown. We are building out the invento ry to make sure our customers are fully serviced. And it should normally be around that period, not more than tha t.
Nitesh Dh oot: Thank you, sir.
Moderator: We take the last question from the line of Saket Kapoor from Kapoor Company.
Saket Kapoo r: Sir, you did mention about lots of material moving from Turkey to other parts of the world as there is a demand d estructi on in Europe. So my question is particularly what has led to the demand destruction in Europe? And how will this situation improve g oing ahead? And what has been the import into India for the last quarter and for the full year as a whole?

R Mukun dan: In terms o f the demand in Europe, the main issue is that, because of the unfortunate confl ict there, , they've lost access to the cheap Russian gas and energy, has an important role in most industries, including our consuming industr ies and that creat es its o wn set of stress and the high inflation environment, and that creates a cycle of demand for all sectors. So it is driven off the consequence of what is happening in that space. And we have seen that there's been no resolution for almost 2 years now. And wh ile the gas price s in Europe have come down, they are still 3x the peak level. So really, that is the key driver why the European situation is really difficult. And the reason I said that it may lead to some kind of a permanent way of shift of , active capa city is mainly because many of the units will find it challenging, including the consuming industry of the soda ash itself. So let me leave it there because I think we've got to watch it sector by sector and space by space. And that is so mething which will play out.
This has not been the situation in other markets, which are supplied by a very different level of energy source. U.S. is very competitive, and it's a gas energy source. China continues to have a mix of coal and renewable and g as no w inc reasingl y coming from the Russian side. And also, India was not exposed to this. So , these markets were not exposed to so they are coping better than the European market.
In terms of the consequence of that, what h as happened in India, broadly, we've seen about 0. 5 million ton of additional imports. And in a market which used to be in the range of broadly 600,000 tons import , has crossed 1 million to 1.1 million tons, and the marke t demand in India has been fairly stable last year, compared to the year end ed '23, w here the demand was 4 million tons, the demand this year has been 4.056 tons. So , there's been a 20,000 tons, 30,000 tons increase in the demand condition in India. It has not fallen. It has remained stable. But the domestic player sales to the ma rket has b een depressed because it was almost to the tune of 500,000 tons increase in the imports, which have primarily come from this source.
Saket K apoor: Sir, if we look at the freight and forwarding the charges it has gone up by 100 crs Q

oQ, can you
explain reason for the same ? And on the carbon capture program , we have done some work for the U.K. government, and we have spent some money on the carbon capture. Now when we have ta ken impairm ent, does that value also goes down? Does it have any correlatio n with the carbon capture program also ?
R Mukundan: There is no impact of that. In fact, even the units which have been impaired are continuing to produce, it is not related to operati ons. So we will continue to serve our customers as long as it is profita ble. But t he soda ash plant, which is in Lostock is not making adequate margin to cover its asset base, which is why it has been written down. Operation of CCU has no bearing on this. That continues at pace as well as our bicarbonate and salt production co ntinue as planned before.
And in fact, I think to clarify your point, Saket, U.K. will continue to focus on the more value -added space of bi -carbonate, salt and pharmaceutical salt. They will continue to run them very efficiently, and they are profitable. Out of GBP 25 million EBITDA, which we normally telegraph as a sustainable number there, GBP 15 million usually should come from the other 2, whi ch is bi -carb and salt. And we think that could continue to climb further , as the pharma plant goes on stream.

Moderato r: Thank you very much. We will have to take that as the last question. I would now like to hand the conference bac k to the management team for closing comments.
R Mukundan: Thank you everyone, on the call. I think there's been several queries on the NCD a s well as on the impairment. Let me again reiterate that the NCD is primarily for deleve raging or f inancing the external debt with Indian debt. And I think we would want to make sure that in rupee denominated remains constantly paid down with the cash earn ing capability out of India.

In terms of the non -cash write -down, it is primarily on so da ash, as Nandu has explained, the underlying asset versus the cash earning capability, I think we have to match it and we took the write -down. Our strategy i n U.K. co ntinues to be the focus on the value -added products to grow further, and we contin ue to engag e on that piece.

The rest of the parts of the world and our operations, salt will continue to get adequate support and continue to grow. Our focus bringi ng on stream the current project within Mithapur, will show fruition during this quarter. A nd the next phase of expansion, the design work is at pace, and we will come back to you with specifics. But broadly, these will be highly value creating because of t he brownf ield nature of these expansions.

We continue to remain focuse d on our cu stomers. We continue to watch them very closely. As of now, the market is in a very stable bias. And while there are certain headwinds, we need to watch out high interest rat es and th e element of some sectors in some of t he markets are coming under pressure. The overall d emand situation continues to stable. There is a continued focus on making sure that our cost structure is most competitive. At the same time, we are continuin g to focus on our sustainabi lity effort in terms of decarbonization and digitization. Thank you all, and we look forward to meeting once again at Quarter 1.

Call: Aug 2024

August 12, 202 4
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM
Dear Sir / Madam ,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the first quarter ended June 30 , 202 4
Further to our letter s dated July 19, 2024 and August 5, 2024 , we enclose herewith a copy o f the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of the Company for the first quarter ended June 30 , 202 4 held on Monday , August 5, 2024.
The same is also being made available on the Company's website at: https://www.tatachemicals.com/investors/financial -reports .
You are requested to take the same on record.
Thanking you,
Yours faithfully,
For Tata Chemicals Limited
Rajiv Chandan
Chief General Counsel
& Company Secretary
Encl: as above

Tata Chemicals Limited
Q1FY25 Conference Call Transcript
August 05, 2024

Moderator: Ladies and gentlemen, good day and welcome to Q1FY25 Earnings Conference Call of Tata Chemicals Limited.
I now hand the conference over to Gavin Desa from CDR India. Thank you and over to you, sir.
Gavin Desa : Thank you, Sagar. Good day, everyone, and thank you for joining us on Tata Chemicals Q1FY25 Earnings Conference Call.
We have with us today R. Mukundan – the Managing Director & CEO, and Nandakumar Tirumalai – the Chief Financial Officer of Tata Chemicals Limited.
Before we begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. I would also like to state that the duration of this call will not exceed 50 minutes.
I now invite R. Mukundan to begin proceedings of the call. Over to you, Mukund.
R. Mukundan
: Thank you, Gavin. Good evening. Welcome everyone to our Q1FY25 Earnings Call.
I have alongside with me Nandakumar Tirumalai – our CFO.
I will start the discussion with a brief overview of our operational highlights following which we can commence the Q&A session.
Overall, on the industry:
The demand has been stable across all end user industries. Demand for detergents, as you usually know within India, goes through a bit of moderation during monsoon and then picks up again very strongly after winter and goes on to remain robust. Demand for flat, container glass and solar glass is good. In North America, while the demand is flat, Europe experienced muted demand and Chinese demand was strong

between January and May and demand for solar glass and lithium carbonate was on
a strong footing within China.

Imports into India, while they did go up between January to May, it has been
moderated post that and mainly on account of higher freight rates due to tensions in Middle East. Most of the companies in US have been able to resolve operational
issues, and most of the units in US are operating at normal operating levels. Chinese
soda ash production, however, was slightly reduced due to some issues in Inner Mongolia and this was also partly, we heard, because of some issues related to
quality improvement which was needed in the product. So, overall, I think the
demand supply situation remains balanced an d we do believe that this situation is
likely to continue for a couple of more quarters.
India had stable volumes; prices were lower. During the quarter, we commissioned
2.3 lakh tons of soda ash at Mithapur. This capacity will come on stream in the coming months. Export market in US saw a low volume, but between the Quarter 1
of last year and this year, it is an increase. And sequentially, the export pricing was
better. UK had stable volumes; however, the prices had softened. Kenya saw marginally higher volume an d marginally higher prices sequentially. Ra llis's Q1 was
mixed quarter, domestic business performed well, and there was a pricing pressure on export markets.
So, overall, I think this quarter has played out exactly as we had anticipated. The
operations have performed to a plan. We continue to focus on ensuring that we serve
our customers well. We focus on being cost competitive and continue to deliver the
CAPEX plan on schedule. We would bring on stream several of the CAPEX which we had planned, including the bicarbonate capacity of 70,000 and the
pharmaceutical salt by second half of this year in UK.
So, all in all, we are focused on efficient operations and serving customers well. With this, I will hand over to the moderator to open for Q&A.
Moderator
: We will now begin the question-and-answer session. Our first question is from the
line of Saurabh Jain from HSBC Securities and Capital Markets (India) Private
Limited.
Saurabh Jain: My first question is regarding one of the US peers announcing a price increase
couple of months back. So, have Tata Chemicals also taken such kind of a price increase? And if yes, then what is the expectation on the margin profile in the US
market going forward?
R. Mukundan: Actually, in US, you would see that the domestic market is mostly annual contracts.
So, you would find right up to December, the domestic prices will remain the same.
They are moving at a very narrow band and almost stable. However, the export
prices, we have seen a bit of up movement in the Southeast Asian markets, and we
will continue to be in sync with the market.
Saurabh Jain: So, do you expect that the benefits will flow to you in the sec ond quarter, which may
result in further improvement in the margin profile for the US?
R. Mukundan: The sales to Southeast Asia sequentially, as we book the orders, will come into play
in the export markets. The domestic markets, it would be better that we speak to you
closer to the month of January, when the new contracts will be negotiated.
Saurabh Jain: What I want to understand on the export side, at least, would you see a benefit on
the margins in the future quarters?

R. Mukundan: Yes, I think as we service these orders, they are at a slightly higher level.
Saurabh Jain: Okay, so do you believe more than $50 a ton kind of EBITDA margin?
R. Mukundan: No, I think the move in the market has been between $10 and $20 at best.
Saurabh Jain: Again, the same thing for the UK. What happened in the UK geography this quarter?
There has been a collapse in the margin. I thought it's a fixed margin contract.
R. Mukundan: In the UK, there is a bit of an impact of volume. The second one is that there has
been a drop in the earnings which we used to get from energy business, which
means we were supplying energy to

the grid at a lower margin due to high generation of wind energy that has impacted the margin for soda ash. So, in UK, we expect a
similar kind of margin to run through the year.
Saurabh Jain: Okay, so what you delivered in the first quarter, this is kind of margin would continue
for the rest of the year?
R. Mukundan: Yes.
Saurabh Jain: Okay, and my last question before I join back the queue is that there has been a lot
of rainfall in some of the Gujarat regions, very heavy rainfall. Are you seeing any sort
of possible production disruptions for your salt? And that may result in sourcing from

your vendors. Is that something kind of a scenario that is happening?
R. Mukundan: Actually, as far as we're concerned, as I speak today, we expect to be on track for delivering numbers as we have planned. It will be in terms of volume ahead of what we had last year.
Saurabh Jain: So, no disruption as such that you have seen?
R. Mukundan: We have not seen, and you will have to wait until th e month of September because monsoon now a days is elongated. Hopefully, the situation remains as we have seen up to now.
Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar: Sir, can you talk about the Kenya sequential margin decline? Is all because of the prices is firmed up but our margin has declined sequentially?
R. Mukundan: The Kenya margin in terms of the per ton margin, is in sync with the market pricing and is in sync with what we are seeing across the board. But however, there was a slightly higher variable cost mainly due to the realiasation cost ie., shipping and transportation cost was slightly higher this quarter. We expect them to normalize.
Sumant Kumar: Can you talk about the demand supply scenario currently in soda ash?
R. Mukundan: We are fully sold out and we expect to remain fully sold out.
Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question on the India business on the capacity expansion for sodium bicarbonate. Just trying to get some clarity. We have already expanded 70,000 tons and we are going to expand 70,000 further, is it?
R. Mukundan: Yes, 70,000 tons has already come on stream. I think another 70,000 tons will come somewhere around mid of October ahead.
Ankur Periwal: Sure, and this will aggregate to around 290,000 ton per capacity?
R. Mukundan: That's right.
Ankur Periwal: And how do you look at the volume growth in the bicarb here? Historically, the numbers have been slightly slower, but given that we have ample capacity now, any thoughts there?
R. Mukundan: Full utilization should happen through the year. So, we expect the first stream should get fully absorbed during the year and the balance maybe by Quarter 1 of next year.
It may be even faster than that, but I think our teams are working to make sure the market is able to absorb the volume. India has much lesser consumption of bicarb than other markets and we do expect that this supply will drive some of the demand.
Ankur Periwal: So, sorry, if I got you right, you're saying the optimum utilization by the end of this financial year?
R. Mukundan: What I was saying is that the first 0.7 lacs MT should get fully absorbed during the year and second 0.7 lacs MT, depending on how the market evolves, our plan was to sort of get it done by Quarter 1 of next year, but it could be faster depending on how the market is and how we are able to service the market.
Ankur Periwal: Sure. And last question on the domestic, which is India's EBITDA improvement on a Q-o-Q basis. Any specific drivers there? How should we look at the business, and margin improvement?
R. Mukundan: Probably it's going to be stable. There was a question on Kenya, I think that would also normalize because there was some one-off shipping and one-off variable costs which sort of impacted us. So, we see nothing on the hori

zon, which is going to impact our elements right through December.
Moderator: Thank you. The next question is from the line of Vivek Rajamani from Morgan Stanley.
Vivek Rajamani: Two questions. Firstly, in pricing on both the India and the US, would it be fair to say that the improvement that we saw in the implied pricing and margins was more due to the supply-driven relief that we were seeing in this quarter because you mentioned demand was broadly flat? That was the first question on pricing. And secondly, on demand, if you could just give some color on demand by geography from some key markets in terms of what you've been seeing after the June quarter, thank you.
R. Mukundan: So, in terms of demand situation, you must take it with a bit of caution because while I said this is stable demand, Europe is an area where muted demand is being seen.
If you leave that aside, the growth we have seen in Chinese demand, we need to be

very watchful whether that continues because the general news from on all other front is that there could be some bit of softness and things may not go well. But I think the issue is that while this news has been around, the demand has been good.
So, we are not able to sort of figure out the equation as it's playing out, so we remain watchful. As far as South America and North America is concerned, especially on the Southern American side, you would know already the lithium prices are at the bottom and the solar glass production also, the supply is ahead of the demand seen by the module manufacturers. So, what we are seeing is that the demand for soda ash has continued to be fine. But the

market conditions hopefully for our customers
are bottomed out and it should start improving. They've gone through a bit of a
difficult period in the last two quarters. We are watching if there are early signs of that happening. At the same time, I think on the Chinese side, we need to be watchful of any signs of softness. So, on one side, the market could move in the positive direction, on the other side you would have a potential for softness. So, that's why
we said it's balanced right up to Quarter 3. But as si gnals come, we will sort of
highlight them to you maybe in the next quarter, if we pick up anything different.
Vivek Rajamani: That's very helpful. And if I could just clarify on the supply side as well, do you see a
significantly more supply to be relaxed this quarter?
R. Mukundan: Correct. I think supply side, as I said, there's been an increase in freight rates, mainly
on account of the tension that you're seeing in the Middle East and other parts of the
world, that has led to some material not arriving at the Asian market. The second piece on the supply side as I mentioned within China again, especially for solar glass
which needs low iron, what we have picked up is that Inner Mongolian plant iron
content is slightly high, so it is unable to service the solar glass demand. So, there are very product specific issues on supply side. Barring these two, rest of the market
is, we are not seeing any major changes in terms of contraction of supply. So, there's
one quality related supply contraction, other one is a supply chain related contraction.
Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella: So, the India costs seem to have declined quite meaningfully on a quarter-on-quarter
basis, leading to some margin expansion. So, just wondering what the reasons for those might have been. And in the US as well, we have seen some improvement in
realization this quarter along with EBITDA per ton. So, if you could please just shed some light on both these aspects?
R. Mukundan: So, it's mainly on account of the energy and fuel costs on sequential basis and the
cost of some of the materials that were trended down and that has driven mostly the reduction. So, if you see power and fuel and that's been one of

the drivers. The other
element I would say in US again, its mainly steady production has meant that they
have been able to maintain both efficiency and the cost line within control.
Abhijit Akella: Got it. And the debt numbers seem to have increased quite meaningfully
sequentially. Is this just a precursor to the startup of the new capacity in India? And
therefore, they should normalize? Or how should we read the debt regulation?
R. Mukundan: Working capital increase of Rs. 800 or Rs. 850 crore which has happened should
normalize through the year. This is, we are seeing it happen every year that before
monsoon, we tend to stock up some of the material, because we are now wanting to be safe than running short on these materials. The monsoon sometimes just drags
on a bit longer. And the second piece is that about Rs. 170 odd crore is an impact of

capitalization of the warehouse which we have taken on lease. So, that is what
accounting norm is even though it goes through P&L, we also end up doing capitalization, that has led to about Rs.170 odd crore impact.
Abhijit Akella: Thank you. That's helpful. Just one last quick thing for me. The China demand you
mentioned in your opening remarks was strong from January through May. So, post-
May, has it softened, or do we just not have data now?
R. Mukundan: We think it is holding well, but only thing we need to be watchful because if you see
the news flow which has come both in terms of their vehicles getting stranded in Europe, if you look at the kind of the news flow which is coming in terms of many of
the countries wanting a local production, we are watching all this, especially because
China is such a big player in solar modules, also such a big player in lithium, EV, it's
a big part of the demand growth as we have seen. So, anything happening in that sustainability space, it may be a temporary blip, but I think we need to, while we all
believe that sustainab ility is a long-term tren d, but at least from the end user, we are
seeing some bit of softness coming through, so which is why we are watchful.
Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang
Equities.
S Ramesh: So, if you look at the current pricing and margin environment, what is the kind of
sense you have in terms of when you can show year-on-year growth in EBITDA and
in terms of the interest expense because of the increase in your debt, what is the
kind of increase in debt we should expect for the year? Will it be similar to what we have seen in the first quarter? And will you be able to reduce that trend, say, next
year by repaying some of the debt?
R. Mukundan: See, even if the margin profile remains the same, the capacity which is getting
commissioned as we speak through the year, next year should give us at least Rs.
400 crore bump up in the EBITDA. So, I think if these conditions persist, that is what
we think will happen if we look at all the salt, bicarb and soda ash and the
pharmaceutical salt capacity getting commissioned. So, that keeping everything
constant. But if market conditions improve, as we are saying in some places, it has started to improve. But if that trend

continues, and again I'm saying if the trend
continues, we need to be watchful in this bit of a difficult volatile environment. It's
only going to be a plus point. We see that till December we are clear. We need to be
watchful. We will upda te as we move along because our visibility doesn't extend
beyond that today.
Nandakumar T.: On the India working capital debt that will be unwinding by Q2 or Q3 as we start
using all the stocks. Q1 is the aberration in terms of the higher working capital loan
that will get unwound as we go by. So, th at number will come down going forward in
India.
S Ramesh: So, just to clarify the increase in EBITDA, you mentioned Rs. 400 crore, you take the
2,30,000 of soda ash, the increase in bicarb and the pharmaceutical

salt?
R. Mukundan: If we take a full year impact of that, that will be the number.
S Ramesh: That including the entire 1,40,000 expansion in bicarb, right?
R. Mukundan: All that put together.

S Ramesh: How do you see the global supply getting rationalized? That's been one challenge.
So, do you see any further reduction in the operable capacity or closures? And how do you see the Inner Mongolia capacity utilization ramp up?
R. Mukundan: Inner Mongolia capacity is fully commissioned, fully on stream. They are having
some quality issues with specific segments of the market. They need to address it.
Hopefully they address it. These are technical matters which companies do take a bit of time, but they finally address it. So, if you ask me any guess, it's anybody's
guess. But it's not going to last forever. Second is, as far as capacity rationalization
is concerned, that you will see when the news happens. But we have always maintained that the capacity which will come under immediate pressure should be the European capacities pressured from Turkish natural ash. We have not seen them come off, but we all know where the numbers are the weakest, you know our own
numbers. So, we will have to watch that space carefully.
Moderator: Our next follow-up question, again, is from the line of Abhijit Akella from Kotak
Securities.
Abhijit Akella: Just a quick one, on the UK expansion, could you please just help us with the
capacity over there, the bicarb capacity and the pharma grade salt? What's the
capacity number there?
R. Mukundan: The bicarb is constant. It's the pharmaceutical salt which we are commissioned at,
70,000.
Abhijit Akella: Okay, so the Rs. 400 crore incremental EBITDA we are talking about is basically
70,000 tons of salt from the UK, along with the India expansion we have talked about.
R. Mukundan: Yes, it is all included. UK pharmaceutical salt, India soda ash, salt and bicarb,
everything put together gives us an EBITDA bump up of about Rs. 400 crore.
Abhijit Akella: Yes. And the 2,30,000 tons soda ash (Corrected post call) in India, is any part of that
currently being sold or it's pretty much at zero base right now?
R. Mukundan: It will start to go to the mark et. As a first quarter, I would say that th ere is a very small
increase quarter-on-quarter, year-on-year number. As you know, during monsoon,
people do tend to bring stocks down, especially these sort of materials. And that's what has happened. (Corrected post call)
Abhijit Akella: And just one last thing, the pharma salt, what sort of margin differential does it enjoy
over the normal salt that you sell?
R. Mukundan: It has a higher margin, but I've given you a total picture.
Moderator: Thank you, the next question is from the line of Rohit Nagraj from Centrum Broking.
Rohit Nagraj: Sir, the first question is that in the previous call, we had mentioned that the market
is oversupplied. And now we are talking about the balanced market. There have
been some logistic challenges there have been some quality issues. But is it that, I think there are no capacities which have gone off stream or probably any closures
because of maintenance. There is an inventory in the system. And because of the
logistic or any other challenges that is not coming to the market, and once these are probably getting taken care o f, this inventory again will come back into the system

and probably will have some bit of misbalan ce again. So, I just wanted your thoughts
on this?
R. Mukundan: See, this current situation we are in is slightly what I would call impact of the two
factors you highlighted. And if you look at India, inventory levels actually are lower
today than before. And this is a combination of, some constraints which came on
supply side and some uptick which happened on demand and that got the system under a bit of a stretch and there was a drawdown on inventory across. So, that's
the situation we are in

.
Rohit Nagraj: Sure, this is helpful. The second question, ag ain, slightly delving into China. So, the

current capacity, probably from your estimates, could be about 5.5 million tons, and that is completely operable. And given th at the pricing environment in China still remains denied, the current pricing, does it hold the element of, again, some bit of demand supply imbalance or the higher logistic cost. And once this factor normalizes, probably the pricing across other geographies again will start normalizing. And what is your sense in te rms of the Chinese ca pacity? Will it stop here or is it going to in crease from the 5.5 million to ns to any other incremental number?

R. Mukundan: So, if you look at short-term, it will go th rough all these blips we 're talking about. Long term, as I've mentioned, a natural capacity will start to pressure closest synthetic capacities and that will play out even in China and China has pl ants which are, I would say, competitive scale and also plants which are subscale. So, that playout will happen in that local marke t, not in one year, two year, bu t I think it will play out over 2-3 years. So, leaving that aside, the current situation we have faced is very unique, whether it corrects itself in 6 months, 12 months, we don't know. And then there is a whole lot of geopolitics which is extremely difficult for us to sort of decipher and read. But we will continue to engage with customers, with market participants to best understand. And our understanding is it seems okay till December, but beyond December, we can't say. So, we will have to wait for next quarter.

Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang Equities.

S Ramesh: Yes, so if you look at the Indian automobile sector, there is some concern about a slowdown. Does that concern you in terms of the growth in soda ash demand in India? And secondly, if you're looking at the solar glass from India, do you see the incremental production in solar glass, especially after the import duty imposed in imports? Will it be a positive for growth in that segment, say, at least over the next 2 years?

R. Mukundan: Every 10 gigawatt needs a million tons. So , I think the demand for solar glass will continue to grow, especially if Government is on track in terms of ensuring solar power plays a key role. And solar power today is probably the one which is going to play an elemental role in shift to renewable in many ways. The second piece around the domestic availabilit y and domestic growth, they are in a very balanced phase and that situation is likely to continue. If you look at imports as a share, the imports are down from 31% to 23% now, about 8% drop and that has been picked up by domestic players broadly.

S Ramesh: Okay, so just one last thought on the US growth in both domestic and export market. So, is that trajectory likely to be sustai ned in the next 9 months and we will see an improvement in say FY26 given the underlying demand in the EU segment?

R. Mukundan: So, let me state it differently. Except in UK, we do believe that we should either be better in volume terms or at least at the same level as last year in all the geographies. In fact, India and US will show, if we run ou r operations well, that is within our own remit and what we need to do. Market is not the constraint for us to deliver higher volumes.

Moderator: Thank you, the next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Sir, you alluded to the fact that the Q1 performance for UK is what things are going to be for the current year. So, we had PBT losses of Rs. 60 crore for the first quarter. So, this will be the trend for going ahead also or what factors should undermine this losses?

R. Mukundan: See, within the number in UK, there is a one-off, which is we had a one-off payment of Rs. 13 odd crore, which was a fine which we had paid, and we

had declared that to SEBI. So, if you remove that, the Rs.60 crore should read more close to Rs.45 crore. I think that run rate will continue. It may be less. See, the issue in UK is that if, the renewable power generation there reduces, we would probably be closer to 30 odd figure if the renewable power does not reduce, they have high level of wind energy and generation, it will be close to abou t Rs. 45 crore, that is the kind of range it will fluctuate between in negative terms.

Saket Kapoor: And sir what steps will be tak en to reduce this lo sses because this wi ll be a big dent on the number if you take the annualized number of Rs. 200 plus Rs. 250 crore rather that's a big amount?

R. Mukundan: No, it's not 200, so let me correct, it is as I said between Rs. 30 and Rs. 40 odd crore. So, if you say that for the year it is likely to be the number closer to up to Rs. 100 odd crore if everything continues as is. The team is working on a plan and let them execute the plan, and it's premature for us to sort of highlight. Obviously, we want the losses to reduce to zero, and that's a plan they are working to. And right now, it is still in, finalizat ion phase, and they will come back with specifics. It includes a bit of cost rationalization and po rtfolio readjustment, which will partly come into play in the second half with the pharmaceutical salt unit getting commissioned with a higher grade of bicarbonate getting sold. So, all these are part of that process.

Saket Kapoor: Okay, so that will lower the losses to come in?

R. Mukundan: Yes, that will lower and obvio usly we want to end up in a situation by the time the year ends, we are at least talking about a much, much leaner number than what we are speaking today.

Saket Kapoor: And when we look at this capacity augmentation for the sodium bicarbonate, 70,000 and then further 70,000 and now totaling to 2,90,000 for us, what are the main demand drivers? And as I think you mentioned that it is not domestic demand that will be catching to, so just co rrect me there. How are we go ing to run at high utilization levels? So, where are the demand drivers from sodium bicarbonate?

R. Mukundan: So, on sodium bicarbonate, there's food, feed, and pharma, and the feed market is growing well. For example, for cattle population, the addition of sodium bicarb increases milk production. It also has a positive impact on the environment. So, for cattle, it's clearly the additive which we are promoting. In terms of food, certainly it has a positive impact on food, basically it softens the food in a way that other elements cannot do in a benign manner. And pharmaceutical again, there is an

application and in addition to that, there is a flue gas treatment market which all the coal fired plants, especially of PSUs like NTPC, they are now beginning to use, that is mainly for desulphurization and that again is one of the key drivers because the environment norms, India will continue to use coal for some bit of time and we will have coal plants for at least the next 15, 20 years and all these plants with tightening norms will need to use various processes to desulphurize. These are driving the demand. And clearly, we see them to continue to move up. And our business plan does say it will get absorbed.

Saket Kapoor: Right, and last point about the employee cost process. Now with realizations lower and the dynamics changing, the impact of higher or rather, employee cost is also significant. So, what's the cost process behind or this is the quarterly number that we are going to, the run rate will continue to 480 levels.

R. Mukundan: In terms of employee numbers, as you would see, in some quarters it does bump up because that's the quarter in which we pay the variable pay and other elements. But if you take it normally through the year, I think it should be stable. We are extremely focused on employee productivity using all the tools to grow. And as I

said, as new capacities come on stream, there is really one of the benefits is the operating leverage we have in all our units because these are all coming in brownfield sites. They are not any new sites getting open. So, that benefit will flow through.

Moderator: Thank you. The next question is from the lin e of Mithil Bhuva from Unlisted India.

Mithil Bhuva: I had a couple of questions. The first one being we have seen sodium ion batteries emerging as an alternative to lithium ion. So, as sodium ion requires soda ash, so what does the management see the impact on the demand for soda ash because of this? So, the next question is on battery recycling, the waste and the e-waste recycling. As there is a big opportunity going ahead, so does the management sees that as a big opportunity in solving the issue?

R. Mukundan: So, we have nothing specific to state except that our teams are looking. And if anything, substantial does happen, because we had done the battery recycling of the mobile and laptop batteries, and that was mainly dependent on the cobalt pricing. But there is a need for technology as far as vehicle recycling is concerned to have the right approach for LFP, where we have to make them into useful product. And as you know, cobalt is highly valued, whereas LFP ingredients are not that valued. And I think that work is underway and there's nothing more beyond saying that work is underway. Sodium ion battery, even our team is working. And for stationary applications, we do se e that as a great alternative toda y. But for mobility applications for cars, China seems to have got a very good energy density. We are able to get about 120, 130. But China seems to have hit a figure of 160, 170. Obviously at that number it becomes a viable alternate, but we will have to see how that evolves. But clearly it is an opportunity fo r soda ash business, and we will continue to keep a close watch on it. And, if we can get our own solutions, we will talk about it. But as of now, it's all in the lab in Pune.

Mithil Bhuva: On the e-waste recycling like the electronics?

R. Mukundan: Yes, on the e-waste, as I mentioned, the large chunk of it again will come from mobility applications and there India is li kely to remain a LFP market and because India is likely LFP market, we need technology slightly different, rather than which uses NMC. NMC pr ofitability depends on cobalt. In LFP, it is not there. So, our teams

are working on it. There's no concrete plan for me to sort of mention anything to our stakeholders today.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

R. Mukundan : Thank you. As I mentioned, our visibility in terms of markets says that we are in a zone of narrow band of movement. Our teams are well positioned to ensure that we deliver on serving our customers well. We focus on competitive operations and delivering on CAPEX for growth of volume. At the same time, as Nandu has already highlighted, every su rplus we have, we will deploy towards debt repayment. These remain our priorities and certainly, as we get greater clarity on the market going forward, we will highlight them to you. This visibility, as I said, is up to December and we remain very vigilant with the kind of market conditions we have. Thank you.

Call: Oct 2024

October 24, 2024
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400 051
Symbol: TATACHEM
Dear Sir / Madam,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the second quarter and half year ended September 30, 2024
Further to our letter dated October 17, 2024 , we enclose herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of Tata Chemicals Limited for the second quarter and half year ended September 30, 2024 held on Thursday, October 17, 2024.
The same is also being made available on the Company's website at: https://www.tatachemicals.com/investors/financial -reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above
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Tata Chemicals Limited Q2 and H1FY25 Earnings Conference Call Transcript October 17, 2024 Moderator: Ladies and gentlemen, good day and welcome to the Q2FY25 Earnings Conference Call of Tata Chemicals Limited. I now hand the conference over to Mr. Gavin Desa. Thank you, and over to you, sir. Gavin Desa: Thank you, Sagar. Good day, everyone, and thank you for joining us on Tata Chemicals Q2 and H1FY25 Earnings Conference Call. We have with us today Mr. R. Mukundan – the Managing Director & CEO, and Mr. Nandakumar Tirumalai – the Chief Financial Officer. Before we begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. I now invite Mr. Mukundan to begin proceedings of the call. Over to you, Mukund. R. Mukundan: Thanks, Gavin. Good evening, and welcome to everyone to our Q2FY25 Earnings Call. I will start the discussion with a brief overview of markets and then go on to highlights of the operations. Overall, the demand scenario was balanced both in India and in the Middle East. In the U.S. and most of the markets, container glass demand was down, except in Southern Europe where the container glass demand did improve during the quarter due to higher exports of beverages. In China, soda ash demand was strong right through up to August-September and there has been some moderation as we speak, and the higher demand was met largely through some imports into China, which went from U.S. to China. In August and early September, supply was fairly stable within India. However, we had increased imports into India from Iran, Russia and Turkey. US exports also increased during the quarter, but the increased exports were mainly exports to China and Southeast Asia. There was a bit of moderation in the US exports to LATAM due to the moderation in demand for lithium carbonate markets.

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Overall, the pricing remained stable. We believe the pricing has bottomed out across the markets. In terms of the other products which TCL is in, all the other products saw robust demand and continue to maintain robust pricing and margin mechanism. With respect to revenue, revenue was up 6% sequentially due to higher volumes, mainly coming out of U.S. Indian volumes were lower, and this was mainly impacted due to very heavy rains, which impacted our operations for almost 10 days, and this led to impact on quarter-on-quarter volumes. When you look at Q2 of '24 and Q2 of '25, the numbers are almost same, we were behind a bit from our plan. Also during the quarter, around the month of September, all our expansion capacities came on stream, including boiler, soda ash capacity, as well as bicarb capacity. The operation has stabilized now, and we hope from Quarter 3 onwards, you would see the throughput coming from India expansion. As far as U.S. is

concerned, it saw a robust volume, and both domestic and export markets continue to be robust as far as the TCNA operations were concerned. UK, of course, had lower volumes, but pricing was slightly better, and we are running the operations to the best of our ability in terms of ensuring that the margin profile is maintained. The pharma salt plant just commissioned in October. It is going through the first trial. In fact, as we speak, the first salt out of the pharma salt has been produced and will be delivered to the technical market till we qualify from customers during the current quarter. Kenya saw higher volume and higher prices. Rallis had good performance, above normal monsoon and very strong performance, double-digit growth in the domestic market. In conclusion, we will continue to execute our long-term strategy of expanding the core and focusing on higher volumes, and servicing our clients well, and making sure we have agile and effective cost right across our operations. One of the key important parameter for us would be to ensure the second half of the year has much steadier operation. The first half was impacted due to extreme weather in India. Hopefully, the second half will be much better. With this, I hand it over to the moderator for Q&A. Moderator: Thank you very much. Our first question is from the line of Vivek Rajamani from Morgan Stanley. Vivek Rajamani: Two questions from me. Firstly, just on India, would it be possible to give some more color in terms of what was driving the miss? I know you mentioned that there were disruptions due to the weather, but if I look at the production and the sales numbers, the decline does not appear to be extremely stark, but the impact on EBITDA obviously seems to be much more larger. So, I just wanted to understand if you could give some more color in terms of what was going on this quarter and if things have normalized as we speak. That was the first question. R. Mukundan: Things have normalized, and if you look at the volume numbers, broadly I would say that about 30,000 tons of soda ash could have been produced and sold more. While the sales are more or less the same when you look at Q2FY24 and Q2FY25, I would

just say this weather impact has had 30,000 tons on soda ash and about 40,000 tons on salt. Most of the other products were okay. The key issue for us has been because of the weather event, the plant was unstable and there is a cost impact almost equal to, in our estimation, around Rs.40 crore, of which Rs.25 crore was on account of unstable operation, the increased cost, and Rs.15 crore of the insurance claim, which would be accounted for in the books. All is part of the EBITDA and the variable cost. Vivek Rajamani: This is really helpful. And I know you mentioned the insurance claim. So, would it be fair to say that the Rs.25 crore effectively becomes more normal now that the operations are stabilized? R. Mukundan: Operations stabilized. See the way we account for insurance claim is th

at we take 75% of the claim as on account and 25% is actually charged off. Of course, we are hopeful that we will get the full insurance claim and that is actually credited when it comes. So, Rs.15 crore represents the charge we have taken and Rs.25 crore is also charged. So, overall, about Rs.40 odd crore is the impact in this quarter because of inefficient operations. Vivek Rajamani: And just the second question that I had was, I know you would be getting into the contract discussions for U.S. going into 2025. I just wanted to know if you could give any sense in terms of what kind of discussions you are having for your annual contracts, that would be very helpful. And, if you could just give some color in terms of what kind of export pricing you are seeing out of the U.S. right now. R. Mukundan: So, in terms of contracts, let them settle. But as I said, the most domestic markets are balanced and there has been, see, in terms of overall performance and long-term performance, we are very bullish about India, bullish about the markets in America, both U.S. and Mexico together and China has been robust all this while, but we do believe that we don't have the real impact of their government's initiative to continue to keep the demand up domestically. So, in a broad sense, what I mentioned, demand is balanced and the bias is also at the balance level, neither strong nor weak. We will wait and watch how the contracting turns out. We are hopeful that the long-term trends, which we have been highlighting, continue to bear, continue to move forward. Solar glass demand has continued to be robust. The issue remains in terms of lithium, there has been a bit of softness. The flat glass has been okay. The other chemical demand has been okay. There has been a softness in container demand, all this softness has been taken over by solar glass demand worldwide. So, really it is, we remain watchful, and we remain hopeful that the numbers at least would either tend to be where they are, or they would bias up. But we are also in the current state of contracting, so I would not want to say anything more. Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Abhijit Akella: Just on the standalone operations, just to understand if there was some impact of the commissioning of the expanded capacities as well, was there any cost impact because of the unabsorbed capacities and if so, could you please just quantify how much that might have been?

R. Mukundan: It won't be a big number because the depreciation will start showing a little later, but we have ramped up to full utilization of the plant. So, the additional capacity of 2.25 lakh tons of soda ash and bicarb which is about 140,000 tons and salt, we ramped up. So, we haven't faced any additional charge on the interest side. There are no major changes in the fixed cost or any other cost. Abhijit Akella: So, when I compare quarter-on-quarter, the India business EBITDA, it is down by about, I guess, Rs.90 crore or so, of which we just kind of broke out Rs.40 crore because of the weather-related factors, I guess there is some loss of volume as well. But then what explains the rest of the decline in the EBITDA quarter-on-quarter? R. Mukundan: In terms of quarter-on-quarter, which when you look at previous year, broadly I would say there is a 8,000 tons less. So, it is about Rs.7 crore and Rs.37 crore is on account of cost. That is what I said Rs.40 crore. Rs.44 crore is the exact number. And there is also because of this unstable plant, there was also impact coming in from other minor products which we have in Mithapur, which is about Rs. 21 odd crores, which is cement, gypsum, bromine all put together between last year and this year. But this will be made up during the year. This normally happens when there is heavy rain, there is a dip in production, and it comes back later. Abhijit Akella: And the ramp up of these expanded capacities, do we expect it

to be vertical in the second half? Can we start running them pretty much close to full utilization? R. Mukundan: We are speaking almost in the second week of October, and it is fully ramped up as we speak. So, it is, I would not say vertical, but it is as per our expectations. These are operations we know well, and they have just gone to full utilization. Abhijit Akella: And just one last thing from my side. Any signs of capacity rationalization in soda ash that we have seen in either Europe or China at this point? And any deferment of previously announced capacity expansions by any of the major producers worldwide? R.

Mukundan: The only shift has been that there has been a pullback of about, 100,000 odd tons in U.S. And there is probably also an addition of 100,000 odd tons by some de-bottlenecking in other parts. So, it's almost like it is neither positive nor negative. It's just balanced it out in this quarter. We are watching very carefully. Moderator: Our next question is from the line of Ankur Periwal from Axis Capital. Ankur Periwal: First question on the China demand. You know, last quarter we did mention that while China demand is healthy, there is some volatility. And this quarter you again mentioned that till August or September things were good and probably October is slightly weak. Any signs there to look at and especially given the stimulus that the government is giving there? It is still early days, but any on ground feedback if you can share? R. Mukundan: We actually haven't seen any major reduction and whatever moderation, in the lithium market has been more or less taken up by the solar glass market. However, we do believe in the second half, some of the supplies which were constrained in China may be coming on stream, which is why we are saying it probably is going to tend to more balanced situation. The U.S. exporters did end up exporting to China, to meet the shortfall. I really would say that if those new capacities in China stabilize and are available for the domestic market, there will be less room for imports into China.

Ankur Periwal: And second question on the U.S. side, now there has been an improvement in volumes as well. Is it led by the domestic market or more by exports? And secondly, on the Q-on-Q improvement on margins as well in U.S., if you can share some light there? R. Mukundan: So, as far as the U.S. is concerned, because of operational issues and other issues in our geographies including, we did postpone our US shutdown, which would have come in the month of September to October. While that is one part of the story, they generally are producing much better than in the past, and that trend is likely to continue. There will be one shutdown in this quarter as well as next quarter. Overall, we expect to be ahead of last year in terms of overall volume. That is our plan, and we will continue to ensure that our operations run well. And as production continues to run at peak load, the effective cost of operation also comes down, which improves the margin. Ankur Periwal: And the margins that we have seen on the U.S. export side, has that improved or we are still running at those lower margins? R. Mukundan: Our view is that the pricing, at least going forward, has bottomed out. So, it can't get worse from here. Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. S. Ramesh: The first thought is, on the India cost increase, if you were to work backwards on the volume you have lost, it's about $30 a ton, depending on your average production per quarter. So, once you stabilize your plant, will you be able to see this sort of improvement in margins in India, of the order of $30 a ton? R. Mukundan: Yes, more or less, out of the overall cost increase which we have incurred, which is about, you are saying $30, I am saying it is Rs. 2,000, we expect Rs.1,500 will certainly recover. The Rs 500 per tonne will stick in there as higher cost and that is at l

east our line of sight for the next two quarters. S. Ramesh: And on the new capacity, sir, are you able to place the entire increase in production of 2,25,000 of soda ash and 140,000 of bicarb on a monthly or quarterly basis or will that take time in terms of placement? R. Mukundan: We don't anticipate by the time we finish this quarter or the beginning of next quarter, we will have any issues in terms of market with this. Obviously, we are in the process of making sure we are able to place the product and market demand has not been an issue in India. S. Ramesh: So, in UK, we still see the bottom line in the red. So, when do you think UK can turn around in terms of profits at the bottom line? R. Mukundan: Yes, UK had a bit of a wobble this quarter mainly because of negative spark spreads. This has continued because of high wind energy. We wheeled power into the grid, and these were done at margins which were fairly challenged, and we are hopeful that by the time we finish the third quarter, we should be out of this problem. S. Ramesh: So, one last thought. When you talk about margin stabilizing, if there is further increase in China's recently increased capacity, do you still think that based on the incremental supply within China, the prices have bottomed out or will that cause some more volatility or downside to prices?

R. Mukundan: Most people are, if they export, they are exporting at cost or below cost. So, I think we don't believe that there is any headroom for further reduction in pricing unless some people are sitting on inventory and there is a distress sale which we haven't seen. This is right about where the bottom is because the entire quarter has remained more or less steady at this pricing. Moderator: The next question is from the line of Saurabh Jain from HSBC Securities & Capital Markets Pvt Ltd. Saurabh Jain: My question is again on the India business. You are saying that you would be able to kind of ramp up your capacity, I mean, for you to utilize your capacity, the new capacity easily over the next two quarters. And then there is a news piece which highlights that Indian players have requested for an investigation and kind of impose an anti-dumping duty on soda ash in India. So, can you give some thoughts around that and also highlight what is the size that you are expecting? If it comes through, then what would be the benefit on the realization margins with the ADD? R. Mukundan: See, the investigation is being done by DGTR in Ministry of Commerce. We will let that process continue. It's a quasi-judicial process. So, I would not want to make a comment on it. It has been taken up, suo-moto on the basis of surge in imports mainly coming from Iran and Russia etc. So, they will look at a fair margin and will settle at a fair margin. We will submit the data to them. It is usually a very clear mathematical process. So, that's what we will go through. So, I do not want to hazard any piece here because we are in the process. We would make our submissions. I am pretty sure the exporters from Russia or Iran will also make their submissions and we will see what the outcome is. But we are very hopeful that the unreasonable pricing, which is usually done at cost or below cost, will be looked at by the government to make sure there are enough safeguards. Saurabh Jain: And also, if you can also highlight how is the Mongolia capacity kind of doing, what is utilization over there? There were quality issues with that production. Any changes over there? R. Mukundan: So, this is what I mentioned that in case that capacity is fully absorbed, and those issues stabilize, the imports will tend to moderate into China. So, we must watch for that and it's mainly that has played a big role in the increased exports into China. So, we will see how that progresses. Usually, my own estimate is when anybody starts a new plant, they should stabilize it within 90 days or so. So, it will happen at some point. For example,

for us it took about 10 or 15 days to get it stabilized, but sometimes it lasts longer, but it's usually not been more than this. Saurabh Jain: But wasn't this capacity already live in last quarter? R. Mukundan: That's right. it is not about quantity. There are some issues about some quality parameters, which also should get sorted out in normal course. You know, this is a process which everybody undergoes. So, I would reckon that this new capacity should stabilize which is why I was highlighting that there could be a moderation in China imports because at some point this will come in. Saurabh Jain: My next question is how would you see your silica and nutraceutical segments kind of doing over the next three years? We understand there is some kind of capacity expansion for silica, but there are any views or thoughts when you expect this business to turn EBIT positive and grow really big in size and in what timeframe?

R. Mukundan: So, that is part of the presentation. I have already highlighted that we are adding 60,000 tons of silica business at which point of time this is likely to be having the run rate of about Rs.500 odd crore in revenue. And this project will get a formal approval somewhere in this quarter and it will be three modules of 20,000 tons each. Currently we have only 10,000-ton capacity plant and we have perfectly got products which have been approved by most of the tire customers. As you know we had a food line and a tire line of 5,000 tons each. During the quarter, in fact, we shut down the food line to convert that completely to tire line so that we cater to tire customers and going forward these 60,000 tons will be a pure tire grade silica which the execution time is in a phased manner about 24 to 36 months. The first 20,000 tons stream will come in close to 24 months and each one will come six months separated by six months so that by 36 months we should be right up to 60,000 tons. So, it's about two to three years away, but at the end of that it will be at least Rs.500 crore and given India's potential, our view is to add at least another 150,000 tons. So, this is almost a Rs.2,000-odd crore business, but our first step is to move from the current revenue basis to at least Rs.500 crore. Saurabh Jain: So, when will you achieve that run rate? Are you confident you will be achieving profitability in that business? R. Mukundan: Yes, the basic point is that for our expanded capacity, see the issue is most of these are now brown field, they are not green field. So, there is not a big increase in fixed cost. So, the entire contribution with part or almost 80% of that will move into the bottom line. That's really the benefit we are seeing in all these efforts we are putting in including the one we have done in bicarb, soda ash, salt and in silica when it gets executed. The next phase of soda ash expansion also is underway which also goes for formal approval, and we will come back to you, but we have already highlighted the next phase is 0.316 MT of soda ash and another 2.3 lakh tons of salt. That's part of the presentation which we did circulate. Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal. Sumant Kumar: Can you talk about the capacity expansion, what we were talking about earlier for US? R. Mukundan: In U.S. expansion plan is to add 400,000 tons and that is pretty much on schedule. We are working our way through all the regulatory clearances. We expect to get all the clearances by March of next year and then the execution will start. In the meantime, we are also continuing with our design engineering work so that we can be ready when we can press the button. We are also tying up various other logistic capacities, the capacities needed for input materials including supplies of utility, everything. So, all that is being under-work and it will probably hit a formal go button once we get the regulatory clearances we expect somewhere around March. Sumant Kumar:

And can you talk about the Kenya capacity expansion, what we are hearing from the news? R. Mukundan: The Kenya capacity is going to be a modular capacity because we are trying out for the first time electric calcination, which is much lower in carbon intensity. It is a green process, and that implementation is already underway. It will happen modularly. So,

we are first testing it out and then the overall modular capacity expanded in about 36 months will be another 300,000 ton out of Kenya. Sumant Kumar: So, incremental 3 lakh capacity, right? R. Mukundan: Yes, 3 lakh capacity in Kenya and about 4 lakhs in U.S., and 3.2 lakh in India, so all put together a million ton across these three states. Sumant Kumar: And what is the timeline? By when are we going to complete this? R. Mukundan: Most of them would be done in approximately 30 to 36 months. Sumant Kumar: So, in three years? R. Mukundan: Yes. Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Saket Kapoor: Sir, if you could just provide us some key inputs of this in soda ash conference that was during the first week, rather 9th, 10th and 11th of this month and we were one of the participants. What are the key highlights and if you could just throw some light on the same? R. Mukundan: Yes, broadly the three key points which at least I understood: Firstly, the long-term demand trend for the soda ash business is positive because soda ash plays into sustainability theme. While the demand is on a positive trend, the customers are going to demand a lower carbon soda ash. So, we have to pivot our electricity utilities over a period of time to renewable and also find solutions for the replacement of coke with electric calcination etc. I mentioned to you, the first place we are trying electric calcination is in Kenya and like us most soda ash companies are trying different routes. And the second point, there is a view that while some of the sectors have seen a bit of a softness, especially in lithium, the long-term trend is positive. Thirdly the capacity expansion now, bulk of it, opportunity would lie either in U.S. or in India because these are the places which are now most attractive for investments, U.S. in terms of natural capacity and India in terms of synthetic. Saket Kapoor: And sir, if you could provide us with the net debt numbers and we have also found that the freight costs are higher. So, is it because of the increased tonnage or the Red Sea issue that we have higher freight costs, the freight and forwarding charges? N. Tirumalai: So, on the net debt number, it is there on Slide #4. It is up by Rs.843 crore in the last one year's time and stands at Rs.5,190 crore as of last month ending. Rs.5190 crore. Saket Kapoor: And what are our current maturity, sir, for this year? N. Tirumalai: This year not much. The majority is happening in 2026, 2027.

R. Mukundan: If you look at freight and forwarding charges it is almost flat sequentially. There is not much of a change. And there is certainly an impact of what you mentioned, the freight markets rates have certainly increased, but sequentially there is no increase. Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments. R. Mukundan: Thank you all for attending this earnings call. And as I mentioned, we are clearly focused on delivering our commitment. And this quarter was a bit wobbly, especially coming out of the impact of heavy rains in Indian operations, as well as the negative spark spreads which we had in the UK. Hopefully, we will address these going forward in terms of delivering a much better H2, much steadier H2 in India and all parts of the world. And in terms of our strategy, it continues to expand our core business across geographies, ensure that we focus on operational excellence and servicing our customers well.

And we will also soon seed our growth in the new areas, in Silica especially. Hopefully, the turnaround in Rallis our subsidiary has also begun well and we hope to continue the positive momentum there too. Thank you all and see you in the next quarter. Happy festive season and I just wanted to end by saying that we continue to work towards the vision and overall future approach, which our Chairman Emeritus gave us. His counsel and guidance will continue to guide this company forward. We all pay homage to him in this quarter and the best way of paying homage to him would be to deliver the outcomes which we have all spoken about. Thank you.

Call: Feb 2025

February 10, 2025
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400 051
Symbol: TATACHEM
Dear Sir / Madam,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the third quarter and nine months ended December 31, 2024
Further to our letter dated February 3, 2025, we enclose herewith a copy of the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of Tata Chemicals Limited for the third quarter and nine months ended December 31, 2024 held on Monday, February 3, 2025.
The same is also being made available on the Company's website at:
https://www.tatachemicals.com/investors/financial -reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above

Tata Chemicals Limited
Q3FY25 Earnings Conference Call Transcript
February 03, 2025

Moderator : Ladies and gentlemen, good day and welcome to Tata Chemicals Q3FY25 Earnings Conference Call.
Please note that this conference is being recorded.
I now hand the conference over to Gavin Desa from CDR India. Thank you, and over to you, sir.
Gavin Desa: Thank you, Sagar. Good evening, everyone, and thank you for joining us on Tata Chemicals Q 3FY25 Earnings Conference Call.
We have with us today R. Mukundan, Managing Director & CEO, and Nandakumar Tirumalai, Chief Financial Officer.
Before we begin, I would like to mention that some of the statements made in today's discussions may be forward- looking in nature and may involve risks and uncertainties.
I now invite Mukundan to begin proceedings of the call.
R. Mukundan: Thanks Gavin . Good evening, and welcome to everyone. I am joined by my colleague, Nandakumar Tirumalai .
I will start the discussion with a brief overview of our operational highlights across business and geographies.
The demand scenario across geographies is as follows :
Broadly, the Asian markets continue to show growth, particularly China, which has shown robust growth in volume compared to previous year. U .S. and Western

Europe, rest of the world in fact, is showing a slight decline, reduced demand for flat and container glass. In the short term, the current demand- supply situation in our
view is likely to persist, while in the long term, it will be stabilizing and balancing out, driven by the growth sectors, primarily solar glass and the lithium carbonate and other rel ated markets , which are growing at a faster pace.

Supply has certainly increased in this quarter from major exporting countries, including China, U .S., and Turkey. China's exports have been muted and moderated depending on the domestic demand. But clearly the U .S. and Turkey have upped the exports from their units. In fact, part of the exports also has gone to China, which has supported the increased output.
In terms of pricing, China soda ash prices sharply dropped anywhere between 25% to 30%. In India, soda ash prices declined compared to last year's same quarter by about 15% , primarily driven by lower -priced imports. The domestic prices in Western Europe and U .S. has remained steady. These are, as you know, mainly annual contracts. We expect pricing to remain at a similar level or around the same level, maybe trend a bit lower, at least for the next three to six months.
Overall, the revenue was down 4% against Q3FY24, largely due to pricing pressure. The revenue is lower in India compared to previous year mainly due to lower realization. It was offset by a little bit of higher volume. Imposition of MIP is expected to be sentimentally positive as this will safeguard the domestic price volatility. Our FOS plant is on track to go into full utilization of capacity.
U.S. overall sales volumes were higher. However, prices were lower than Q3FY 24. U.S. exports to Southeast Asian countries , Indonesia, Malaysia and Thailand increased significantly.
UK had low volume. The price was slightly better. We also took an exceptional charges Rs.70 crore consisting of estimated expenses related to employee termination benefits , the decommissioning of the plant , as we cease the operation of Soda ash production at our Lostock site. 70,000 TPA Medi -Salt plant has been commissioned in the UK. We have also, as I mentioned, seen the cessation of Lostock plant in North which is underway.
Kenya saw lower volumes. However, prices remained steady during the quarter.
Rallis results were lower due to continued weakness of export demand and intense domestic market.
In conclusion, while overall our volumes have tended to be better than previous year, especially in India and U .S., they will continue to remain so for the next quarter too, however, there is a pricing pressure which is impacting our margin structure even though costs have come down. We a lso do believe that the current prices are below cash cost in China and is unsustainable beyond certain point.
Our focus is on increasing our sales volume through customer engagement as new capacities have come on stream in India especially , and these are available to sell in the market. We will focus on cost rationalization and optimization as well as we will calibrate our CAPEX now going forward to suit the market conditions.
With this, I hand it over back to moderator for Q&A.
Moderator : Thank you very much. We will now begin the question and answer session. Our first question comes from Saurabh Jain from HSBC Securities and Capital Markets (India) Private Limited . Please go ahead.
Saurabh Jain: Thank you so much for the opportunity. I wanted to seek the clarification. Did I hear it right that there are exports coming out of China now? And if yes , then can you quantify the amount and the region ?

R. Mukundan : Yes, China till last quarter remained a net importer . There is some small quantities which are coming out of China, not a large quantity compared to the quantities which are getting exported from U .S. and Turkey a nd largely these products are going into Southeast Asia.
Saurabh Jain : Okay. And do you also see any , you know , synthetic capacities in C hina kind of coming back online ? What are your thoughts over there or any closures in plants that you might have seen?
R. Mukundan : So, clearly , I think what is happening in China is exactly what we have said. As the Inner Mongolia capaci

ty at Berun comes on stream, that will tend to push the
synthetic plants which are on the coast to start to move material out because somewhere something has to give. Exactly as you mentioned, either people start
lowering their output or they become unviable.
Already we have highlighted from all the data sources available, China is today selling at today's market prices both the processes, HOU and Solvay process they

use, are below cash cost and we just have to wait and watch how long this is
sustainable. We do believe the current prices are unsustainable for China, for
domestic and export blended together and especially for exports. Even for India,
these prices are unsustainable for exports today. So, I really think this is a point we
will have to wait and wat ch.
Saurabh Jain : Okay, understood. That is helpful. My second question is on the UK plant . I think
there was a notification that the production of chemicals in that plant has ceased production. So, can you clarify, is it only a short -term pause or it is a complete
decommissioning? What are the strategies on that plant and which chemicals in
particular are impacted because of this? And if you can also quantify the benefit that
it is going to flow to the company because of that closure.
R. Mukundan : Yes, the cessation Lostock unit, it's not a complete plant, but what it has ceased is
to operate the soda ash unit. There are some other parts of the unit which will be still
running. For example, delivering some of the chemicals to customers there and
those w ould continue, including the traded imported chemicals, soda ash, which we
are getting from U .S to service the UK market. Our intention is to maintain our market
share in UK for heavy ash with material coming in from U .S., and we would continue
with production of bicarbonate and production of salt in UK. It is just that soda ash
has been ceased to be produced there.
Saurabh Jain : Okay, so it's like a temporary pause because of adverse economics and if things
improve in the future, then you will bring that capacity back li ve again.
R. Mukundan : The Lostock plant has ceased to operate, and it is unlikely that it is going to start.
But other parts will continue. What I mentioned is the Bicarb at Winnington and salt
at Middle wich which will continue.
Saurabh Jain : Understood. I will get back into the queue for more questions. Thank you so much.
Moderator : Thank you. The next question comes from Abhijit A kella from Kotak Securities
Limited. Please go ahead.
Abhijit Akella: Good evening and thank you so much. Mukund, you mentioned about calibration of
CAPEX in light of market conditions. If you could please help us understand what

the revised plan might be now. You have previously articulated plans to expand
across most of your major geographies.
R. Mukundan : In terms of our CAPEX , in terms of the, let's say, 400,000 ton in U .S. and about
300,000 odd ton in Kenya and 300,000 odd ton in India, when I said calibrate, we
are also looking at option of bringing them up in stages. In Kenya, for example, we will be bringing on stream 50,000 ton immediately, and then we can bring the
capacity out in steps of 50 000 or 100,000 ton so that we manage our cash flows
better . This is not to say that there is a change in plan.
Even in U .S., we are examining, is there a two- step investment option there, which
we will come back with specific, but clearly this is , when I said calibration, the target
doesn't change, but there is an opportunity to bring these up in phases. In India, that
opportunity is not there. The 300,000 ton will come as one stream only , whereas in
US, it can come in two steps. In Kenya, it can come in about three to four steps.
Abhijit Akella: Got it. Thank you so much. And the other one I just had was with regard to any color
you might be able to help us with on the progress of the annual contract negotiat

ions
in the U .S.
R. Mukundan: So, contracts in U .S. are more or less done. I think the annual contracting is more or
less done barring some minor quantities which need to be s titched up. Even in India,
I think contracting is for the quarter and some for half year is more or less done. So,
if you needed the color, the domestic prices , I mentioned, are either same or maybe
a $1 or $0.50 less than last year, but it's not a big move. So, we will have to see
margin structure depending on the gas price.
Abhijit Akella: Right, and the U .S. also commensurate reductions.
R. Mukundan: Yes, when I spoke about $0.50 to $1 reduction, that is mainly the U .S. market. It's a
blended number. And in India, the pricing is more or less steady as we speak.
Abhijit Akella: Okay. Thank you so much and wish you all the best.
Moderator: Thank you. The next question comes from the line of Vivek Rajamani from Morgan
Stanley. Please go ahead.
Vivek Rajamani : Sir, just a couple of clarifications. On the US, I think you mentioned that there was a
production outage, which potentially explains the sequential drop in volumes. Could
you also give us a sense of what the cost impact was, which impacted your EBITDA
because of the same?
R. Mukundan: Actually we have two large shutdowns in a year and usually this should have
happened in Quarter 2, we pushed it to Quarter 3 , mainly to ensure that we supply
to customers even when the pricing was a bit higher.

Now, as far as the quarter is concerned, let me just say including quarter 4, our
annual numbers should be ahead of the previous year numbers. So, we are on track
to sort of deliver the volumes which are more or less there. There will be no change
in the volume as what we delivered last year.

In terms of the maintenance cost, the quarters when there is a maintenance
shutdown like this quarter, usually it is about Rs. 30-odd crore of cost impact for the
sustenance shutdowns.
Vivek Rajamani: Rs.30 crore . Got it, sir. And when you s ay that in terms of volumes you should be
above last year, just to clarify, is this ongoing activity now over or is there some
spillover into Q4?
R. Mukundan: No, it's over. And I think it was mid- quarter we took the shutdown.
Vivek Rajamani: Sure, sir. Thanks. And just a last clarification for the question that was asked by the
previous participant. You mentioned the U .S. contract in terms of the ASP, it's
broadly unchanged, but your margins would be determined based on the gas pricing. If you just elaborate a bit more on the
margin part, that would be super helpful.
R. Mukundan: It should remain flat, Vivek. Our team is still going through the process of hedging.
We expect if at all, a squeeze of $0.50 to $1, not more than that per ton as far as the
domestic sales are concerned.
R. Mukundan: Got it, sir. Okay, sir, I will rejoin the queue. Thank you so much.
Moderator: Thank you. The next question comes from Sumant Kumar from Motilal Oswal.
Please go ahead.
Sumant Kumar: Sir, considering your competitor numbers reported today and they have shown a
good operating performance, but for our Soda ash India business looks muted
despite volume growth in salt and soda ash.
So, is that because of some we are selling more on contractual basis or we have a
lower spot sale?
R. Mukundan: No, if you really look at the EBITDA number for the quarter, it is almost similar to previous quarter as far as the
TCL is concerned. Compared to previous year, it is
down by Rs.108 crore , which is largely driven by the increase in employee benefits
by 12% and freight cost by 16%.
R. Mukundan: For India business, if you compare to previous year, the same quarter, we had
Rs.206 crore of EBITDA. This year, we got Rs.209 crore of EBITDA. It's almost at
par compared to previous year. In fact, India business has improved from the
EBITDA which it had previous quarter. Rs. 144 cro

re was the previous quarter
EBITDA. This quarter, the EBITDA is up to Rs. 209 crore . It's almost Rs.65 crore
more than immediate previous quarter.
Sumant Kumar: So, when we see the overall cost scenario for India business, energy cost and any
other cost and that is mostly stable , and our volume has also increased in soda ash
and salt, but still we are showing muted numbers. So, you are talking about the
employee cost has increased for us?
R. Mukundan: No, no. In fact, when I said EBITDA, EBITDA includes all the employee cost
everything. So in fact, from the previous quarter of Rs.144 crore , it has gone to
Rs.209 crore . And from previous year, the same quarter, it was Rs. 206 crore
EBITDA. So that takes care of everything. Rest is all issues related to JV income,

other income and all of that. Also the interest cost because we have also moved that
into India the debt from Singapore has moved into India as we speak.
Sumant Kumar: Okay. Thank you.
Moderator: Thank you. The next question comes from Arjun Khanna from Kotak Mahindra Asset
Management. Please go ahead.
Arjun Khanna: Sir, the first question is just to understand the CAPEX going forward. So , when we
had announced CAPEX , we said that if we don't see a 20% IRR, we won't go ahead,
given where prices are at this point in time. I am kind of curious, why are we going
ahead with the CAPEXs , given that it seems that a 20% IRR seems difficult at this
point in time? The second part is if you could give us the timelines. So, while we have
done the first phase of CAPEX for U .S., Kenya and India, what are the timelines for
the expansion of 400 and 300, 300, 1, 000 in salt?
R. Mukundan: Yes, you are absolutely right , which is why we said we will calibrate it. What has
come on stream, we will sort of run it to full capacity. What is going ahead is the
Kenya 50,000 ton as we speak and we also fundamentally don't take a short -term
view. We will calibrate it to cash flows. If we do believe that in the medium term these
are going to trend upwards, which is what our belief is, we will bring it on stream in a
calibrated manner, which is not bunch them together, but bring them out in phases.
That is what we are doing.

And these are, in addition to that, our CAPEX mostly is brownfield. So, for us, every rupee contribution we earn, the fixed source is already covered. So, it flows straight into the bottom line. So, for us, the returns will still be good, and we will keep a watch on the return, as you mentioned, that if the returns don't track what we committed, we will make sure that we either optimize the CAPEX or we phase out or we wait for better visibility.

Arjun Khanna: Sir, could you help us with the timelines of U .S., Kenya and India in terms of, is it a three- year period where we expect this CAPEX to be done through? I understand they would be in phases, but what is the timeline for this 1 -million -ton expansion?

R. Mukundan: So, we had initially planned exactly what you mentioned, three years. So, depending on how we phase it, it may go into four years, but we will come back to you with specifics. Because it's also brownfield , it allows us to bring CAPEX on stream, earn the cash flow, and then use the cash flow which we earn to do the further expansion.

Arjun Khanna: Sure. S ir, just on the debt part of it, our net debt is up almost Rs. 900 odd crore . We had earlier stated that we are looking at paying down debt. Since then, debt continues to move up. So, how do we look at this at this point in time in terms of calibration with CAPEX? So, what kind of peak debt do we envision at this point in time?

N. Tirumalai: So, on the debt part, if you will look at that , it's gone up compared to March 24 mainly on the working capital debt part . Long- term debt is intact. In fact, we have moved the debt from Singapore to India. So, mostly working capital debt was the timi

ng issue,
and that should, over a point in time, come down as we have the inventory, because we also have higher inventory in end of December ending. As I can reiterate that, that debt will come down. So, it is more of a timing issue. Long term debt gets repaying in both Kenya and U .S. So, long-term debt is lower than what we had earlier, but now short -term debt has gone up.

R. Mukundan: Yes. Also , I just wanted to highlight this point that if you desegregate the debt, there is debt which is sitting in UK and as you know, where we have already ceased the soda ash unit. So, UK is now going to run only two profitable lines of Bicarb and salt. We do expect the UK to pay down its debt on its own, on the basis of the cash earnings it's going to have.

India, as I mentioned, we will calibrate the earnings in such a way that we are able to also manage parallelly certain deleveraging of the debt we have moved from Singapore to India, because we believe that's the right approach to do. And U.S., again, we will keep an eye on the debt very clearly.

What you need to take out, whereas the CAPEX is more or less done, no major CAPEXs are going to come immediately, except for the 60 million pound, which we had said we will fund. But that is going to be very value adding because it is only in the bicarbonate and salt business. So, UK more or less should be able to manage its debt. We will come back with this peak debt in the next quarter.

Arjun Khanna: Sure. The final question is, just as a carry -forward of this, we have created inventories. We see production much higher than sales, given that the market remains tepid. Just curious, why are we setting up additional inventories when we are not expecting much gr owth in the overall volume?

R. Mukundan: Yes, so firstly, I think as far as the U .S. is concerned, the inventory is mainly because it has moved into the next quarter. They missed two shipments . Their sailing in the boats, just about moved into the next month. So, it is really a timing issue. The inventory built up in India, we are very sure that we will be able to manage it at a reasonable level. Certainly, we had to test our plant . For example, the Soda ash plant, the commission ed capacity was a million ton. So, we ran and proved the plant can deliver a million ton . And this quarter , it produced I think 251,000 ton, thus proving the capability of the plant. But we are under no longer any pressure. So, we will calibrate the output and the sales in alignment , as far as India is concerned.

Arjun Khanna: Sure. Thanks for this and wishing you all the best.

Moderator: Thank you. The next question comes from Ankur Periwal from Axis Capital Limited . Please go ahead.

Ankur Periwal: Hi, sir, thanks for the opportunity . First on the India operations, now year-on-year while we have seen improvement in EBITDA, which is largely led by the volumetric growth, w e are expecting these higher volumes to sustain as well as the pricing net pressure which probably , you know , the full impact of the price decline is already there in this Q3 or Q4 can see further price decline.

R. Mukundan: I don't see an issue on price decline , but certainly the sales volume will be more than Q3 in Q4. And sequentially , I think in India we will be able to place more material in the market because we have the capability to place them , and also the material which

will come out of Kenya is likely to be a purer material in the sense that its purity levels
will match applications which we have not yet sold. So that 50, 000 tons also should
find markets both in India and Southeast Asia out of Kenya. And Indian market will
be fully serviced through our production from Mithapur which is now on stream.
Ankur Periwal: Sure, and pricing you said should be largely stable Q-o-Q.

R. Mukundan: It has not moved much in the sense that at least this s

eems to be moving horizontally
around that plus or minus minor movements, but we haven't seen either a move up
or a move down.
Ankur Periwal: Sure. A second bit on the Chinese capacity Inner Mongolia. Last quarter we had
highlighted there were quality issues and hence some issues in terms of the
production ramp up. Given that they are still continuing to be net exporters for the
last quarter as well , how is the situation there in terms of ramp up? I t's fully ramped
up now or there is still scope to increase it further?
R. Mukundan : I think it's ramped up to the extent they can, and we are not fully clear about the
overcoming of the quality issues. It will be going to applications which can accept
that quality. But the real issue is that the synthetic Ash plants are selling below cash
costs at the current price, $180, which is the current price. I think they need to sort
of increase it by at least $30 more, in our view. So, we need to sort of watch out for
how long this sustains.
Moderator : Thank you. The next question comes from S . Ramesh from Nirmal Bang Equities
Private Limited. Please go ahead.
S. Ramesh: Yes, thank you very much. So, in the Indian Mithapur Soda Ash expansion, can you
share the capacity utilization for sod a ash and bicarbonate expansion capacities in
3Q? And what is the utilization we will expect in 4Q?
R. Mukundan: Our capacity currently is about 250,000 per quarter. And if you look at this is the
gross production and split it into bicarbonate and soda ash and dense and light ash,
we should be running close to 235,000 to 240,000 tons. So, pretty much that should
give you the range of utilization.
S. Ramesh: And what was it in 3Q?
R. Mukundan: We had actually produced fully . We had produced to the ext ent of 251,000 tons . That
was the capacity it ran. It actually ran at full load, which is why the inventories went
up to almost 20/ 30,000 tons.
S. Ramesh: Okay . So that figure includes the bic arb production.
R. Mukundan: Yes, we only declare the gross production. Correct. Production figure is gross . The
sales figure is net.
S. Ramesh: Okay. So, in terms of the run rate on depreciation and finance cost, how do you think
that will move compared to 3Q? Will it be similar or will there be any increase in 4Q and then for FY2 6 once the entire
capitalization is done?
N. Tirumalai : It will be similar for Q4 FY25 as of now because the debt is expected to be remaining
same. So, we don't expect any increase in Q4FY25 compared to Q3FY25 .
S. Ramesh: And same for depreciation.
N. Tirumalai: Also because you can capitalize the whole thing in end of Q2. So, this will not change
too much for Q4.

S. Ramesh: Okay. So, in terms of the 15% decline in prices you mentioned in India, has your list
price been reduced because we haven't seen that in your website or is it more in
terms of discounts? How has it worked out? What is the current realization for Sod a
ash from your plant?
R. Mukundan: We said 15% is on import offerings. It is not really, now then they are dollar prices,
right? 15%. Now dollar itself is depreciated. So that should provide some cover. So,
if you back calculate that in rupees with all the duties put together, that would have already taken care of about 7 or 8% of that
15% as far as the imports are concerned
in rupee terms. Our rupee number, as I said, is more or less stable and hasn't moved
much. This fall is on the import price.
S. Ramesh: Okay . So, in terms of the latest that we hear from Canada kind of blocking imports
of alcohol from U .S., do you think that will have any impact on the U.S. container
glass demand for alcoholic beverages? Because last time when there was a
disruption in beer production, there was a similar disruption in container glass
demand. So , how do you see that impacting your container glass demand in U.S. ?
R. Mukundan: So, our domestic sales int

o container glass actually is fairly low. Our sales are mostly
into chemical applications and to flat glass. So, we don't see that as a big issue for
us. We will see the exact impact, but we are less impacted because our exposure is

low.
Moderator: Thank you. The next question comes from Rohit Nagraj from B&K Securities. Please go ahead.
Rohit Nagraj: Thanks for the opportunity. Sir, first question is on the UK Soda ash plant , which is likely to be ceasing to exist. So, it has got a capacity of 400,000 tons. Effectively from this quarter onwards that entire capacity will not be available, and which also means that the 1 million tons we are targeting to add about 400,000 tons is just to replenish the soda ash capacity of UK which is going out. Thank you.
R. Mukundan: Yes, I think that's one of the issues we are looking in U.S. because the unit which feeds into the UK market is actually U.S. They will get about and there is a dense and light ash split. So , we do see that they are now contracted out about 150,000 tons annually into the UK market itself from existing customers. So, this is continuing to serve the existing customers which we have in UK. So, obviously , they have a market space available to at least take care of, if not, I would say 400,000 tons which we planned in U.S. , at least half the number , which is why I said initially that we are trying to calibrate the market expansion in such a way that we also de- risk ourselves from any gyrations in the market price.
Rohit Nagraj: Fair enough. And the second question on the specialty products front. So, we have seen that this segment has barely been able to make any money at the EBIT level. So, any specific reasons for the same?
R. Mukundan: This quarter is actually a weaker quarter for Rallis , which is why the amount is usually lower. And if you come to standalone, I think, as far as we are concerned, this quarter, in fact, for the last two months, the orders which we are fulfilling are closer to about 80- 85% of the production capacity. So, we will come back with specific numbers for both Nutra and Silica in the fourth quarter where we should be producing to the fullest output of these two plants.

Moderator: Thank you. Next question comes from Nitesh Dhoot from Dol at Capital. Please go ahead.
Nitesh Dhoot: Yes, hi sir, thanks for the opportunity. So, my question is on the amendments to the Emission Trading Scheme , ETS, you know, in EU, will likely lead to lower Turkish soda ash imports and benefit the local manufacturers. So, Turkey players had also mentioned about an impact on the contract negotiations for 2025. So, how should one read this in the context of Tata Chem shutting down the plant? And as a follow - up, is this , I mean, an incremental question there, is it likely to put further pressure on the Indian industry as Turkey imports will likely inc rease significantly into India?
R. Mukundan: So, I think as far as Europe is concerned, I think their Emission Trading Scheme and its impact on, to protect the domestic industry, the CBAM is there, they have done. Natural soda ash still would be a lower carbon footprint than synthetic soda ash in many ways. And it is, for Turkey, the natural market will continue to be Europe. That doesn't change the basics of the discussion in terms of what makes sense. And that's where I would stop it. And the logistic cost to India and Asia, I think they have to come through Suez, they have to come through Red Sea. So, there are other issues in this market. What they will naturally try to push their product is to Western Europe and whatever is the, let's say, some overflow, if it does happen, it will find onto the Eastern seaboard of South America.
Moderator : The next question comes from Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Thank you for the opportunity. Sir, firstly , with the introduction of the minimum import price, the threshold level of 20,000 odd level p er ton, how does this suffice a lot of this import issue which you have alluded to in terms of the same flowing from China and other geographies into the country , and thereby supporting our margins and also improve levels of utilization levels for the Indian operations ?
R. Mukundan: I think it provides the floor and secondly , as we said, it is also sentimental in some ways because the MIP as we speak today is actually lower than the current prices at which we are contracting, and we are not seeing our sales price ever touching that number. What is more important is that the anti -dumping investigations have started and I think that process will move in parallel. So , while this has been imposed as a quick measure to ensure it doesn't go below a threshold price, t he real numbers would come out when the ADD investigations are over, which is already underway.
Saket Kapoor: Okay. Sir, you are mentioning that the realizations are currently higher than the MIP mentioned.
R. Mukundan: Yes, the current realizations for Indian manufacturers domestically are higher than MIP, in any case. So, it has provided a floor . It has provided a psychological barrier, but I think in reality , the imposing of anti -dumping duties is a permanent measure which will protect and improve the situation, which is underway as we speak.
Saket Kapoor: Okay . And sir, when can we hear more about it?
R. Mukundan: I have no definite time frame, but this is up to authorities to investigate. Usually it

takes anywhere between four to six months of investigations.
Moderator: Thank you. The next question comes from Mithil Bhuva from Unlisted India .com.
Please go ahead.

Mithil Bhuva : Yes, sir, on the U.S. front, EBITDA margins, can we say that the new normal is like 15%, which used to be 20% before even after the coal prices have come down actually ? So, the new EBITDA margins in Soda ash business is around 15%.
N. Tirumalai: Yes, this being a futuristic number, we can't comment on that as of now in this call.
Mithil Bhuva : Okay, but has it come down actually ? What is the expectation of the management? It used to be 20% before, but now after the new capacities have come, is it going to be 15% only?
N. Tirumalai: This quarter also is a question of mix. So, each quarter the whole mix might change depending upon the customer mix. So, one can't really comment on quarter -on-quarter that margin is going to remain. So, therefore, I am saying going forward what margin we are going to keep, we really can't comment on this one quarter numbers. It could be different. Because mix changes . It may have a higher EBITDA or lower EBITDA. But I can't comment on future numbers based upon this one quarter numbers.
Mithil Bhuva : And how does Tata Chemicals plan to decommod itize, like t he management has said that they will decommoditize Tata Chemicals . How do you plan to do it? Any comments on that?
R. Mukundan : No, I said we will also move businesses into more non -cyclical. So , in fact, we have added disproportionate capacity in bicarb and salt, which we will continue to do, and also grow the soda ash to the extent we can enter segments through brownfield expansions.
Mithil Bhuva : Any other area of chemicals that we are planning?
R. Mukundan: No, we are only progressing our both nutraceuticals and silica business. Those are the two we are focused on.
Mithil Bhuva : Okay, t hank you.
Moderator : Thank you. Next question comes from Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.
Arjun Khanna: Thank you, sir, for the follow -up. Just from the Lostock site, we did write off all the plant and equipment. Now we have taken a provision for employee costs. Do we see further expenses, maybe for cleanup of the site, etc., in the future?
R. Mukundan: Actually, that is right. So ,

what I would say , is that we took an impairment on the asset . An impairment is a testing which you have to do whether you run the unit or close, cease the operation. The ceas ing of operation decision has happened only now, and this is the cost to cease operations. Our best estimate as we speak today, is likely to remain in this range. If it's slightly lower, it will release some money for P&L. If it's slightly more, it will go into the P&L. But this is our best esti mate in terms of employee benefits for termination of their services. This is what it is going to take us to close the site in a safe manner.
Arjun Khanna : So, it includes both the costs in terms of the employee as well as the closure cost in the Rs.70 crore . So we do not envisage a major incremental expense post this?

R. Mukundan : No, not a major. If at all, there will be some minor movements depending on actual expenses incurred is our best estimate today .
Arjun Khanna : Sure. S ir, the second on the specialty , you did delve on it, but if I look at the standalone, we see that margins are close to nil even though we are operating at 85%. So, either the pricing is extremely low or we are very inefficient at current scale. Could you help us understand what's happening here given that on a sequential basis, margins have actually come off even on a year -on-year basis as utilizations are increasing?
R. Mukundan : Yes. So, I think you are right in the sense that if we don't increase the scale, at least double the capacity over a period of time because the utilities there have been set up for almost double the capacity. It is going to move along. We didn't want to add additional capacity till we proved that the current capacity could be fully used because otherwise you will have a much higher idle capacity. I think now that we are inching towards , we will move forward with what we call as a balance equipment’s which will be added to this unit to increase the output for the market.
Arjun Khanna : So, has the decision been taken and what are the timelines?
R. Mukundan : Yes, it is moving forward, and we will come with specific number by the next quarter on exactly what is going to be the phasing. It may still be in two steps because we can add entire 5,000 in one step or we can add it in two steps of 2,000 and 3,000, and we are working. That's the plan today. The plan is just to add, do it in two steps

rather than in one step immediately.
Arjun Khanna : Sure, t hank you, and again wishing you all the best.
Moderator : Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to the management for closing comments.
R. Mukundan : Thank you for joining the call today. A s we spoke from the last call to this call, I think the markets have remained range- bound at a lower pricing scenario, largely driven off the supply -demand imbalance which is existing today. We do expect that over a period of time, the current pricing, which are unsustainable, some changes will certainly happen. We can't comment on the timing. So , we had already highlighted that this level is likely to continue for three to six months at least.
In terms of the growth in market, we do believe that India is well positioned to continue to grow, Asia is well positioned to grow. The U.S. and Western European markets are flat or Western Europe is slightly de- growing. How ever, we do expect that U.S. would move forward because it continues to grow as an economy at a good rate going forward.
In terms of our approach, we have been very clear about ensuring that we are able to run sustainable units. With that decision, we have taken the cessation of our UK soda ash plant . As I mentioned, that while our growth ambition has not changed, we are only calibrating the growth ambition in line to make sure our cash flows match with the capital needed for investme

nt and at the same time, we are able to deleverage in a meaningful way every quarter, every year going forward. Thank you all and see you next time.

Call: May 2025

May 1 4, 2025
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex
Bandra (E)
Mumbai – 400 051
Symbol: TATACHEM
Dear Sir / Madam ,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and financial year ended March 31, 2025
Further to our letter dated May 7, 2025 , we enclose herewith a copy o f the transcript of the Analysts/Investors Call on the Audited Consolidated and Standalone Financial Results of Tata Chemicals Limited for the quarter and financial year ended March 31, 2025, held on Wednesday, May 7, 2025 .

The same is also being made available on the Company's website at: https://www.tatachemicals.com/investors/financial -reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above

"Tata Chemicals Limited Q4FY25 and FY2025 Earnings Conference Call "

May 07, 2025

MANAGEMENT : R MUKUNDAN - MANAGING DIRECTOR AND CEO, TATA CHEMICALS LIMITED

NANDAKUMAR TIRUMALAI - CHIEF FINANCIAL

OFFICER , TATA CHEMICALS LIMITED

Moderator : Good evening, ladies and gentlemen, and welcome to the Q4 FY25 and FY2025 Earnings Conference Call of Tata Chemicals Limited.
Please note that this conference is being recorded. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
We have with us today R Mukundan – Managing Director and CEO and Nandakumar Tirumalai – Chief Financial Off icer of Tata Chemicals Limited.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward looking in nature and may involve risk and uncertainties. With this, I now invite Mukundan to begin the proceedings of the call. Thank you and ov er to you, Sir.
R. Mukundan: Thanks, Neera v. Good evening and welcome to everyone for this Q4FY25 Earnings Call. And I will start the discussion with a brief industry overview, then move on to highlights a cross business and geographies.
Starting with the demand scenario across geographies :
In the year FY 25, for the worldwide overall demand of soda ash there was a growth, mainly led by China by 18% and India by 4.5%. While the rest of the world saw a decrease in dem and of about 2.3% . The market conditions remain challenging, even as India continues to grow. While demand fell, mainly in the flat and container glass in all these markets, we do anticipate that pockets other than China, US and Western Europe to show momentum and growth a nd India will continue to grow , though demand -supply balance softness, tariff uncertainties will also weigh in on the market.
However , I would say looking beyond this , medium -term and long-term remains positive, driven largely by sustainability trends, where soda ash is one of the key ingredients for the sustainable transition of the world. In terms of supply side, soda ash remains well supplied, especially because supply has risen in China more recently. Soda ash capacity increased by 8.9% and this was the main reason for decline in prices by over 25% from the previous year. The tariff uncertainty could lead to shifts in producti on centers of soda ash application industry, and this could lead to change in demand centers. However, some of the demand centers will continue to move forward with positive momentum.
In terms of TCL performance :
The Company reported for Q4 on a consolidated basis, a revenue of Rs. 3,509 crores , EBITDA of Rs. 327 crores and a PAT before exceptional item of Rs. (12) crores. For Q4 FY25 the

company reported on a standalone basis , revenue of Rs. 1,219 crore, an EBITDA of Rs. 230 crore and a PAT from continuing operation s of Rs. 97 crore.
For the full year, the consolidated revenue was Rs. 14,887 crores , an EBITDA of Rs. 1,953 crore and a PAT before exception al item of Rs. 479 crore. Similarly, for FY25, the standalone revenue was Rs. 4,441 crore, EBITDA of Rs. 818 crore and PAT from continuing operation s of Rs. 524 crore.
In India, the performance is higher compared to previous year, mainly driven by higher volume s, partly offset by lower realization of soda ash and bicarb. The quarterly sales volume of FO S has increased significantly to 817 MT compared to Q4 of FY24. During the year FY25 , the Company commissioned 230 kT of soda ash and 1 ,40,000 kT of bicarb capacity in Mithapur , both are fully on stream.
In US overall both the volumes and prices were lower in Q4FY25 than Q4 of FY24.
UK had lower volume mainly due to the ceasing of the soda ash operations in Lostock and there has been an exceptional charge of Rs. 55 crore which has been taken to comply with certain regulatory and contractual

obligations in UK. Our focus in UK will be to move fully to high -
grade value -added products , and in this regard, we have commissioned 70,000 Tons of pharma salt capacity in Middlewich, UK.
Kenya saw higher sales volume and higher realization, mainly because they continue to focus on the domestic African market which give them better yield in terms of contribution margins.
Rallis results were lower amid continued weakness in the export market , as this also is a weak quarter for Rallis and they were in line with our inter nal understanding.
In conclusion, going forward, I think our focus will continue to be on safety and sustainability.

While focusing on these two, we will continue to focus on maximizing volumes across products alongwith cost and working capital efficiency and we will also calibrate Capex to the market conditions. We remain positive in terms of the medium -term outlook, and we also remain focused on our outcomes in the immediate term to ensure that our free cash flow and operational efficiencies continue to be of the highest order.

With this, I close my comments and hand over back to the moderator to open for Q&A. Thank you.

Moderator: Thank you very much. We will now begin with the question -and-answer session. First question is from the line of Saurabh Jain from HSBC . Please go ahead.

Saurabh Jain: Thank you so much for the opportunity. My first question is on the Indian business. We have seen improvement in the volumes and also on the margin side on a Q -on-Q basis. I wanted to know your views whether the government impo sed minimum import price , does play a role in this kind of improved performance for us during the quarter?

R. Mukundan: No, I think this would have been done even without any support and I think that MIP was, in fact, not a factor at all.

Saurabh Jain: Okay, so it is going to expire in June and how would you imagine the situation in India post this MIP expiry? You said you are not impacted, right? But what about the industry? Are you seeing any impact post this expiry of MIP next month?

R. Mukundan: I doubt it benefited industry. I doubt i t is going t o impact the industry.

Saurabh Jain: Okay, thanks. Secondly, on the US business and if you can also comment on the margins for the other businesses as well. In US business, we have seen the margin kind of seeing persistent compression. While if I look at the realizations, it is still holding up at about $259 to $ 260. And we used to make good margins at these realizations about 2 to 3 quarters back. Can you please explain what kind of led to such kind of difficulties in getting the profitability in the US business, please?

R. Mukundan: Domestic piece of the US business is doing fine , in terms of both revenue and margin profile. It is mainly in the exports where there's been a margin compression. And I think fundamentally one needs to watch out for the export pricing in the Southeast Asian markets , LATAM not a big issue . It has been the Southeast Asian market where the prices are hovering somewhere close to, $200 odd per ton and while they have positive contribution margin s, they don’t yield full cost recovery.

Saurabh Jain: So what you are relating to the fact is that the demand situation is much better in the LATAM and the South Asian markets, but the pricing challenges remain ?

R. Mukundan: I don't think there's a demand issue in the markets we operate. I think we are fully sold out and will continue to be fully sold out in all our products. The way we do see the next year going forward is that we see India, Kenya and the UK continue to move in the positive direction. UK mainly because they have restructured their operation and the cost structures, and everything will be reflected by first quarter and you will start seeing the difference and by the second quarter it would have fully set

tled down. So that is the profile I would say of UK because whatever residual issues would be there, they would all be out of the way during the early part of this month itself. So we are not going to see any further cost impact and UK would continue to go towards a value -added cost profile and India and Kenya would continue to move in the same direction. US domestic a lso should be positive. The main point being the US exports , which we remain totally focused on how to improve the volume and market mix , and that effort the team

is going to work on. It is not that we can't place the volume, but it is about where can we place the volume with opportunities to improve the margin profile.

Saurabh Jain: So, what could be a fair assumption to kind of build out the margins for the US business? $40 per ton of margin, when can we reach that back?

Nandakumar Tirumalai : What is the question, can you repeat that?

Saurabh Jain: What kind of improvement do you expect in the US margins in the next few quarters? How much of that can improve?

Nandakumar Tirumalai : If you look at the next few quarters, the pricing is still subdued in the market here and since US exports about 60% and 40 % is domestic sales , on the export part, the pressure still remains. So we do not expect any major improvement in the margins in the next few quarters in US.

Moderator : Thank you. Saurabh, sorry to interrupt you. I will request you to come back for a follow -up question. I request all the participants to kindly restrict 2 questions per participant and join the queue again for a follow -up question. Next question is from the line of Ankur Periwal from Axis

Capital. Please go ahead.
Ankur Periwal: Thanks for the opportunity. So, first question on the UK part of the business. You did mention one time cost or expenses of around Rs. 55 odd crores for the quarter. But even if I adjust for that, profitability on the business, given the shutdown of Lostock there, looks slightly on the lower end. So, your thoughts on how you are looking at F Y26 given that pharma salt also comes into picture in terms of ramp up and the loss-making operations are also taken care of ?
R. Mukundan: I think as I said by quarter 2, you would start getting the complete stable profile and our anticipation is in terms of its overall , it should move towards the way Maga di transformed itself. So, I think UK is on a transformation path. We are pretty much hopeful that will be the direction it would take.
Ankur Periwal: Sure, and Nandu Sir, just as a follow up, show any numbers or thoughts we can peg ourselves to, maybe an FY21 -22 profitability, sort of a number that we can l ook at on a steady -state basis?
Nandakumar Tirumalai: If you look at the British Salt numbers, they improved in the last 3 -4 years . And therefore, when you get the annual report at the end of May, you get all the numbers for Company -wise performance , and then you can look at those and work out. So British Salt is an upside and EBITDA in the last 4 years, in a way, doubled that would remain as it and we also get the incremental volume from the pharma grade salt . And bicarb, the 80kT plant remains in UK which will go and deliver profits. Lostock is shut down , so Lostock losses will not be coming going forward. So broadly looking at UK will get into a much better financial position going

forward. The issue remains of debt in UK which has to get serviced over a point in time. So broadly it's British Salt and the 80kT bicarb which will do well.
Ankur Periwal: Okay, great. That's helpful. Second, on the Kenya side of operations, we have seen a recovery in profitability there. Volumes also ha ve seen a Q -o-Q improvement as well as on a Y-on-Y front. Will this be a fair run rate expected to continue or are there more benefits that can

flow
through there?
R. Mukundan: Yes, in Kenya, I think this would continue. I think there is headroom to improve volume even further. That will be our attempt. But the current run rate is conservative estimate you can make. In addition to that, they have got approval to expand their capacity from the government. NEMA approval has come this quarter. They are pressing ahead with the expansion initially for another 50,000 ton. But these 50,000 tons will be a pure ash product, which means it can go into flo at glass and we expect to bring it on stream sometime towards the end of the year. That will be another added benefit as we move forward in Kenya. The pure ash product, at least the construct we have is , it will come in streams of 50,000 tons because it is a very modular plant which uses green power and solar power. Thank you.
Ankur Periwal: Okay, great Sir. That is helpful. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Rohit Nagraj from B& K Securities, please go ahead.
Rohit Nagraj: Yes, thanks for the opportunity. So, first question is in terms of the Chinese demand. So, we have seen that last year a lso it went up by double digits. F or 3 months or so, in your commentary you said almost 18%. So, any understanding as to which segments are driving this demand? And probably at certain point in time, there could be a backlash in terms of the user segment, there will be higher inventories and subsequently demand slowdown for soda ash, just your comments on that? Thank you.
R. Mukundan: As I mentioned, last year was a year of very strong growth in China. We don't expect similar growth to continue this year. Last year was about 18% surge by mainly solar and lithium carbonate markets. We usually expect about 6% growth. So, we are actually factoring in that China will probably remain stable or maybe have a negative of 1% or so. So, it is going to be somewhere stable in my view. So that is what we are projecting into our plan.
Rohit Nagraj: Sure, thank you. Also, second question in terms of the India domestic market, how are we foreseeing both the availability of soda ash in the domestic market and the exports? And concurrent demand side, which are not segments are actually showin g the good traction? Thank you.
R. Mukundan: India will continue to grow, and we are seeing a very good traction of growth in both glass and all other segments in India. We are factoring anywhere between 5% to 6% growth in India even

in the coming year. Indian economy and Indian demand is one of the steadiest we will see for the next couple of years.
Rohit Nagraj: Thanks, and all the best, Sir.
Moderator: Thank you. Next question is from line of S Ramesh from Nirmal Bang . Please go ahead.

S. Ramesh: Thank you and good evening. So, sif you were to look at the UK business in perspective, if you were to knock out the soda ash revenues and work on the margins, is a 20s kind of margin possible once everything is stabilized? Maybe second half, what is your thought on that?
R. Mukundan: Once we stabilize, as I said, second quarter is what you should take. First quarter will be the continued process stabilization. The reason I say that is , we will be finishing the reconfiguration of our power plant and other plants because these power plants are sized for a very large capacity of soda ash. They are being reworked and reconfigured. That work should sort of stabilize around second quarter. I would want to say that I don't want to make any forward -looking statement. I think you need to wait for the second quarter numbers to come through. Part of the result you will see in this first quarter itself. By the time second qua rter comes, it should stabilize more.
S. Ramesh: Okay, so in terms of the US business and the overall interest expense outlook in terms of the cash flow

s, when do you see the cash flows improving to levels where you can reduce the debt and bring down interest expense? And obviously, you need to see some traction in terms of the pricing. But at these prices, would you expect the current run rate in the US profitability to continue? Or do you have any other levers where you can actually marginally improve to perform?
R. Mukundan: In terms of US, our focus is going to be to generate enough EBITDA margin and cash flows to at least start bringing down the debt marginally. So, we are extremely focused and when I said recalibration of the CAPEX plan, the bulk of the recalibration in CAPEX is happening in US as we speak. We will be able to grow the momentum in US as soon as we see that it is reasonable levels of free cash flows which then can allow us to invest. So, we are putting capital where the cash flows are good and where the cash f lows need to improve, we will work on improving them. One of the big levers we have is to become even more cost efficient and cost competitive and that effort is underway during the year. So, you will start seeing some of the results on that even while the market remains challenging for the US exports, you will start seeing the results during the year.
S. Ramesh: So, one last thought, if you look at the excess capacit y plaguing the market, what is the kind of capacity that needs to be taken out for you to get back to normalize margins?
R. Mukundan: I would say not excess capacity, but excess uncompetitive capacity, which needs to go off for the balance to happen. If you look at the world prices, the highest world prices is in Western

Europe, the capacity there is being serviced at unsustainable levels. Ideally, they would be the ones. Also, in these sorts of markets , we expect the new CAPEX for synthetic to sort of slow down. And that would also make sure that as growth comes in , demand growth continues, we have a reasonable balance coming through. So broadly, I would say that in the markets we operate now, we are not an operator in the European market. For us, we work with a pretty stable outlook towards capacity and continued gro wth o f the market. The balancing in Europe will only take out some of the material which flows out from Turkey into Europe, that will continue to increase. That's all.
S. Ramesh: Okay, thank you very much and I will join the queue.
Moderator: Thank you. Next question is from the line of Vivek Rajamani from Morgan Stanley, please go ahead.
Vivek Rajamani: Thank you so much for the presentation, Sir. Just a couple of clarifications on the US. I know you mentioned that the export realizations in some markets were the main reason for the decline in EBITDA, but I just wanted to check if the surge in gas costs that we saw this quarter, did that also play a role in the margin compression? And the second clarification I had was, if I remember correctly, in the last quarter, you mentioned that two shipments got pushed out to this quarter. So just wanted to check if it wasn't for those shipments, but the US volume numbers woul d have been lower this quarter. Thank you.
R. Mukundan: Yes, I think the US volume numbers are lower this quarter, mainly because I think we had congestion at the port of Portland because of weather condition and they did get pushed out. So, they will come into the books in the first quarter of the current financial year.
Vivek Rajamani: Yes, just wanted to check if the increase in gas cost, did that also play a bit of a r ole in the margin compression?
R. Mukundan: See, gas is fully hedged. I think our big issue, more than the variable cost side in most of the units, it has more been the market pricing and also fixed cost where there are opportunities. So, I think we are focused on those two elements. US, in fact, our gas consumption is only 25% of our energy portfolio the

re. 75% of our energy portfolio is still this coal and while we will convert to gas fully by 2030, as we speak, 7 5% is coal, which is more or less stable. There is no movement in the cost at all. So, for us, the impact is not high and that has not made any difference. Our biggest difference is, as Nandu highlighted, we need to maximize volume. Maximizing volume does bring down variable cost because the utilization rates aid efficiencies of operation. And the second piece is about making sure our fixed cost is fit for fitness , there are opportunities there. And also markets we serve; can we get to slightly better servicing of markets where the profile market mix is better.

Vivek Rajamani: Sure, Sir. So just as an extension to that, because you mentioned the logistical problem, then would a 600 kilotons sort of a quarterly run rate be a realistic number to assume going forward, assuming you do n't have any other constraints?

R. Mukundan: For US, yes, it should be very much possible . I think we are also in the process of adding a warehouse capacity so that the production rates and evacuation rates do not get affected. So, we will be doing that to aid a steady production, but 600 kilo tons on an average be very comfortable.

Vivek Rajamani : Sure, Sir. And if I could just squeeze in one last clarification. I think in your opening remarks, did you mention that there was supply growth in China once again? Did I hear that correctly?

R. Mukundan: Yes. In China, there has been supply growth. I think that is where the capacities have come in last year. Basically , the Inner Mongolia capacity was not running at full capacity due to maintenance outage but now it is fully back on stream.

Vivek Rajamani: Apart from the Inner Mongolia capacity Sir, there is nothing incrementally new right? It's just the ramp up of that capacity ? Is that correct?

R. Mukundan: Yes, basically they are out of the maintenance outages which is why I think the exports to China stopped.

Vivek Rajamani: Just wanted to clarify that. Thank you so much and all the very best.

Moderator: Thank you. I request to all the participants kindly restrict to 2 questions and join the queue for a follow up. Next question is from t he line of Arjun Khanna from Kot ak Mahindra. Please go ahead.

Arjun Khanna: Thank you for taking my question. So, when I look at our net debt, it is up roughly Rs. 1,100 crores. And in the presentation, we talk about net debt being higher due to higher working capital debt in India, US and UK. But when I look at our balance sheet, I do see inventories up only Rs. 30 crores, trade receivables being flat at Rs. 1,900 crores and trade payables actually in our favour of around Rs. 120 cro res. So, what am I missing here?

Nandakumar Tirumalai : Arjun, we also had a CAPEX incurred during the quarter, so it is temporary funding for the year for CAPEX and this year we had peak CAPEX in India and all over the place. So that is temporary working capital loan taken to fund the CAPEX , but over a point of time that will be repaid from our equity coming in terms of the profits being made. So otherwise, inventory is more or less intact. It is more like th at, I would say , UK had also certain expenses, the variable cost being higher . Otherwise, it is more in terms of funding the overall cash needs of the Company which came in the year, in which EBITDA was there, but it was offset hugely by the CAPEX which was mainly incurred for the last stage of Mithapur , which had the capitalization

happening for soda ash , bicarbonate & salt. So, it is a matter of temporary funding taken through working capital growth.

Arjun Khanna: In terms of CAPEX , so we spent roughly Rs. 2000 odd crores in F Y25. What is the outlook for FY26 and beyon d if we have any number for FY27?

Nandakumar

Tirumalai : It will be lower because this year was a peak , Arjun , as we spoke about the UK pharma grade salt was capitalized in current year, the salt and bicarb came. So, this is a peak. We will go back to the historical trends going forward, that is for next year.

Arjun Khanna: So, our plan would be about Rs. 1000 crores for FY 26?

R. Mukundan: See, our sustenance CAPEX should be clocking anywhere between Rs 550 - 600 Crores or so. And beyond that, I think our biggest CAPEX is increasing capacity in our prebiotics plant at the cost of about Rs. 18 crores and there is no other major CAPEX is being planned during the year. We will come back to you.

Arjun Khanna: What about Kenya Sir? 50,000?

R. Mukundan: Yes, that is a very minor CAPEX . We will give you the figure in the next meet when we do. It is about Rs. 60 crores , in next year .

Arjun Khanna: For 50,000 tons ?

R. Mukundan: Yes, 50,000 and other capital expenditures.

Arjun Khanna: Sure. And my second question on freight costs . So, if I see freight and forwarding costs a year - on-year while we have increased volumes by roughly 1% odd, we see 11 % increase in freight and forwarding charges . Is there any one-time impact on this or is there anything you would like

to call out on this number? The number change etc. the way we do business?
Nandakumar Tirumalai: Yes. One is increased volume we had in the current year, Arjun. And secondly, if we look at the increase also , this year we are getting out of ANSAC in the last year of ANSAC. And which means that now we have to directly get where it see enough price and pay the freight for it. Till last year, we had ANSAC a much higher share. We were delivering at their port in US, and they were incurring the freight. So, the model has changed in US, and this is third year and the last year of ANSAC coming out. Next year woul d be entirely exports without any ANSAC play. So that's a change in model, which means now we get higher revenue, but we also incur higher freight.
Arjun Khanna: Sure, but would it hav e a positive impact on margins?

Nandakumar Tirumalai : See, that we can't say between ANSAC and export, both would be more or less similar. But in the non -ANSAC case, we will know who the customers are. At this point in time, I think premature to comment on whether I will get better margins by doing non -ANSAC sales. But probably it should help us in the long term. Now we know exactly who the customers are, and we can service them better.
Arjun Khanna: Sure. Thank you very much for thi s and wishing you all the best.
Nandakumar Tirumalai: Thank you, Arjun.
Moderator: Thank you. Next question is from line of Abhijit Akella from Kot ak Securities. Please go ahead.
Abhijit Akella: Yes, good evening, gentlemen. Thank you so much for taking my questions. So, in your opening remarks, I believe I heard a number of 8.9% increase in capacity for soda ash for the full year last year at the global level. Just wanted to confirm that number. And then if you could please also just help us with a demand growth number if you would happen to have that for last calendar year as well?
R. Mukundan: So last calendar year, I think the demand grew by 8.3 and the supply which came on stream was 8.9.
Abhijit Akella: Understood. And with regard to the outlook for capacity in the global market, will it be possible to share your perspective on how you are seeing things. There is a large capacity expansion by Sisecam , I believe it's called in the US, 5 million tons odd, and then some other smaller expansion in various parts of the world. So, any sense of how much capacity could be expected over the next 2 or 3 years?
R. Mukundan: Our view is that expansion in US for export market is unviable at these prices. I am saying that at the current export price realization and margins, the expansion of capacity is no

t viable. The
point is that at the end of the day, we are going to finance thes e, numbers do not add up.
Abhijit Akella: Understood, Sir. But as per your market intelligence, are the suppliers in the market behaving rationally according to this, or are the expansions stil l going on as per their plans?
R. Mukundan: I cannot comment on that. I can only comment on what we do. I think if you look at the market picture, it has become even more slightly hazy with all the tariff issues. And on top of that, interest rates are not coming down with the rate at which they need to come down. I think if it is going to be deep bottlenecking where you're adding capacity for very marginal cost, it is one scenario. But if it is a scenario of a fresh new capacity, it is challenging.
Abhijit Akella: Thank you so much and all the best.

Moderator: Thank you. Next question is from the line of Dishant Gupta from GEOJIT Financial. Please go ahead.
Dishant Gupta : Good evening, Sir. So, my first question would be what exactly would you attribute the lower profitability to? Is it because of drop in realizations or increases in expenses or issues in the UK? Wha t exactly would be the reason?
R. Mukundan: So clearly pricing has a role and secondly this quarter , some of the units could not perform in terms of volume, especially in the US. And thirdly, the issue is also due to certain one -off expenses which have been booked in this quarter.
Dishant Gupta : Another question would be like the sales volume growth has not been very promising. So how will you maintain the sales volume growth in the future to offset the lower realizations or the volatility in the realization in the future?
R. Mukundan: We will continue to maximize throughput. In terms of sales volume, if you look at it, the volume loss which we will have in UK in soda ash , more or less we will try to compensate with growth in India and Kenya. India and Kenya will continue to offer opportunitie s for expansion.
Dishant Gupta : Okay. And will you be able to give me number, like how much sales volume growth would you expect year -on-year on a sustained basis?

Nandakumar Tirumalai: See the capacity has gone up in the current year as the numbers have been given to you that will come for the next year full year. This year only part year it came. So you can expect that for the full year next year for India soda ash , India bicarb and UK pharma grade s alt. That will be th e incremental volume next year.
Dishant Gupta : And that capacity increase would be according to you, it is met by the demand, means the demand growth also wo uld be expected as much, right?
R. Mukundan: Yes.
Dishant Gupta : Okay. Thank you so much.
Moderator: Thank you. Participants, kindly restrict to 2 questions per participant. Next question is from the line of Saket Kapoor from Kapoor & Company . Please go ahead.
Saket Kapoor: Yes, Namaskar, Sir. And thank you for this opportunity. Firstly, can you provide us with the import number in tonnage for the quarter and for the year as a whole? As you mentioned that MIP did not play any role. So, post the imposition of MIP, how have things been? And also, any update on ADD Sir?

R. Mukundan: There has been a reduction. My views is that and I am giving my Company view, that MIP number is not impacting. It is about a million ton of material that came into India. But I think ADD, the investigation is on, so it is on. I would not like to comment on a matter which is quasi - judicial process.
Saket Kapoor: Can I ask what are the current utilization levels and what are the capacity additions for both soda ash, bicarbonate and salt? So, if you could just give some color for the next financial year, how are the capacities likely to be set?
Nandakumar Tirumalai : See, our numbers

we have with you in terms of Tata chemicals, that is there. And beyond that, capacity expansion is almost, look at US, very unviable. But do not look at much expansion coming on board, excepting China, which is already at the Inner Mongolia, is fully operational. Otherwise, we do not expect at the current prices that companies can put up c apacities which will be viable.
Saket Kapoor: That's correct, but I think the Rs. 2,000 crore CAPEX which we have spoken for this F inancial Year.
R. Mukundan: Our capacity, as Nandu has already mentioned, 230,000 ton of soda ash and 140,000 ton of bicarb has fully come on stream. What you saw in quarter 4 will be now seen in through the full year. That is the upside.
Saket Kapoor: Okay, Sir. I will join the queue.
Moderator: Thank you. Next question is from line of S. Ramesh from Nirmal Ban g. Please go ahead.
S. Ramesh: Thanks for the follow -up. So, if you were to achieve the full utilization of your expansion in Mithapur soda ash and bicarbonate, in terms of the deprecation run rate, would it be similar to what we saw in the 4th quarter for the full year of Rs. 72 crores or should we pencil in some increase there? And on this sort of utilization, after the depreciation, would we be able to achieve the normal EBIT margin and ROC of around 20 %?
Nandakumar Tirumalai : Ramesh, we capitalized sometime in October, so this Q4 would be the right number to track for the full year going forward, quarter wise.
S. Ramesh: So that entire 230,000 we can expect to be done in FY 26?
Nandakumar Tirumalai : Yes. and 14 0kT bicarbonate.
S. Ramesh: Okay. So just some thoughts on the UK tariff rebates for Indian exports under the FTA. Any impact for soda ash, bica rbonate, or any other business?

R. Mukundan: From UK, we bring in very high-quality pharmaceutical grade products into India. Our exports to UK are not there but certainly we are examining opportunities to export high grade pharmaceutical products once we start making in India. As of now , we don't manufacture in India , we make the pharma grades only in UK , but it's an oppor tunity to manufacture in India.
S. Ramesh: Thank you very much and wish you all the best. Thank you.
Moderator: Thank you. Next question is from line of Aditya from DB Securities . Please go ahead.
Aditya: Hi, Sir. Thank you very much for taking my question. So, I had a quick question based on your initial comment. You said the number of the volumes are increasing on the India front now and and other regions, right? Would it be enough to compensate for the decline you're seeing in other regions?
Aditya: In the sense that your decline in terms of the prices in your presentation says that some sort of a demand is tapering down in US, Europe and China a s well, right?
R. Mukundan: Yes, so in UK we don't manufacture soda ash anymore. It's mainly the soda ash bought from the

US, which we sell to customers with whom we have contracts in UK. We do not manufacture soda ash. What I meant was the capacity which went out in UK will get compensated during the course of the year by India and Kenya put together. India has already added 230, 000 tons, there is another 50,000 ton which is coming in Kenya. So that should compensate for the loss of volume. So, we will be able to go back to our volume which existed when UK used to operate fully, soda ash. In terms of bicarbonate, there is a minor reduction in UK of 40,000 ton which used to go to the flue gas treatment market because in India we have already added 140,000 ton. I think our net increase in bicarbonate will be 100,000 ton already. And salt, we have added 70,000 ton in UK of the high-grade pharma salt. And our capacity in India is fully operational. And there is further expansion coming on stream, which we will review during the course of the year and come back to you.

Aditya: Sir, just

to follow up on that, would that compensate for any increase in the production on the India side, right? Will it help us sustain the EBITDA above the last year margin because it's now below 10%, right? And there has been a steady decline. I under stand that the volumes are going up, but pricing pressure remains, right? If certain markets do well ?

R. Mukundan: Correct. So, Aditya, the pricing pressure remains. And what we have done is reconfigured our UK operation. That should be an upside next year. So that should get fixed because costs were high and we were having negative margins there. That is no longer there. And I mentioned that UK will transition to the same situation which we have in Kenya , which is a profitable unit. India would continue to. So, you have 3 units which will be clearly in the positive zone. US exports remain a bit of a challe nge, but we will work our way through that through ensuring cost and operational efficiencies. So, you could wait for the operational details as we move along,

quarter 1 and quarter 2. That would give you an indicator of the way we are going to be transitioning into next year. The last 2 quarters are not a reflection of what the Company is planning to do next year.

Aditya: Would you like to give some guidance on where the EBITDA margin should look like for FY 26?

R. Mukundan: We do not give guidance, Aditya. As the year unfolds, by quarter 2, you would have a c lear direction of where we are.

Aditya: Okay. So, your second last question, Sir. With tariffs coming along, right, do you see that because there is a clear pressure on China, do you see some of those export volumes might be given to us or can we basically take advantage of that in case if there is a sustained pressure on exports out of China?

R. Mukundan: In our view we have not factored any of the major issues around tariffs. It may lead to rebalancing of supply demand centers and as of now from the centers we manufacture we have not seen a major shift in the way we need to rebalance our market portfolio, and we will keep updating you every quarter because this is a fast-moving situation, and we cannot project for the future. As we speak, our view is that our production center and market portfolio, we are not seeing any major shifts in the dema nd patterns as we see. But if there is a substantial change, we will update you at the end of the first quarter.

Aditya: Okay Sir, thank you very much and all the best.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. R. Mukundan for closing comments.

R. Mukundan: Thank you for joining the call today to all the participants. While the market conditions remain challenging, our endeavor is to excel in operations through innovation, digital and customer delight. We continue our journey to embed sustainability guided by Project Aalingana , which the entire Tata Group is focused on. Our focus is to expand the core , while being calibrated and this will also include broadening the portfolio with high -grade and high -value -added products. As highlighted in the pre vious calls, market remain range bound and the pricing scenario would continue as it is, at least in the immediate term. We expect over a period the market profiles to change and especially the positive benefits of sustainability as a driver will come into play. In terms of our approach, we would continue to focus on ensuring cost optimization and focusing on becoming more competitive. We will also be looking at ways and means to improve our capital program, including working capital. And we look forward to seeing all of you in quarter 1 of FY26. Thank you all a nd safe days ahead. Thank you.

Moderator: Thank you very much. On behalf of Tata Chemicals Limited, that concludes this conference. Thank you f

or joining us and you may now di sconnect your lines. Thank you.

Call: Aug 2025

August 1, 2025
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM

Dear Sir / Madam ,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the first quarter ended June 30 , 202 5

Further to our letter July 25 , 202 5, we enclose herewith a copy o f the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of the Company for the quarter ended June 30 , 202 5 held on Friday, July 25, 2025 .

The same is also being made available on the Company's website at:
https://www.tatachemicals.com/investors/financials/quarterly -reports .
You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above

"Tata Chemicals Limited Q1FY 26 Earnings Conference Call"

July 25, 2025

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Moderator : Good evening, ladies and gentlemen, and welcome to the Q1FY26 Earnings Conference Call of Tata Chemicals Limited.
Please note that this conference is being recorded. As a reminder, all participants' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing '*' and then '0' on your touchtone phone.
We have with us today are R. Mukundan – Managing Director and CEO; and Nandakumar Tirumalai, Chief Financial Officer of Tata Chemicals Limited.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties.
I now invite Mukundan to begin proceedings of the call.
R. Mukundan: Thank you, good evening and welcome everyone to our Quarter 1 FY26 Earnings Call. I will start the discussion with a brief overview of industry then our operational highlights across business and geographies.
The market conditions remain fluid and balanced. Overall, global demand is estimated to be flat in the near term due to uncertainties associated with some of the trading issues. The market condition remains steady in view of the demand being stable in Indi a, China and some parts of other regions, including Americas, excluding U.S.A.
Though demand -supply balance continues to be balanced, there are uncertainties in tariffs as it is a consuming industry, which will continue to weigh in on market in the immediate term and as this uncertainty disappears, we could begin to see some more balanced approach to market growing.
All soda ash markets continue to be oversupplied with high inventory levels in most regions. China inventory remains high at $1.8 billion, a slight increase over prior quarter. This is going to keep the market pricing range bound.
In India, the soda ash list prices remain unchanged. On average import prices remained range bound between $230 to $235. Although MIP has been extended, it has not had much impact on prices.
In U.S. the export pricing to Asia continued to be under pressure and now has reached a balanced number. Overall, we expect pricing to remain in the similar levels at least for the next 6 to 9 months.

In terms of Company 's operational performance :
Company reported Quarter1 FY26 on consolidated basis revenue from operations of INR 3,719 crores, EBITDA of INR 649 crores and a PAT of INR 316 crores. For Quarter1, the standalone revenue of INR 1,169 crores, an EBITDA of INR 270 crores and a PAT from continuing operations of INR 307 crores.
In India, the performance is higher compared to previous year, mainly due to higher volumes, operational efficiencies, partly offset by a minor drop in realizations of soda ash and bicarb. Quarterly sales volume of all products increased, including FOS which was 869 metric tons as compared to 614 metric ton in Quarter1.
U.S. overall, both export sales and prices were marginally lower. The export sales impacted by a spillover of the shipment to next quarter. In U.K., the cessation of Lostock operation led to a lower volume, and the other parts of the business, which are co ntinuing had better financial operations.
Kenya saw a slight ly lower volume ; prices were maintained as that of Q1FY25.
Rallis saw an overall growth of 22%, a volume growth of 9% and price growth of 13%, driven by growth in Crop Care and Seeds business, and EBITDA margin stood at 16% and a PAT growth of 100% in Q1.
In conclusion, we remain focused on ensuring that we focus on customer delight and serving our clients well. We continue to focus on ensuring that we deliver on our outcomes in terms of volumes, costs and working capital efficiency.
With this, I clo

se my opening comments and hand back to the moderator to open for Q&A.
Moderator: Thank you very much. Our first question comes from the line of Nitesh Dhoot from Anand Rathi Institutional Equities. Please go ahead.
Nitesh Dhoot: Good evening and thank you so much for this opportunity. So, my first question is on, you mentioned in your opening remarks and the presentation that prices continued to weaken during Q1 and the overall global demand is also estimated to be flat in the near term. So, if you could give some color on the extent of the price decline that we have seen in Q1 and Q2 so far? And

what would that mean for Company profitability going forward, region-wise, if possible, given that India has some benefit o f MIP till December, but for the other regions, how is it likely to play out?

R. Mukundan: So, firstly, MIP has had no impact. The changes in the pricing has been fairly range bound , it's been between $3 to $5 at best, in some pockets, it may be $10, but that's the kind of reduction we have seen in most domestic markets. What we have seen is, and if you take a trailing quarter basis, this will be very marginal shift in terms of $3 to $4 between last quarter to this quarter. We believe that prices have more or less bottomed out , it's going to remain in this broad range.

Nitesh Dhoot: Sure. And sir, sequentially, the India business and even the U.S. business witnessed a decline in volumes. So, what exactly drove the improvement in profitability for both these markets? If you could just give some color. And I understand, prices you mentioned in the opening remarks.

R. Mukundan: Yes. The U.S. sequentially, I said is a spillover , so that 40,000 / 50,000 tons would catch up in the next quarter. It is just a shipment timing issue. And India too, we see no major issues. We should be clipping around the numbers we have had in the previous few quarters.

Nitesh Dhoot: Right. So, just one last thing. So, you had planned a structural EBITDA improvement of about INR 600 crores, INR 650 crores through shutdown of loss -making U.K. assets and volume ramp - up in India, Kenya , and the cost efficiency initiatives that you have mentioned about. So, do you hold on to your outlook for FY26, considering some softening further on the soda ash pricing there ?

R. Mukundan: Yes. So, let me clarify. I think while prices have softened, also the input variable costs have come down by almost the same number. That is why the numbers are holding. So, I did not speak about the cost side. But having said that, I think our number, which is broadly what I had indicated was INR 600 crores, split equally between reduction in the, let's say, unviable operations in U.K., INR 200 -odd crores in terms of addition al bottom line contribution from new projects getting commissioned an d another INR 200 crores in terms of cost improvement, still holds fine for the full year.

Nitesh Dhoot: Great sir. Thanks a lot, and wish you all the best.

Moderator: Thank you. Our next question comes from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Thank you so much for the opportunity and congratulations on good set of numbers. Just wanted to dig in a little bit deeper on the previous participant's question. If you could just give a bit more color on what's driving the sequential improvement in both India and U.S. , given that the volumes are lower, but the profitability seems to be a lot stronger . Any specific reason for that? And that's the first question. Thank you.

R. Mukundan: See as far as U.S. is concerned, the main driver of the shift, is the volume mix. I think there is a greater share of domestic sales versus export sale in this quarter, but that will correct itself as it

goes into the future quarter , because the shipment which go

t delayed was mainly because of the issue on export consignment, so the net realization and net margins have been higher because there's a higher proportion of domestic , so, it's a mix issue in U.S. In addition to that, they have had a lower fixed cost , so that has led to the overall improvement in the EBITDA .

India is purely a volume -led change. The fixed costs are more or less in line, as there is a marginal increase , but that was expected because new capacities are coming on stream.

Vivek Rajamani: Sure sir. Thank you so much for that. So, just a clarification , given your opening remarks where you said that there has not been any significant changes in pricing, would it be fair to say that the Q4 EBITDA numbers for both India and U.S. may be the more normalized numbers going forward? Or the 1Q numbers should be more of a normalized benchmark, assuming no significant changes in pricing?

R. Mukundan: So, broadly, in U.S., as I mentioned, the mix will normalize in Quarter 2, as it will have higher share of exports . You would see that getting into a zone, which is slightly lower than this quarter. In addition to that, there will be some additional costs in terms of fixed costs . So, U.S. should tend to drop a bit because of the two drivers, which are basically export domestic mix and the maintenance and fixed cost. So, that's really the driver there.

As far as India is concerned, we do believe that it is going to remain range bound, more or less what we are clocking. We may not see any major shift. If at all, there's any big shutdown, which is coming, it is in Kenya, but we have enough stocks to serve the market in the Quarter 2 .

Vivek Rajamani: Great, sir. Very clear. And just the last one from me , given the recent news flows that the Chinese government is looking at the excess capacity that's there across the petrochemicals and the

chemicals landscape. I just wanted to hear your thoughts if you think that could drive any kind
of benefit from a soda a sh perspective? Thank you very much.
R. Mukundan: So, all we are saying is there have been efforts by several governments. Chinese Government is trying to do its piece; Indian Government has put MIP. But in terms of market behavior and market condition, if we see an early sign, I will report that next quarter.
Vivek Rajamani: Thank you, sir. Very clear. Thank you very much, and all the very best.
Moderator: Thank you. Our next question comes from the line of Saurabh Jain from HSBC. Please go ahead.
Saurabh Jain: Thank you for the opportunity. My question is on the U.K. business , we saw that the margins have kind of improved sequentially, obviously, because of the product mix that has become favorable for now. But wanted to know your sense whether the current run rate is what something

you expect to continue for the rest of the year? Or there is more room for improvement in terms of profitability and EBITDA that you deliver?
R. Mukundan: U.K. has two big drivers of shift, which will happen. Q1, they have had to buy CO 2 from market. So, the announced CO 2 production should start this quarter. Secondly, the pharmaceutical grade salt plant has been commissioned. But right now, they are going through a process of qualification with customers that should begin maybe in the second half of the year. So, there will be two further drivers to move.
We do expect to run the year towards exit , towards the 3rd and 4th Quarter with at least balanced or zero losses at the PAT level in U.K. The two drivers of that are fundamentally the shift towards own CO2, which is obviously lower cost & sales and approval of pharmaceutical grade salt from the customers in the second half.
Saurabh Jain: Okay. Any numbers that you can share how much of savings are you targeting from this in -house Q2 captive plant.
R. Mukundan: We can't give specific details , b

ut I already sort of highlighted that we do expect that the negative, which you see should disappear.
Saurabh Jain: Okay. And what happened to the Kenya margins in this quarter? It saw a big decline sequentially. So, any light on that?
R. Mukundan: I think fundamentally, the proportion, the mix of sale in the local African market had reduced. That should be back up as we move through the year again. So, whenever they export more towards Southeast Asia versus domestically in Africa, I think the margins tend to shift. I think that would be back to normal.
Saurabh Jain: Okay. Understood. Separately, there is a comment in the presentation that the PAT includes INR 75 crore on account of income tax refund. Where is it reflecting? And is it in the India business?
Nandakumar Tirumalai : It's India business there, both in the other income line interest and the tax line s.
Saurabh Jain: Okay. But what is it relating to?
Nandakumar Tirumalai : We got income tax refund order in the month of May towards the old case we had , that was in our favor. So, we got a tax order for refund for both interest and tax. Actually, we had also informed the stock exchange in the month of May. If you look at the notice released by the Company , the details are there on the stock exchange.
Saurabh Jain: Sure. Thank you. And one last question. What is the progress on the Kenya capacity expansion? What is the update there?

R. Mukundan: Yes. I think that's what I said. We have commissioned the 50 -kiloton calciner and it is going through the trial runs as we speak. So, sometime during the second quarter, it should be delivering products towards the market. But we will clarify that specifically with more color in Quarter 2 .
Saurabh Jain: Okay. Understood. Thank you so much.
Moderator: Our next question comes from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: The sharp decline in power and fuel cost this quarter on a quarter -on-quarter basis sequentially, is that primarily led by lower coal costs? Or is it the U.K. closure? If you could please help us understand?
R. Mukundan: Yes, it is a combination of the two. It is also led by lower gas, lower coal and cessation of the Lostock operations.
Abhijit Akella: Okay. So, this is a sustainable number going forward, right?
R. Mukundan: Yes, this is a sustainable number. And there could be savings because some of the optimization work is yet underway. So, that's where we are, but it should be sustainable.
Abhijit Akella: Thank you. And just on the U.K. turnaround. There was this sodium bicarbonate project that we had planned. So, is that still on track? And if so, by when could we expect it?

R. Mukundan: So, we are going through it right now, the design work is continuing . And as we speak, we are continuing to progress on that. But our first effort during the current year , in terms of the needle is to make sure that at least we end the year at a breakeven at the PAT level. That's what we are working towards. But we have to ensure that all the projects commissioned, and all the existing capacity of bicarb is back on stream in a balanced way , because they had to reconfigure the unit , because it no longer ha s a soda ash unit attached to it. They are also going through qualification on the pharmaceutical side.
Abhijit Akella: Sure. Thank you. Just one suggestion from my side. I believe previously, you used to offer the geographical split of the U.S. volumes. I am not sure I see it anymore in the presentation, but it will be helpful if you could start getting that once again.
Nandakumar Tirumalai: Thanks for the suggestion. Noted.
Moderator: Thank you. Our next question comes from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So, my question is

for India, and we have seen an EBITDA improvement. So, is there any kind of revision of the contract for soda ash, which is helping us the margin improvement or benefit of any input cost, our salt business has better margin in this quarter.
R Mukundan : So, all in all, I think the variable costs are down per ton basis , because it has been highlighted by several speakers, several analysts, the coal prices have come down. So, that is certainly helping us.
Okay. So, as I was mentioning, the variable costs are certainly lower on account of coal and other input costs. Also, the higher volumes.
In terms of pricing, as I mentioned, it is range bound in some pockets, it's dropped a little, but it's thereabouts. So, the real driver of this number is higher throughput and making sure that our fixed costs are more or less even and in line with what we had budgeted. So, it's basically variable cost and volume.
Sumant Kumar: Okay. And can you talk about the CAPEX for this year and capitalization also?
Nandakumar Tirumalai: See, last year, we had a peak CAPEX cycle on account of the expansion in India that's now over. What's going to be this year is only the operational CAPEX for all geographies and roughly around INR 1,000 crores we incur every year on the operational CAPEX . Not much growth CAPEX left to pay, everything is done last year.
Sumant Kumar: CAPEX this year?
Nandakumar Tirumalai: Yes.
Sumant Kumar: So, what is the maintenance CAPEX ?
Nandakumar Tirumalai: Around INR 1,000 crores, you can say for the full year , across the globe.
Sumant Kumar: Maintenance CAPEX ?
Nandakumar Tirumalai: Yes.
Sumant Kumar: Okay. Okay. And anything about U.S. soda ash expansion and bicarbonate we were discussing earlier.
R. Mukundan: As of now, we are continuing to push ahead with the expansion and growth in Kenya. We will certainly be looking at opportunities for growth in India also. The next phase of growth in Mithapur is being worked out. We will come back with specific numbers tow ards the 3rd Quarter of this year.

While the design work in U.S. is continuing, we will press the pedal on that only when the market conditions seem to be clearer to us. As of now, we put it on a pause, but it will be a pause for a couple of quarters or maybe a year. But the moment market c onditions are clear, we would resume it.
So, the work is continuing. The approval from the environment authorities, public hearing approval has been obtained. So, it is pretty close to getting all the necessary approvals, but internally we are awaiting the right time to press the green signal.
Sumant Kumar: Okay. Last on soda ash side, the demand supply scenario and balance. And going forward, do you think in the next 2 to 3 quarters, we can have some balance soda ash demand supply. And any sense on that, any timeline when we can see some tightness in the demand -supply in soda ash.
R. Mukundan: The current situation we are facing, there's not a demand problem. Demand is actually very fine. The demand is growing as per our projection. There is no issue at all with the market on the demand side. Our issue is more from the excess supply and the continuing operation of unviable units.

If you look at the ceasing of operations, only two players have announced the announcement. One is us. And, the second largest player in Europe has also announced ceasing of one of its operations. We have just heard some news of a Chinese unit going into long maintenance shutdown, whether it is ceasing operation, or this unit is Shandong Haihua , which is considering idling capacity. But we will have to see as these announcements come.
So, the big issue in terms of the major moving will be on the basis of either plants idling capacity or taking a pause for a certain period of time until the production demand catches up, right? Right now, it's not a demand

issue. It is fundamentally a supply iss ue by some units which are unviable.
Sumant Kumar: Okay. Thank you.
Moderator: Thank you. Our next question comes from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh: Good evening and thank you very much. So, if you look at the China prices, so there is about $160 . So, to what extent is the market in Asia already discounting the entire excess supply from the Inner Mongolia expansion? Or is there still some more increase in production from Mongolia, which can put further pressure on Asia prices?

R. Mukundan: So, really Mongolia expansion has come on stream, which we knew. But the real issue is that at least from price point , many of the units in China are not viable. So, I think that there will be some movement which needs to happen there. So, really, the Mongolian unit is fairly competitive. It's a natural soda ash. It is really the synthetic soda ash units , which have to take the call. We will have to watch the news release.
S. Ramesh: Is the entire Mongolia capacity in operation now, that 5 million tons?
R. Mukundan: Yes, more or less.
S. Ramesh: Okay. So, i n terms of the P&L now, can you give us some sense in terms of the sustainable run rate for depreciation, interest expense and tax rate , particularly with reference to U.K. because there you have taken out one asset for the Lostock facility. So, if you can put these things in perspective for U.K. as well as the Company , it would be useful.
R. Mukundan: Yes, if you take the current quarter number, more or less, it will be somewhere in the range of INR 5 crores - INR 10 crores in terms of depreciation and amortization , and finance costs, depending on how quickly we can start to pay down debt, which we will make some effort during the year. It will start to also go down. But the run rate mentioned in the current quarter should be what one should expect during the year.
S. Ramesh: And what about the tax rate?
Nandakumar Tirumalai: The current quarter has all those tax refunds, Ramesh. Therefore, we can't generalize that. So, it will be depending upon the full year's profit numbers what comes in current year . So, w e can't take the Q1 tax for the full year. It's got a number of one -offs.
S. Ramesh: Okay. And so if you were to dwell on the U.K. business, the EBITDA margins have improved. So, in terms of the run rate, say, over the next 3 quarters this year and then FY27, would we go back to the British Salt gross margins and EBITDA margins? And when you ramp up the Pharma business, do you think that entire volume can be placed next year?
R. Mukundan: That is what we expect will happen. So, effectively, you will see a quarter -on-quarter improvement in the trend in terms of U.K. By the time you come to the 4th Quarter , you would know exactly what the sustainable number will be or thereabouts as far as U.K. is concerned. So, every quarter will be better than the previous quarter , because as we start to stabilize bicarb unit with the new power configuration and having in -house CO 2 that structure will improve. As the pharma salt starts to get into the market it has a higher margin. So, it will start to impact or at least show that in the result. We expect every quarter it should sequentially continue to improve.

S. Ramesh: One last thought on the India expansion, you have seen about 32,000 increases in soda ash on a Y-o-Y, and another about 12,000 in bicarb. So, would we see the entire capacity from the expansion being placed in the second half for soda ash and bicarb or will it take some more time?
R. Mukundan: The only one which is ramping up every quarter, every month is the bicarb , because as you know, bicarb, we have to work with our customers in developing application. So, the utilization wi

ll continue to trend up. Broadly, I would say about 5,000 tons per month approximately is an amount which we can make up as we move towards the end of the year. In terms of soda ash,

there is no issue in terms of placement of the product or market issue.
S. Ramesh: Inspite of the slowdown in auto and the container glass, you don't see a challenge in the Indian markets?
R. Mukundan: Overall demand in India will continue to grow, as per our assessment of the market, at least for the first 2 quarters of the calendar year. There's a slight dip in Chinese market by about 1% , and then we anticipate for the full calendar year, market other than North America, which is in South America will also show growth. So, China is a slight dip, India is the growth and U.S. is flat.
S. Ramesh: Thank you very much and wish you all the best.
Moderator: Thank you. Our next question comes from the line of Rohit Nagraj from B&K Securities. Please go ahead.
Rohit Nagraj: Thanks for the opportunity. It might be slightly repetitive question, but I am just referring to our Q3 presentation where we have given the expansion project pipeline. Soda ash India, 3.2 lakh tons, silica 0.6, soda ash U.S. 4, soda ash Kenya 3.5 and bicarb U.K. 1.8. So, given the current circumstances, are there any deliberate delays on these projects? And what are the timelines that we are seeing for all the 5 projects , and the overall CAPEX as of now, which is envisaged for the same? Thank you.
R. Mukundan: In terms of, as I mentioned, the design work and the public hearing approval for the U.S. soda ash has been obtained. And so, it needs just one more modification to get full clearance. The work is updated, but that is the one which is on pause as we speak.
As far as India soda ash is concerned, out of the 320,000 broadly, we are looking at doing it in 2 steps of 150,000 and 170,000 tons. We will come back to you by the 2nd and 3rd Quarter in terms of the operationalization of that as soon as the details are clear, but it is going to be more like a debottlenecking at a low cost rather than full expansion , as we had thought of before , because we do believe headroom is available in balancing capacities to do it at a much lower cost.

In terms of U.K. bicarb, yes, this year, we will be spending time on making sure our current existing 80,000 -ton unit is fully run in a proper manner before pressing the pedal. There, again, design work is on its way. And in terms of the silica, we are going to do this in 2 phases. The first phase would be half of the number there, which is already undergoing. I thi nk the execution is just about to begin.
Rohit Nagraj: Sure. That’s all from my side. Thank you, and all the best.
Moderator: Thank you. The next question is from the line of Ankur from Axis. Please go ahead.
Ankur Periwal: Thanks for the opportunity. Just a clarification on our U.S. EBITDA for this quarter. So, if I look at Q-on-Q, given that large part of the business is contractual , wherein we enter into contract for the full calendar year. I am just trying to better understand the Q -on-Q variation here. You did explain on the volume bit. Because of the delayed shipment, volumes were lower. But it is purely because of lower export th at there is a sharp jump, almost INR 100 crores odd jump on EBITDA. Is that a fair understanding?
Nandakumar Tirumalai: I mentioned two factors. One is mix is correct. The second one is the lower fixed cost. The fixed cost may normalize next quarter. And broadly, the range we are looking at is about $2.5 million - $3 million on that. That's what we think of the fixed cost will move. Fundamentally, that is the second driver, which is in addition to the mix.
Ankur Periwal: Sure. So, from a steady run rate perspective, what should that number be, let's say, INR 150 crores odd on a steady -state basis , give and

take on a quarterly run rate?
Nandakumar Tirumalai: We can't comment on that as of now . It's a forward -looking thing. As I mentioned about the fixed cost, so the fixed costs will go up quarter -on-quarter next quarter , because we have some savings include d that will come up in Q2. Apart from that, the mix will change in Q2 , because of the export being more than the domestic. So, we cannot comment on the exact numbers what will be the run rate going forward.
Ankur Periwal: Sure, Nandu. No problem. Just the share of exports in U.S. was around 60% last quarter. What was that number in this quarter?
Nandakumar Tirumalai: We will come back on that.
R. Mukundan: The export consignment, which got delayed to next quarter was about 45,000 tons, that's the indicator I have already given. If you wait for the second quarter result, the H1 will be fully indicative of what the normalized number is likely to be.

Ankur Periwal: Sure. It should be good. Second question on the Kenya side, while the volume run rate is slightly lower versus what we had seen in the earlier quarters, the margin hit is there again. So, the

volume loss is largely because of the weaker domestic demand. Will that be fair understanding?
R. Mukundan: No, not weaker domestic demand. I think it is mostly led by 2 factors. One is, I think there basically one delay in the shipments to Southeast Asia, which is not related to any shipment issue, but is the customer asking us to hold back some of the shipment s into Southeast Asia, which will catch up during the year. And the second is the half of it is due to the domestic African supplies, which we are hopeful that we will make up during the current quarter.
Ankur Periwal: Okay. Fair enough. That's helpful. Thank you, sir. And all the best.
Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.
Naushad Chaudhary: Thank you. A few basic clarifications, sir. First on the soda ash prices in different geographies, just want to check are different geography prices more or less largely correlated? Or do they move in different directions?
R. Mukundan: So, your question is, are they all moving in the same direction or different direction s?
Naushad Chaudhary: Historically, the prices in different geographies are...
R. Mukundan: I get your question. Historically, the U.S. domestic tends to be more or less steady , and the pricing is linked to only the U.S. domestic market. Indian pricing, again, is more or less import parity, but there's also the issue of the Indian domestic pricing having a slight premium because of issues related to port and other handling charge s and elements.
And the true variable number actually is in Southeast Asian market where there's no domestic producer. So, really, that's the one which gets impacted in terms of the pricing worldwide. So, all regions tend to have a localized number, the one which moves in sync with the Chinese price is the Southeast Asian market.
Naushad Chaudhary: Sir, different prices are fine. Just wanted to understand if everything moves in a similar direction.
R. Mukundan: It will not because you see U.S. is on an annual contract domestic market. So, really, it will not see any shift at all, whereas the pricing in Indian market is quarterly. So, it will shift every quarter, if at all. And some contracts are half yearly contracts. So, they are not going to move for at least 6 months.

The U.K. market tends to be fully annual contracts, so they don't shift during the year. And Kenyan market or Kenyan exports are mostly quarterly to Southeast Asia as well as the U.S. sales to Southeast Asia are also quarterly, whereas U.S. sales to Latam is mostly annual.
Naushad Chaudhary: Second, again, on the soda ash pricing poi

nt of view, what can let the prices to drop further?
Any possibility going down further from here on? And if it has to happen, what should let this?
R. Mukundan: So, in terms of what we can control clearly is our internal cost structure, which is what we are focused on. And Naushad, in terms of what we have modeled is our realistic expectation , when I mentioned there will be INR 600 crore improvement over last year, split into INR 200 crores, INR 200 crores, INR 200 crores. That is our realistic expectation of where we expect the market to be. At best, I expect maybe INR 50 crores or INR 60 crores move from what I mentioned, overall, in terms of numbers , if you put it, not more than that.
Naushad Chaudhary: Last, from an export point of view, how long do you think soda ash typically as a product can travel globally in a normalized market condition?
R. Mukundan: Can you repeat the question.
Naushad Chaudhary: From an export point of view, the soda ash product, can it be travel led in normalized market conditions beyond which it's not viable.
R. Mukundan: Fundamentally, for synthetic producers, it cannot travel long because the variable cost of synthetic production is high. And it tends to be mostly domestic or nearby market s. But for natural soda ash players, they have a headroom to travel with a freight cost of anywhere between $30 to $50 -odd anywhere in the world , because the variable cost is low.
Naushad Chaudhary: All right, sir. Thank you so much.
Moderator: Thank you. Our next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: Thank you so much for the follow -up. Mukund, just wanted to clarify the previous comment regarding the INR 600 crore, plus INR 200 crores plus INR 200 crores . So, I am sorry, I couldn't exactly follow what this was. Is this the EBITDA delta that you are talking about for the upcoming year?
R. Mukundan: This was in relation to what will be the key bundles of improvement between last year and this year in terms of performance . And I had mentioned that it is because of cessation of operations in U.K., that will contribute about INR 200 -odd crores. The increased volumes in India will be 200-odd crores. And our own cost -out efforts, which we are doing, both at variable and fixed,

would give us INR 200 -odd crores. That was broadly the comment I had made last time and that is probably playing out as I expected.
Abhijit Akella: Okay. So, INR 200 crores x 3, so INR 600 crores is the total improvement on a year -on-year basis?
R. Mukundan: Correct. Which we expect during the year. U.K. is more or less in the bag. I think in terms of expansion also more or less in the bag. I think the cost out is work -in-progress, which we are doing.
Abhijit Akella: Got it. Okay. Thank you so much, and all the best.
Moderator: Thank you. Our next question comes from the line of Mithil from unlistedindia.com . Please go ahead.
Mithil Bhuva: Yes, sir. I had a couple of questions. First, on the natural soda ash industry, it is reported that in China also 2.8 metric tons will come into capacity in next year, 2026 as well. Is that on schedule? So, it's reported 2.8 million metric tons.
R. Mukundan: Yes, there is an effort to continue to keep adding capacity, but we are also watching this space. It has to be first looked in the context of whether there's a rationalization of synthetic capacity in China. There is already an effort, and I think we need to watch this. So, we will clarify this to you maybe within the next quarter, very clearly where it stands.
Mithil Bhuva: Regarding the natural soda ash only. The WE Soda has bought Genesis in the previous quarter, and now they are the leading producers of natural soda ash. Given the dominance in the forward integration to glass also, are they in a position wherein they can k eep the soda

ash prices lower
and still benefit? So, the lower soda ash prices are still benefiting them .
R. Mukundan: So, Mithil, I don't understand the question. I am not going to answer if that is the question of a specific Company . But generally, I want to tell you that when input material prices go down, for a downstream manufacturer, it is negative in terms of competitive advantage , because this competition gets the raw material at a lower price. So, broadly, let me leave that with you. If you are a downstream product producer, you would want the raw material for your competitors to be priced higher.
Mithil Bhuva: Got it. Sir, the second question was on coal prices. They have risen from May. So, we have seen a sharp reduction in fuel cost this quarter. So, can it possibly go up in the next quarters?
R. Mukundan: We are constantly contracting, and our numbers are not tendered very much up. I will cross check this number. But as of now, we think it is still biased towards down.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to R. Mukundan for closing comments. Over to you, sir.
R. Mukundan: Thank you, everyone, for joining the call today. While the market conditions remain tepid and challenging, our endeavor is to excel in our operations and continue to focus on what we can do internally. We will ensure that in all our current capacities which have come on stream are fully brought on stream, focus on cost optimization and optimization of working capital. Next quarter, we will be able to give a better update on market conditions as the picture becomes clearer.
Thank you all and see you in Q2FY26.
Moderator: Thank you. On behalf of Tata Chemicals Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2025

November 11, 2025
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM
Dear Sir / Madam ,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the second quarter and half year ended September 30, 202 5

Further to our letter dated November 3 , 202 5, we enclose herewith a copy o f the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of the Company for the second quarter and half year ended September 30, 202 5 held on Monday , November 3, 2025 .

The same is also being made available on the Company's website at:
https://www.tatachemicals.com/investors/financials/quarterly -reports .
You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Rajiv Chandan
Chief General Counsel
& Company Secretary

Encl: as above

"Tata Chemicals Limited Q2 & H1FY 26 Earnings Conference Call"

November 03 , 2025

MANAGEMENT : R. MUKUNDAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , TATA CHEMICALS LIMITED
NANDAKUMAR TIRUMALAI – CHIEF FINANCIAL

OFFICER , TATA CHEMICALS LIMITED

 Moderator : Good evening, ladies and gentlemen, and welcome to the Q2 & H1FY26 Earnings Conference Call of Tata Chemicals Limited.
Please note that this conference is being recorded. As a reminder, all participants ' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing '*' and then '0' on your touchtone phone.
We have with us today , R. Mukundan – Managing Director and CEO; and Nandakumar Tirumalai - Chief Financial Officer of Tata Chemicals Limited.
Before we begin, I would like to mention that some of the statements made in today 's discussion may be forward -looking in nature and may involve risks and uncertainties.
I now invite Mukundan to begin proceedings of the call. Sir, you may proceed.
R. Mukundan: Thank you. Good evening and welcome everyone to our Q2 & H1FY26 Ea rnings Call. I will start the discussion with a brief overview of industr y and our operational highlights across business and geographies .
Overall, the global demand for all key products is estimated to be flat in the near term with stable demand in Europe, Africa and America and also in regions in India and Asia excluding China, the demand is robust. The demand in China is seeing a slight downward trend and Southeast Asia has remained weak with abundant supply of input material. Medium to long term, the story for the products we are in remains positive with the growth of solar PV and EV, even though there are short -term margin challenges. Geo political risks and tariff uncertainties persist. The tariff announcements did negatively impact PV glass manufacture in Malaysia and Vietnam. Slow pace of economic recovery is expected to continue into 2026. The tariff issues are getting solved as we move along and as they get resolved, the situation will eas e further.
Soda Ash market, as I said, continue d to be oversupplied with high inventory levels. The global operating rate do remain high. China 's inventory is high at 1.65 million tonne s, placing continued pressure on the spot prices coming out of China. The prices continue to weaken during Q2FY26, whereas the supply -demand balance continues to be soft and will be range -bound in the medium term. The Chinese Soda Ash prices declined approximately by 56 % to 58% between Q2FY23 and Q2 FY26. This is because of the intense competition we are seeing there due to new capacity coming on stream in Inner Mongolia.
The cash margins are under pressure, especially in China, and most of the production today at a negative cash margin. The Soda Ash list prices have remained unchanged in Q2 FY26 . Average import prices are ranging between $232 and $236 into India. The MIP has been extended until 2025 in India, but it has not restricted the market prices as importers continue to supply and are exerting significant pressure on dense Sod a Ash prices. There is an anti -dumping duty recommendation submitted by DGFT, subject to Mini stry of Finance approval. In US, export

 pricing to Asia has continued to drop due to persistent oversupply situation and spot offers from China. Overall, we expect the pricing to be subdued in the current range and remain there for the rest of the year.
Now , we will move into operational highlights in Business es and Geographies :
On a standalone basis, the Company has done well. Revenue from operations were up 19%. EBITDA at Rs 240 crores was up 67% and profit after tax at Rs. 178 crores was up 80%. On the consolidated result, while revenue was down marginally 3% on Rs. 3,877 crores , this is mainly due to reconfiguring of UK because this quarter , we did not have the Lostock sales which has gone to zero while Lostock was still op

erational in Q2 of the previous year. In addition to that,
the EBITDA itself this year has been lower from Rs 618 crores compared to Rs 537 crores . This is because of the same lower volume and lower realization. The profit after tax has been impacted on two counts :- one is the one -time provisioning of Rs. 65 crores in UK. This is because all the contractual obligations were reviewed this quarter after complete cessation of operation, and we have estimated that it is prudent to provide for Rs. 65 crores which is the future obligations brought forward both from supply and sales side .
In terms of the US , there is a one -time reduction in the work -in-progress which led to under absorption of fixed costs by about $5 million. So, overall, I would say about Rs. 105 crores is the broad impact of one -time events of the quarter. Unit -wise, India performance is higher than previous year due to higher volume and operational efficiency. Quarterly volume of all products increased including sales volume of FOS which went to 858 metric tonne s in Q2 FY26 compared to 675 metric tonne s in Q2 of the last y ear. In US, both export volume and prices were lower

than Q2 FY'25, domestic was at par. In UK, the cessation of Lostock operation led to better operational performance. The reconfiguration in UK is complete. The focus is on value -added non-cyclical products. We do expect to turn positive in the 3rd quarter of this year and definitely moving to positive by 4th quarter of this year in UK.
Kenya saw lower sales volume due to shipment delays. However, in the second half of the year, we should see the volumes come back because most of the shipment issues have been resolved. The pricing will be lower than what was previous year. There was a pending litigation in Kenya with the County Government. That dispute has been resolved with the appeal court ruling in our favor and highlighting that this decision was arbitrary and illegal and we are not obliged to pay the amount. Rallis saw overall revenue de -growth of 7%, volume de -growth of 10% and price growth of 3% and overall EBITDA stood at 18% in Q2 FY26.
In conclusion , our focus continues to remain on maximizing volume, focusing on customer delivery and servicing customers well, focusing on what we can control in terms of costs and working capital and ensuring that we build upon the restructured UK operation to atleast ensur e that all operations are EBITDA positive. The areas of focus for us remain to keep a close watch on exports from US because , that is one part of the business which is under pressure in terms of margin and ensure that the customer contracts are done in a m anner that it is positive and range bound for the Company .
 With this, I hand it back to moderator to open for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Saurabh Jain from HSBC. Please go ahead.
Saurabh Jain : Thank you for the opportunity. My first question is on the litigation issue in Kenya. So, is it fair to assume that everything here is now settled and there are no further case complications that can arise out of this issue?
R. Mukundan: As in any litigation the parties can go and appeal in the Supreme Court , that is the final court of justice, within 14 days. We are observing the matter , but as of now the ruling which has come in our favor also will help us in case , if this matter does go to Supreme Court.
Saurabh Jain : Understood, because I thought there is also a parallel re -approach that the local government body, they went to High Court again. So, does this judgment which has come into our favor by the court of appeal supersedes that High Court orders?
R. Mukundan: In terms of the land rate matter, this is the main one and we will await the judgment on this. Also, on the other matte

r which we have not highlighted but also got resolved during the quarter was all the tax related issues. We have settled the matter after agreeing to pay ~ Rs. 16 crores that is also expensed out in this quarter.
Saurabh Jain : So, the tax matter is now closed, and you would still await the judgment by the High Court on the same issue of the land rate?
R. Mukundan: Now we are awaiting the matter if the counter party takes it to the Supreme Court. If it doesn 't go, then the matter is settled. But we have always been open to reasonable discussions and following a due process to arrive at land rate . But this was very arbitrary, the amount that had been arrived.
Saurabh Jain : Got it, that is useful. Secondly, on the anti -dumping duty which has been recommended, I would understand that you would not be able to comment on what is going to happen, what is not. But just want to get your thoughts because what we understand from the media reports is that the pricing gap could be about $17-$100 per tonne . So, if at all this is application and execution, how much of this you could be seeing the increase in the pricing for Tata Chemicals and henceforth flowing to EBITDA ?
R. Mukundan: I will give you a bit of color. The upper end of the band you are right, it is in that range but the lower end of the band, it varies by country and by supplier. The lower end of the band is close to about $17. I think this will make the current producers' operations remunerative. That is all I would say. It is fundamentally dependent on once it comes into effect, the overall issue of the dumped material not being available, market will go to reasonable price.
 Saurabh Jain : Understood. But do you think it also involves imports from US? Currently, what are the political developments between India and US? There could be some potential hindrances in terms of hesitation from the government 's part and bringing this up and allowing this thing to happen ?
R. Mukundan: All I can say is that this is a mathematical calculation. It does not go by country specific situation. It is product by product. I think that is really what has been done and t he quantity of imports from Turkey, US have been very high. In fact, for example, China did not appear in this whole anti-dumping because China imports were not in the high-volume category in the investigation period .

Saurabh Jain : Sure. That is useful. If one more q uestion I may squeeze in, w hat is yo ur expectation in terms of the S oda capacity addition in China because we are hearing two news pieces ? One, there could be Phase-II of capacity addition in the existing Inner Mongolia capacity. So, any color on that would be helpful?
R. Mukundan: Because this question is going to come from many, so let me just highlight my understanding of the situation. The policy of Chinese government as far as the central planning document is concerned, they want about 50% of Chinese capacity as natural and about 50% as synthetic. That is the stated position, which effectively means another 5 to 6 million tonne s of natural has to come on stream. But by the same very token, they have to take out the synthetic capacity to make this balance d. That is what they want to reach. So, the news report you are reading in terms of natural capacity coming on stream is in line with what they have said as the stated objective. But what we are not reading, and we are not seeing immediately is the closure of the synthetic capacities which effectively takes the whole proportion to about 50:50%.
Saurabh Jain : Understood. By when these capacities would be coming online. Any more detail on that side?
R. Mukundan: Not really, Saurabh. All I can say is that this is the stated position, and the work would have started. Usually, it takes 36 months for anything to come on stream. So, if you are today in 2025-26, you

would expect something of these numbers to happen by 2029-30. It could be delayed or. it could come 6 -8 months faster. But that is where it is the range of dates. But really for everybody 's view, the stated policy is it will be about 50:50. Today, it is very much skewed in synthetic. It was 100% synthetic at some point of time. It is about 25% natural now. They want to take it to 50 :50.
Saurabh Jain : Understood. So, what is the reference of this 50% capacity?
Saurabh Jain : I am just trying to take the reference point of this 50% capacity for my own reading purposes. Is it possible to direct to us where this thing is announced by the China government ? Which document we can refer? Sorry, I was just asking for the reference to where we could read this 50% target share that the China government is aiming?
R. Mukundan: See, that is something which we have underst ood. If we could get some reference material , we will send you the same . Thank you.
 Moderator : Thank you. We have our next question from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal : Hi sir , thanks for the opportunity. First question on US business. This quarter, again on a Q-on-Q basis, we saw a sharp dip in EBITDA. I understand you highlighted last time that the domestic share was much higher in Q1 and hence higher EBITDA share. If you can just help us understand better, how should one look at this mix and possibly a sustainable number on how this number will move in the coming quarter?
R. Mukundan: So, broadly, as I mentioned, out of that, the EBITDA, which was Rs 188 crores in the last quarter and it is Rs 77 crores this quarter, this quarter number is depressed on one account that , there was a drawdown of work in progress, which was mainly on account of certain reconfigurations the plant had done. There is n othing to do with sales. It is fundamentally internal work, material work -in-progress sto cks, which had to be drawn down t hat led to under -absorption of fixed costs. So, that is about $5 million ther e. So, you should really treat the Rs. 77 crores as Rs. 117 crore s, broadly in terms of the number. That is what I would say. The rest, this quarter, there is an overemphasis on export because that export which got pushed previous quarter has moved into this quarter. So, that would contribute approximately, in my view, about another Rs. 15 odd crores. So, in all, I would say it is about, if I were to correct this, it will be about Rs. 55 odd crores would be the normalized run rate at the current pricing.
Ankur Periwal : Sure, sir. That is helpful. Your earlier comment did mention a higher share of exports. What will be the percentage export share right now versus, let us say, last quarter Q1?
R. Mukundan: See, usually, our numbers are almost 50 :50. I think this quarter, was higher by about 20 ,000 odd tonne s.
Ankur Periwal : That is helpful, sir. Secondly, on the UK business, given the shutdown in Lostock operations as well as the pharma grade plant commissioning, one, where are we in terms of timelines for the pharma grade plant? And secondly, from a profitability perspective, X of pharma grade, is this Rs. 40 crores EBITDA a better sustainable number or there could be further positive surprise there?
R. Mukundan: Rs. 40 crores reflect the current state of operation , what we will see as a positive move is that in terms of the bicarbonate itself, the volumes, if you look at the volume chart, broadly, the volumes in the bicarbonate have been depressed by almost, in my view, about 4,000 odd tons for the quarter. I think we will see a pickup in the volume of the salt, the bicarb being produced and sold, and that would consistently keep increasing because we also have to switch out from the current internal s ource of Soda Ash to externally bought out Soda Ash. And that has meant som

e
reconfiguration, some restatement of the operating rate. That would pick up in the Q3 and reach the final number by Q4 to the steady state . In terms of the salt, you would see first pharmaceutical grade salt being sold in the market in Q3. And we expect that we would normalize this over a period of next 2 quarters. So, this is going to, quarter -on-quarter , continue to improve. And also, all the historical issues related to the cessation of Lostock Soda Ash operations, with this q uarter,
 we have actually provisioned hopefully . So, the reconfiguration is complete, and you would continue to see improved numbers. And the numbers will only track up from where it is seen in this quarter.

Ankur Periwal : Sure, sir. Thanks for all those answers. Thank you and all the best.

Moderator : Thank you. Our next question comes from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani : Hi, sir. Thank you so much for the opportunity. The first question was on India. Could you just explain why the unit margins in India fell sequentially? Is this more of a seasonality element or is this more of a mix issue? I just wanted some more color on that. That is the first question ?

R. Mukundan: No, in terms of the margin itself, the issue fundamentally is the volumes are higher. But the prices were down. So, overall, if you look at it, revenue has tracked up and, compared to previous quarter, the margin is down primarily because of the pricing being continuing to be under pressure. And we do expect that the prices have more or less stabilized within the Indian market. So, we don 't anticipate any further shifts in this margin number. The higher volumes would continue to track. So, we should be able to sort of continue to deliver the current state of performance in terms of the outputs.

Vivek Rajamani : Sure, sir. So, just to clarify, you would expect India to be operating at this level going forward, assuming the market stays stable?

R. Mukundan: The market is the same and stable because there are two issues that have happened. One is the anti-dumping notice itself has given a salutary effect in terms of imports coming down a bit and the pressure on pricing going away. So, to that extent, we will see that the numbers are more or less maintained in terms of the margin and pricing. And volume, of course, we will try to do whatever best we can.

Vivek Rajamani : Sure, sir. Thanks for that. And the second question was, you have obviously explained with respect to the UK part of the business now getting better incrementally. But I just wanted to understand, you have given a target of about Rs. 600 crores of savings. And you previously mentioned that you are fairly confident of doing that despite how the market would broadly behave . Given the updated views that you have of the industry, just wanted to check once again on the Rs. 600 crores target for this year and how you feel about achieving that by the end of fiscal 2026?

R. Mukundan: So, in terms of the additional number of Rs. 200 crores, it is because of capacity that is more or less playing out exactly as we said. Ther e is no change in that number. In terms of the fixed costs, probably we would be there about Rs. Rs. 30 to Rs. 40 crores short , because that is mainly the issue related to the rupee depreciating with the UK pound. Not really in local currency, our numbers are tracking what we had anticipated. So, we will have an impact on the fixed cost side. And the big i ssue is going to be in terms of the other reconfiguration we had to do that is probably
 in partly eaten by the pricing pressure in US export pricing. So, overall, we would be in a broad sense, instead of Rs. 600 crores , we would say that we should be there about 75% of the numbers we get more or less.

Vivek Rajamani : Sure, sir. That is very helpful. I will rejoin the queue and all the very best.

Moderator : Thank you. Our next question comes from the line of Abhij eet Ake lla from Kotak Securities. Please go ahead.

Abhijeet Akella : Good evening. Thank you so much for taking my questions. Sir , with regard to this upcoming US contract renegotiation, would it be possible to just share your preliminary thoughts about what one might expect in terms of direction of pricing? And also, any rough sense we could get regarding how much the differential between average export price and domestic price is at present in the US?

R. Mukundan: In terms of the negotiation, this is in the final leg, Abhijeet , I can only say that the contracting on the domestic is progressing well and it is range bound . On the export side, while many markets are okay, it is turning out to be tough in terms of the Southeast Asian market. So, we will come back with specific number on the export side only. The domestic should remain pretty much in the range we have been doing last 2 years.

Abhijeet Akella : Fine. Thank you. With regard to these Rs. 1,500 crores NCDs that we are proposing to issue, is this for refinancing some of the existing debt or what exactly is the thought process behind that?

R. Mukundan: This is a general purpose NCDs because we have plans in India and other places which we will highlight , as soon as , we get all the approvals in place. But clearly, to give a broad color, our aim is to de -bottleneck India and ensure Indian capacity goes up in phases by 15% a nd again, additional 35% with the 50% increase in the Indian capacity. So, we will be coming back with the details of the same by 3rd quarter results. And we also would be looking at adding Silicate capacity both in Cuddalore and in Mitha pur. So, we need to grow the business, and this is only for a very general purpose.

Abhijeet Akella : Got it. Thank you. The CAPEX numbers , Rs. 1,000 crores for this year is what we had projected. Any updated sense we could get for this year and next year?

R. Mukundan: It is going to be around that number , Abhijeet . In 3rd quarter, we will give you much better color. The reason being that we are also reworking on growth in India. So, let us come back with all the comprehensive number to you. As I mentioned that we do believe that there is a component of growth which we should be doing in India in terms of the Soda Ash, at least another half a million tonne, 150,000 tonne s of that should come very quickly. The 350 ,000 tonnes will take a little time, but we will bring it in two steps. Then we are also looking in terms of augmenting Bi-carb capacity as well as Silica . So, there are three vectors of growth. FOS capacity of 5 ,000 tonnes of L55 has been commissioned. So, that unit should continue to grow on its own and till it reaches 80% utili zation , the current 5 ,000 tonnes we have is of P95 and L55 , has been

 commissioned. We will continue to run the current unit. So, right now the focus is entirely ensuring that the FOS unit quickly reaches 80% utili zation so that , we can add another 5 ,000 tonnes and we will be adding two phases of Silica , one in Cuddalore about 42,000 tonnes and about 60,000 tonnes in Mithapu r. And at the same time adding 500,000 tonnes of Soda Ash . But these are numbers we are working through. We will come back to you with specific plan, and all this is general purpose fund raise to make sure that we get through these programs in time.

Abhijeet Akella : Got it. Thank you so much and wish you all the best.

Moderator : Thank you. Our next question is from the line of Naushad Chaudhary from Aditya Birla Asset Management Company . Please go ahead.

Naushad Chaudhary : Hi, a few clarifications. First on the US normali zed EBITDA , you said to earlier participants. Wa

s it $55 million annual you said or Rs. 55 crore s quarterly run rate ? Is there any normal at current rate?

R. Mukundan: There is a Rs. 77 crore number there and what I said was there are two one -offs this quarter. One is about $5 million of working capital change and over exposure of exports to domestic and both put together is about Rs. 50-55 crores of depression which has happened which should adjust in the normal course of time.

Naushad Chaudhary : So, on a full year basis , should we expect the similar run rate which we had last year with 5 %-10% deviation or should it be more than that?

R. Mukundan: We need to look at the current quarter as a starting point and with adjustment of the figure I mentioned, that is the way we should look at the figure now because it then sort of also adjusts for the pricing changes between last year and this year.

Naushad Chaudhary : On the power and freight cost side , I can see the reduction in the overall global power cost, which is reflecting in our numbers , but at the same time , freight cost also globally has gone down meaningfully. How should I read this or is there any different kind of arrangement happened in our business on the freight side?

Nandakumar Tirumalai : Power and fuel last year we had the UK plant working for the entire 6 month s' time and quarter also. So, that is a major savings in UK. So, the drop in power and fuel is mainly UK and the rate is almost same as last year 's Q2.

Naushad Chaudhary: And last on the soda ash price point of view, what do you think, what can lead to further drop in the prices from this level? Any possibility of it going down further from the current level?

R. Mukundan: As far as domestic market is concerned, we would expect that to be range bound. In exports, we do see that the intensity of competition being very high in Southeast Asia and that intensity will continue because the bulk of the Chinese material seems to be flowing into that market. That market is getting impacted strongly. It also is flow ing into what I would call as northeast Asia, which is basically markets around Taiwan, Korea, and Japan. So , basically , it is the Asian

 market, which is under pressure, except excluding India, and that is because of the flow through of the Chinese market situation.

Moderator: Our next question comes from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So, Sir, can you talk on standalone operating performance when we see Y-o-Y significant improvement? So, how is the contribution of salt this quarter, the operating profit side, and soda ash?

R. Mukundan: I think this run rate should continue, S umant. As I mentioned, we expect the current rate to continue. And there could be slight improvements because our utilizati on, as there is still headroom for us to grow the bi -carb business with the current capacities we have. There is still unsold, let 's say there is headroom to grow the new L55 capacities which has come on stream . So, that will improve the numbers as we speak. Otherwise, we are pretty much close to near full utilization of whatever we can do in soda ash and in every other product, including silicate. The fundamental, what we are able to do will be these incremental ones , but they will play through Q3 and Q4.

Sumant Kumar: What I am asking in this quarter, when you see Y-o-Y, the salt and operating performance improvement and soda ash improvement in this quarter, what was the key reason for that?

R. Mukundan: The key reason is basically the volume . In the same quarter last year, we had , while the rains were heavy this year also, but the damage because of the rain which had happened in Mithapur as one -time issue has not happened. And hence, those numbers are not that depressed.

So, fundamentally, if you look at the India number for the Soda Ash broadl

y, it is up quarter -on-
quarter, basically from previous year, same quarter to this quarter by about 30,000 -odd tonnes . And similarly, if you look at the salt number, it is almost up by about 50 ,000-odd tonne s. That is because of the new capacities which have come. It has nothing to do with rain. So , really, those are the two drivers.

The other driver, of course, is the improvement in increase in the number in the Bicarb. Bicarb also has grown by 14,000 tonnes . But i f you ask me, going forward, where is the room to grow further? Bicarbonate has room to grow further. And also, FOS, has room to grow further because the 5,000 tonnes has been commissioned this month. So, t hose would be the ones which will drive the growth in the domestic market.

So, I believe the current units which have been delivering, both for Q1 and Q2 in soda ash and the bicarb and salt, will continue at the similar clip. And t he growth will fundamentally be driven by the capacity available in bicarb, growing the market and also growing the FOS market.

Sumant Kumar: The improvement in salt also, operating level , Y-o-Y or Q-o-Q?

 R. Mukundan: Salt will continue to be at the current rate of sales. And y ou can take H1 number of salt. Broadly,
if you look at it, the similar number should repeat in H2 overall.

Moderator: Our next question comes from the line of Sa ket Kapoor from Kapoor Company . Please go ahead.

Saket Kapoor: As you were mentioning about incremental volume from the bicarb also, so there were some regulatory changes with respect to flu e gas treatment at the power plants. So, a re we continuing with our supply to the players in power plants, or how are the installations going ahead? And if you could just give some color .

R. Mukundan: So, w e have not had major changes in that and our ability to sort of place additional and increase the market is continuing. Bicarb is an under -penetrated product in India, and its applications are increasing , and w e are working with all segments, not just with flue gas treatment , but across all segments.

Saket Kapoor: Sir, there was a global soda ash conference that was scheduled in the month of October. So, if you could give us some color, what are the key takeaways from the same? And s ir, taking into account the global inventory levels, they were at alarming 1.7 million. Some number was there. So, h ow has that moved post the second quarter ? Post September onwards , how are the inventory globally shaping up? If you could just give some color on th at, sir .

R. Mukundan: The inventory issue is mainly in China - it is 1.7 million . The Chinese situation is fundamentally being driven off the issues with that market, as well as Malaysia, Vietnam, where they put up solar PV capacity, that is coming under pressure because of tariff regime. Hopefully, because of the tariff issues getting resolved, we could see easing of that.

The main issue there has been that exports out of South East Asa of the specific PV solar cells product had come to almost standstill, and that we believe this will move in the positive direction. So, that is the positive call. We don 't anticipate it to worsen beyond this. But i f at all, if some of this trade and tariff -related frictions come down, we would expect that the numbers would improve. And t he pressure is mainly in China and Southeast Asia.

Saket Kapoor: And l astly, on the debt part, sir. The net debt has moved up. So, h ow much is on account of the repricing of the currency? And w hat are the current year 's maturity? So, w hat would we be likely closing the year in terms of the net debt number?

Nandakumar Tirumalai: So, the debt has gone up in H1 compared to March ending, mainly on the currency part. Of course, Rs. 250 crore s is the impact of the currency impact. And the remaining is because of the higher inventory levels we

had in H1. And some part may normalize of the inventory part in H2.
Currency part, I can 't comment.

Saket Kapoor: But what are the current maturities? And how should we likely be closing the year just on a

constant currency basis or yeah , that's it.
 Nandakumar Tirumalai: There is no long -term debt falling due in the second half. The next debt falling due is next
December 2026 only. So, w hat is falling due is already we repaid now and refinanced that now.
Second half would be the same loan in H1 , in H2. And w orking capital is also there. Long -term, nothing is being falling due in H2.
Saket Kapoor: And t he key takeaways, anything, sir, you want to mention about the global soda ash conference where we must have also participated?
R. Mukundan: The key takeaways are the following , that the reconfiguration of capacities around the globe is underway. But m any of the unremunerat ive capacities have yet to be addressed, both in Europe and also now increasingly in China. I think that process should get underway. We expect that normalization of that process to happen in the next 18 months or so.
And s econdly, the medium -term view remains positive. While there have been, let 's say, some kind of a pullback from sustainability commitments in several parts of the world, in general, the customers are moving ahead with that. And t here is also an anticipation that friction on tariffs may come down going forward, which should ease the market conditions going forward. So, overall, the market is going to remain range -bound in the current level. And i t will start to ease as the geopolitics and the pressures come off due to reconfiguring of capacities, both in Europe and in China.
Saket Kapoor: Thank you for all the replies, sir.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to R. Mukundan for closing comments. Over to you, sir.
R. Mukundan: Thank you for joining the call today. As highlighted, while the immediate short -term pressure on the soda ash pricing would continue and it is going to remain range -bound, we are looking to normalization as we move forward, both from the capacity front as well as the geopolitic s tariff front. In addition to which, we welcome the move of ADD from DGFT. We hope that this resolves continued pressure in the product pricing . And o ver a period of time, we continue to be positive on the Indian market. And h ence, by Quarter 3, we will come back with certain capacity additions which we plan on doing in the Indian market. Part of the capital raise is also to ensure that we are adequately supported for that move. And o ur endeavor is going to continue to be to move in a very capital -efficient and cost -efficient manner and to continue to grow the business.
Thank you all and see you in Q3 FY26 results .
Moderator: Thank you. On behalf of Tata Chemicals Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2026

February 6, 2026
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex
Bandra (E)
Mumbai - 400 051
Symbol: TATACHEM
Dear Sir / Madam ,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the third quarter and nine months ended December 31 , 202 5
Further to our letter dated February 2 , 202 6, we enclose herewith a copy o f the transcript of the Analysts/Investors Call on the Unaudited Consolidated and Audited Standalone Financial Results of the Company for the third quarter and nine months ended December 31, 202 5 held on Monday , February 2, 202 6.

The same is also being made available on the Company's website at:
https://www.tatachemicals.com/investors/financials/quarterly -reports .
You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Jeraz E. Mahernosh
Company Secretary
(FCS 7008)

Encl: as above

"Tata Chemicals Limited Q3 & 9MFY26 Earnings Conference Call"

February 2, 2026

MANAGEMENT : R. MUKUNDAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , TATA CHEMICALS LIMITED

MR. NANDAKUMAR TIRUMALAI – CHIEF FINANCIAL
OFFICER , TATA CHEMICALS LIMITED

Moderator : Good evening, ladies and gentlemen, and welcome to the Q 3 and 9MFY26 Earnings Conference Call of Tata Chemicals Limited.

Please note that this conference is being recorded. As a reminder, all participants ' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone.

We have with us today , Mr. R. Mukundan – Managing Director and CEO; and Nandakumar Tirumalai - Chief Financial Officer of Tata Chemicals Limited.

Before we begin, I would like to mention that some of the statements made in today 's discussion may be forward -looking in nature and may involve risks and uncertainties.

I now invite Mr. R. Mukundan to begin proceedings of the call.

R. Mukundan: Thank you, everyone, and welcome to the Quarter 3 and 9MFY26 Earnings Call.

I will start with a brief discussion of the industry situation and then get on to operational highlights across business and geographies.

In terms of the demand scenario across geographies, especially for soda ash, demand growth is fairly tepid and flat in the near term, constrained by weak macroeconomic s in a couple of geographies, especially in Southeast Asia and some parts of Asia. This has mainly driven -off certain elements related to the export restriction and export constraint those products are facing in one of the biggest markets they had in the U.S.

While this is so in the short term, the medium -term soda ash demand is expected to grow modestly, supported by structural growth of solar glass and a stable consumption from other applications.

However, it is very likely that the demand growth is unlikely to absorb the new global capacity additions in the near term, which will result in continued pressure on pricing and margin in an import -exposed domestic market.

India continues to exhibit relatively robust demand growth, while China and U.S. are witnessing marginal demand declines in some sectors and overall, very flat demand. Across other regions in Asia, America s (excluding U.S.), and Africa are seeing broadly resilient demand, and there are pockets within this which are also having challenges. For example, in Southeast Asia, demand has been marginally impacted by tariffs on photovoltaic glass imports into U.S., affecting the regional glass trade flows.

Geopolitical risk and ongoing tariff uncertainties persist, continuing to cloud global demand visibility. The pace of economic recovery is expected to remain fairly slow in the year ahead, limiting any sharp resurgence in industrial demand .

Over the medium and long term, the demand outlook remains positive, driven by sustainability - linked application, including solar PV and EV growth, notwithstanding near -term challenges.

In terms of supply, supply remains abundant across all major regions, with elevated inventory levels continuing to exert pressure on pricing, and India prices have remained subdued due to sustained import from U.S. and Turkey, limiting the scope for domestic price recovery. China inventories remain elevated , but stable at 1.5 million ton nes, and the sentiment softened slightly compared to previous quarter. Export prices have remained subdued through Q3. Berun and Inner Mongolia have started testing additional expansion in December, with full -scale production sometime targeted during first quarter of the next financial year. While Chinese producers initiated strong spring maintenance earlier than usual, this resulted in supply curtailment in the short term, being rapidly offset by newly commissioned capacities.

In terms of pricing, the soda ash prices remain challeng ing across most geographies, with prices in certain markets approaching record low levels on persistent oversupply and muted demand.

In India, domestic list prices remain under pressure, declining marginally in Q3, driven by continued import competition and w eak pricing sentiment. In U.S., spot exports prices continue to soften, especially to the Southeast Asian markets.

Export prices were particularly impacted by intense competition in the Southeast Asian market due to Chinese supplies in the global market. Chinese soda ash prices have declined by approximately 54% between Q3 FY23 and Q3 FY26, primarily due to the low -cost natural soda ash which has come on stream. Currently, the domestic prices are about CNY 1,200 in China.

Overall, pricing is expected to remain at similar levels, given the elevated inventories.
Now I will go on to the operational performance :
Despite the market headwinds, the company's standalone performance was actually supported by higher volumes, prudent cost management, resulting in stable operating performance during the quarter.
The reconfiguration of UK operations was completed, with strategic focus on value -added and non-cyclical products to improve business stability.
The revenue was about 1% down compared to the previous year, at INR 3,550 crore s, despite the fall in prices in the market supported by higher volumes. EBITDA at INR 345 crore s compared to INR 434 crores , mainly on account of subdued pricing across all geographies. But

this EBITDA fall has been sharp, mainly in the U.S., which has led to the consolidated EBITDA having a sharp drop.
There was an exceptional charge of INR 54 crores which is provided in the accounts for the new labour code , and PA T before exceptional item is negative INR 15 crore s compared to INR 49 crore s in the Q3FY25. Net debt stands at INR 5,596 crores , excluding a lease of INR 772 crore s.
I will be highlighting the standalone highlights at this point of time for Q3 FY26:
The revenue from operations stood at INR 1,204 crore s, up 3% compared to Q3 FY25 due to higher volume s. EBITDA at INR 228 crore s in standalone was 9% up from Q3 FY25, effect of also higher volume and lower fixed cost. An exceptional charge of INR 14 crore s was provided in the account of the new labour code. PA T before exceptional item from continuing operation was INR 87 crore, up 21% compared to Q3FY25 . In terms of unit -wise performance, India had performance higher than previous year, mainly on account of higher volumes and operational efficiencies. Quarterly sales volume of Silica was up 15%. Quarterly sales volume of FOS was up by 9%. We also commissioned a new L55 line in Mamba ttu in October 2025. Pearl grade Silica of 3,000 metric tonnes per annum in Cuddalore was commissioned in December 2025.
In U.S. both domestic and export volumes were higher. Prices were sharply lower in exports, which led to the sharp fall in revenues and margins.
UK salt production was impacted due to unplanned stoppage, which resumed thereafter. B icarb is slowly recovering its market share with the feedstock coming in from TCNA in form of natural soda ash.
Kenya had higher revenue due to higher volume , offset by lower realization, the price did drop there. 50 KT electric calciner soda ash plant in Kenya was operationalized and will be fully stabilized by March 2026.
Rallis saw a revenue growth of 19%, driven by crop care and seed business.
We also announced the acquisition of Novabay Singapore on December 19th, where we entered into a share purchase agreement . This acquisition strengthen s Tata Chemical's position in premium grade value -added Bi-carb market by expanding the geographic footprint, which now extends from UK which serve the European market , India, as well as now the Asian markets, including ASEAN and Far East.
The Board also approved an investment of INR 515 crore for setting up a gree

nfield facility in
this Board meeting with a capacity of 210 kilo tonne per annum capacity of iodized salt in

Valinok kam in Tamil Nadu. This facility is expected to be commissioned over the next 36 months.
Board in its meeting on November 21st, 2025, also approved 50 kilo tonne per annum precipitated silica expansion at Cuddalore at an investment of INR 775 crore , and a 350-kilo tonne dense ash plant in Mit hapur with an investment of INR 135 crore s.
So, all the CAPEX are happening in India, a market which is steadily growing, and also in bicarbonate in the Asian market to capture the premium Bi-carb market. Overall, our priorities remain firmly aligned in protecting margins, preserving cash flows, maintaining balance sheet strength. We continue to adopt a disciplined approach to capacity utilization, cost control, and capital allocation, ensuring res ilience during current challenging phase of the soda ash cycle.
With this, I close my comment and hand back to moderator for Q&A. Thank you.
Thank you.
Moderator: We will now begin the question -and-answer session. Ladies and gentlemen, we will now wait for a moment while the question queue assembles.
The first question is from the line of Saurabh Jain from HSBC. Please go ahead.
Saurabh Jain : Thank you for the opportunity. My first question is, please, can you remind us how the soda ash

domestic realizations in the U .S. are looking like for this year , because the contracts would have
been signed in January. So, any colour on that would be useful ?
R. Mukundan: Yes, the US domestic prices which have been negotiated are at par or about $5 to $10 variation, the bulk of them. Overall, I would say that there's been about $5 drop in realizations on the domestic market.
Saurabh Jain : Okay, that is useful. And can you please also make us understand how the cost would have changed in the last 5 years , because at the similar kind of realization s, we used to make very good margins pre -COVID times. So, now and then, on a shop level , how the cost structure has changed, so that we are not making any profit any more at these realizations. That will be helpful.
R. Mukundan: On a fixed cost basis, which is in dollar terms, if you spread it between 2 elements, the increase in fixed cost over the last 5 years has been broadly about $15 million.
On the variable cost, this would vary from the various pricing of coal and gas contracts. But a $5 movement has happened broadly per tonne basis.

Saurabh Jain : But the gas and coal cost, would it be much different from what it was pre -COVID times? I would have assumed it would have stabilized and maybe have seen some increase. But then it is like a major increase in those costs versus how we used to procure it, say, 5 years back.
R. Mukundan: No, the gas has settled at a much higher price from pre-COVID. And the coal has also increased because many of these coal companies had to sign a contract with annual escalation , because many of them are actually running at the end of their cycle of the current scene. And they are finding it difficult to get financing for new scenes. So, they want to run the current scene, which effectively means they have to travel longer to get the coal out. And hence, they had an increase in cost.
And it has been annualized escalation. I think if you take pre -COVID over the last 3 to 4 years, I think probably it is about $5 broadly.
Saurabh Jain : $5 in total?
R. Mukundan: $5 per tonne of the coal cost, which is abo ve $50. I think it is about $55 now.
Saurabh Jain : Okay. Understood. That is very helpful.
And if I may squeeze in 1 more question. The U .S. currently has seen some winter storms. So, any disruptions in your production or sales activities? Have you noticed any such signs on that side?
R. Mukun

dan: No. This time, there is no disruption to speak about. If you look at the operational challenge, this quarter has been mainly in the UK, where we had an unplanned stoppage in our salt plant. But Quarter 4 will have much more stable operation, we should be reporting better numbers. In fact, we were hoping that this quarter we would break even in the UK, which has got pushed because the UK had a very difficult storm, which came on the way. But that did disturb the operation , and there was an unpla nned stoppage. But in the US, there was none.
Saurabh Jain : So, U.S. on margins. How would you look at the coming quarters? Do you see any normalization towards the usual margins? Or would you expect it may continue to run at loss?
R. Mukundan: No. I think what we are going to do, and this is really the operating team is managing it on a case-by-case basis, on shipment -to-shipment. While we continue to serve all markets which have held more or less pricing steady . Especially in the Southeast Asian market, we are stopping to take orders which are below our expected number. So, you would see in the coming quarter, us not delivering the volume, sort of going down on the volume because it doesn't make any sense to be selling in those markets at negative contribution.

Saurabh Jain : Okay. Does it mean a volume decline for the coming quarters in U.S. ?
R. Mukundan: Yes, it's a temporary pause, especially to the Southeast Asian market.
Saurabh Jain : Okay, sure. I will join back the queue . Thank you so much.
Moderator: Ladies and gentlemen, thank you for your patience. We sincerely apologize for the inconvenience as there was an issue at our end. We have now reconnected with the Management. We have our next participant, Abhijit Akella from Kotak Securities with the next question.
Abhijit Akella , your line has been unmuted. You may proceed with your question.
Abhijit Akella: Thank you very much. So, first question from my side is regarding the capacity expansions. Could you please just guid e us a little bit with regard to the expected EBITDA from these expansions for silica, soda ash and salt in India?
Also, if I may squeeze in one alongside that, with regard to Nova bay as well, will that appear in the Europe business or somewhere else? And what sort of EBITDA number could we expect?
And also, the Kenya capacity expansion of 50,000 tonne , the electric calciner, is that a capacity

addition or is that via change to a different fuel source?
R. Mukundan: Yes, firstly on Kenya, let me take that. 50KT is additional capacity addition , it is over and above the current capacity, but also it is likely to be a more superior product , because the purer ash, which also has low carbon footprint because of electric calcination. So, the EBITDA numbers will be higher than normal and it's completely electric.
The second piece is on the Nova bay acquisition. Actually, in Singapore, it is for the Asian market, mainly for food and pharmaceutical application. And the unit numbers, we will highlight once we consummate the acquisition.
But needless to say, that it also gives us flexibility at a very low cost to double the capacity to 120,000 tonne from the current 60,000 tonne . So, we will also highlight what will be the operational benefits of doing the same.
The other thing which we are trying to do as far as Singapore is concerned currently, they are importing the synthetic soda ash all the way from Europe. We will be supplying that from some of our more known and more competitive sources.
The third piece is on the capacity expansions in salt. It would continue at about the same margins as we have overall , because whatever increase in cost is because of the new site that is more or less compensated very well with the logistic cost reduction.

So, the

margin should not change in the additional capacity coming in on the Valinokkam . Also, it is coming at the right time , because it has been 24 to 36 months. Our unit in Mithapur will be fully loaded by that time , and we will not have any spare volume unless this goes on stream. Of course, we could have expanded in Mithapur rather than here, but we chose to do it in south , so that we have flexibility with 2 sources.
With respect to dense soda ash in Mithapur , we will come back to you with a specific number next quarter. And precipitated silica, we have already highlighted the margin numbers in the past. A specific number, we will share it with you in terms of what it is likely to do. But all these projects have returns which are in excess of 16% , and normally we try for returns closer to 18%.
Abhijit Akella: Okay, sir. I believe the silica business currently is doing about some INR 60 odd crores of sales, if I am not mistaken, based on the 10,000 ton nes capacity. So, should we assume a similar level of realization as well from the expansion?
R. Mukundan: Yes, it would be similar, but the overall issue would be that the way it would work is because that INR 60 odd crore s, you are able to distribute with only 10,000. The additional capacity which has come on stream, that will be only seen in Quarter 4. You should not add that when you look at the average realization.
Abhijit Akella : Fair enough. And just one last thing from my side was with regard to the Berun capacity addition that you alluded to earlier on the call. What sort of Phase -1 capacity is coming up over there? And yes , I think that should be the main thing.
R. Mukundan : Yes, the overall increase in capacity is about 2.5 million tonnes to 2.8 million ton nes, 2.5 million tonnes you can take as a safe number, in addition to what already exists there. And this, in our view, is in line with the target , China has set a target of having 50% synthetic and 50% natural. But the way we see it is that while the new natural capacities have come, the synthetic capacities have to go. So, overall, there will be capacity rationalization which has to happen in China. With the current pricing, most synthetic plants are actually losing , and are not making money at all. They are losing, which is why they went for a cyclical maintenance shutdown to sort of not produce below certain numbers .
Abhijit Akella : Thank you so much. I will get back in the queue for anymore .
R. Mukundan : Thank you.
Moderator: Thank you. Our next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi, sir. Thank you so much for the opportunity. I just wanted to understand, I think on the US side, you mentioned that you're taking a conscious decision not to ship to Southeast Asia, while that could potentially improve the mix.
R. Mukundan : Yes, I will just clarify. I said in Southeast Asia, certain contracts are being offered at prices which are not acceptable , not that we are not shipping everything. We are shipping, but it may lead to certain reduction in volume. We are going contract by contract as we speak.
Vivek Rajamani: Sure, sir. That's very helpful. The question that I was asking was if we had to kind of think about the US business over the next few quarters, what would be a good level of EBITDA that we should assume? Or would it be fair to say that given the market conditions and given the time

it will take for you to kind of rationalize your volumes, would this quarter be representative of what could be the case for the next couple of quarters? Or how should we think about that?

R. Mukundan : I would say that , if you look at the shipments which we are doing, which are quantity commitments we had in the past, there was one shipment this quarter, there's probably going to be one shipment next quarter. Other t

han that, there are no shipments which we are taking be low a number which we have for our fairer contribution. But if you look at the US, the way to think about it is that in these swing markets, where pricing has dropped below $160 or $155 broadly, even a $20 mo vement or $15 mo vement is good enough to get everything back on track. So, I think it is just that it's at the edge of where we think it is not acceptable. And the $15 -$20 move in some of these contracts would make us move to start accepting those contracts.

Vivek Rajamani: Sure, sir. That's very helpful. And just a second question that I had on the CAPEX front, given where we are in the markets currently, and given that the closures that we were expecting out of Europe or even in China, it's taking a bit longer. I just wanted to understand at what point in time would you consider pushing out the CAPEX ? Or is there any thought process that at a certain price or at a certain level of where the industry is, you would think about either postponing the CAPEX or relooking at that altogether? I do understand India is a growing market but just wanted to understand how you would think of that given where the industry is today. Thank you.

R. Mukundan : In terms of CAPEX , Vivek , I think fundamentally we are not adding any CAPEX in any market other than India. In fact, we were the first ones to stop the expansion in the US, way ahead of others because we were anticipating a market condition. And if you really look at our approach, it has been that we serve markets which are fundamentally ahead, which are more robust, which are the regional market of North and South America. That's what we are focusing on. O ur American unit has sufficient capaci ty to feed those markets. And also, to service our UK demand for our bi -carbonate unit. We also were ahead of the curve in terms of shutting down capacity in UK. And had we not done it, this year would have been far, far worse. In fact, UK has shown about INR 100 crore swing from what it would have been to what it is now. And we do expect by next quarter they should be very close to break -even and next year on start making profits.

And the UK is going to focus fundamentally on bi -carbonate and salt and that to have a very higher grade of food , feed and pharma. If you look at capacities in India also, most of them have happened , while we have debottleneck ed soda ash with a very low CAPEX , we have spent most of the capital towards adding capacities in salt, bicarbonate, silica, and FOS, all pretty much not in the commoditized space. And even in the commoditized space, if you look at the CAPEX , which are highlighted for dense ash, for 3 50,000 tonnes of dense ash, spending 1 35 crore is a very, very competitive number. It is not an easy number anybody can get to. We have the flexibility to get there because of the resources we have access to. It's also reconfiguration of one of the existing units within Mit hapur, which already exists. So, we are not putting fresh steel and cement on the ground. We are reconfiguring something there in Mit hapur to get that additional outcome. So, clearly, we are very conscious. Even at this time, we are going to be one of the key directions and we have been seeing for the last one year has been while the market is going through the challenging space, we are extremely focused on making sure we serve the customers who make fair returns for us and serve them well. At the same time, we continue to drive a fixed cost dow n while keeping the efficiencies up, mothballing units and equipment which don't make competitive efficiency, and rationalize capital in a way that it makes a positive cash flow for us. So, this year, for example, if you look at the cash flow for three quarters, it's about INR 700 crores negative at the operating level, of which 350 is forex movement on th

e

debt taken, debt we already have. So, the real number hasn't moved up. But 350, which is additional, is fundamentally a sharp reduction and that has bee n achieved because of sharp reduction in CAPEX expenditure from last year to this year. Going forward next year, there is further going to be sharper reduction. When we announce these plans, these are going to be done very judiciously.

Vivek Rajamani: Sure, sir. That's very clear. And just one last clarification, there are no one -offs or uncommon costs in the US, correct? That's all a normalized number, the ones that have been reported, correct? No one -off costs or no one -off expenses to note?

R. Mukundan : No, there's no one -off call. As I mentioned, there's only one one -off issue in the revenue line because of the quantity commitments we had with customers. We had to ship them at a pricing which we would normally not have done. And there probably is going to be one more shipment which will go to Southeast Asia. But other than that, we have actually stopped taking orders at those numbers.

Vivek Rajamani: Sure, sir. Thank you so much and all the very best.

Moderator: Thank you. Our next question comes from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Hi, sir. Thanks for the opportunity. Just on the US part of our business, if you can help with what was the volume or revenue share from exports for the quarter or for the nine -month s period?

R. Mukundan : We will share that with you. This quarter had a higher volume of exports, but we will share that with you.
Ankur Periwal: Sure. Where I was coming from , was the subpar profitability that we are seeing in US is largely because of this export order, which probably will not be there in the coming quarters, or even the base profitability in US given the lower pricing contract is also slightly under pressure ?
R. Mukundan : So, what we will do, we will start sharing the export volumes with you. But in terms of exports, there's only one reason which is posing a challenge, which is exports to Asia, especially to Southeast Asia. Other regions are not a challenge at this point of tim e. And the prices have held and while they've come down, but they've gone to a level where they're holding at fairly good, acceptable margins.
Ankur Periwal: Sure, sir. I was referring to the local sales in US, given the slightly lower pricing there. Will, the EBITDA margin on a per kg basis be similar versus last year or it will be slightly down if I look at from CY '26?
R. Mukundan : So, I said, on an average, you could take $5 down. It's not too much. I mean, in the sense that given the market conditions, but our volumes in domestic have also increased. So, to that extent, it has more or less compensated for whatever we would have lost in terms of pricing.
Ankur Periwal: Sure. Second question on the margins, both in India and Kenya , Kenya, we have seen pretty healthy uptick there and same in terms of volume growth in India. But somehow Indian margins are slightly lower. Any specific reason? And the same question on Kenya margins . What should be the steady state numbers there?
R. Mukundan : I think Kenya would remain where it is. We are not seeing any major changes in their numbers this quarter to next quarter. It's all going to be volume dependent. They sold more. So, they had a better number this quarter. Hopefully, once the 50,000 ton nes comes on stream, that will be at a slightly higher pricing and probably will give them even higher margins. As far as India is concerned, broadly, we expect the current numbers to run through. The margin numbers in India have broadly been more or less steady except for some pockets where prices have sort of gone down by about INR 500 or INR 600 a ton ne in soda ash . But otherwise, other products have held more or less up. But India al

so had a one -off impact of certain costs, which they had to incur this quarter to get ready for the next year.
Ankur Periwal: Okay. That's it from my side. Thank you and all the best.
Moderator: Thank you. Our next question comes from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Hi. My question is for the solar was driving overall soda ash demand earlier. So, how is the scenario globally, say, for China and other developed countries?
R. Mukundan : So, solar still is driving the demand clearly. I think it can turn on a dime. If you look at even lithium, which was a big driver, suddenly lithium prices have rebounded. So, clearly, it's a long -term direction. What really has impacted the solar in Southeast Asia, the demand in Southeast Asia, and why so much material is oversupplied there , is because many of our customers have had a challenge because of the high duty put by the U.S. on exports from there, as that is getting rationalized , over a period of time, it will settle down. So, this is very much an impact of what the U.S. has done. U.S. was a large market. Many of these capacities were set up by Chinese companies to continue to export to U.S. So, clearly, that has unwound itself and hopefully, with the deals being signed and contracting restarting, this should settle.
Sumant Kumar: So, overall, we have seen in the past also export has a lower margin business. And now, because of tariff issue, our margin is lower and domestic demand in the U.S. is lower. So, do you think you are restricting your sales to domestic U.S. market and not exporting, minimizing the export? So, do you think the margin overall profitability of the U.S. business is going to normalize in the next couple of quarters ?
R. Mukundan : Yes, I think in terms of what we are saying is that, the prices will have to rebound at some point, because many companies will be taking decisions what we are taking. So, it is not going to be one company's decisions which will drive overall behavior. But in terms of the way we approach is that , we really look at the market and do our plans. I completely agree with you , domestic market for all our businesses is where we get the highest realization and nearby markets are

where we get the next h ighest realization. So, for US, the nearby markets tend to be Southern American markets and parts of the Far East , and they would focus on those markets rather than extend themselves beyond that and do as much of a volume in those markets as possible. At the same time, the U.K. has completely withdrawn. So, part of the U.K. demand for internal consumption of soda ash is being met by our U.S. operation. In India, we are able to sort of continue to sell because India is a net importer. We still need more capacity to come in India. But with the current pricing, the new capacities may not make sen se. It is onl y going to be debottlenecking capacities.

Sumant Kumar: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now take our last question from the line of Nitesh Dhoot from Anand Rat hi Institutional Equities. Please go ahead.

Nitesh Dhoot: Thank you for the opportunity. While we do understand that the pricing pressure is there on the other markets, but in the U.K. after the discontinuation of soda ash, we had been guiding around INR 250 crores of EBITDA for FY26, from the fixed cost savings, etc., and a positive PAT by

Q3. So, our 9 -month EBITDA is about INR 110 crores. Q3, as I understand, seems to have a one-time impact. But when can we get to the guided EBITDA of INR 250 crores or about INR 60 crores -INR 65 crores quarterly EBITDA run rate and a positive PAT there?

R. Mukundan : Yes, as I mentioned, this quarter while we were aiming to get pretty close to that number, we were impacted by a one -o

ff event which led to certain production issues because of the snowstorm they had, which really was not an insurable event in many ways. So, we have had an issue with that piece. But clearly, we are making progress, and the fixed cost savings have come through and part of that journey will be completed in Q4, and certainly during next year, we will be fully on board with the sta tement we made. Also, the pharmaceutical salt unit is now pretty much on track to increase its capacity utili zation. As that utili zation increases, that will also contribute to the overall number in the U.K. So, I must say that we are behind by almost six months in the U.K. in terms of turnaround, not in terms of fixed cost reduction, but overall in terms of getting the high -margin revenue up in that market.

Nitesh Dhoot: All right. So, that's helpful. Thank you so much.

Moderator: Thank you. I would now like to hand the conference over to Mr. R . Mukundan for closing comments. Over to you, sir.

R. Mukundan : Thank you and thank you to all the participants. This has been a short call, mainly because of the inordinate failing which happened at the bridge at Chorus. So, hopefully, we will have smoother calls going forward. Thank you for your patience. Thank you for the call today. So, as I mentioned, during Q3FY26, the Soda Ash market continued to remain oversupplied . Especially for the U.S., the pricing in the export market, in particular one region , had impacted them and that has had an adverse impa ct on the overall number. Operating environment, while remaining challenging, we do believe that the actions we are taking on the ground, in terms of cost discipline and portfolio resilience, would hold us in good stead. The other actions we have taken in terms of operational efficiency, tighter cost control, and proactive market manageme nt would position us. Albeit this switchover from growing to making this cost management as one of the key factors, which we have done in the last two quarters very sharply. So, while the near term does call for caution, which we are advocating, we remain confident of Company's strategic direction, which essentially means to put capacities which are non -cyclical, also put only very low CAPEX capacities which yield higher return, and be very cash -focused in our operations. We also believe the balance sheet strength and the capability of our team will ensure that we navigate this well. So, we will continue to act with discipline to ensure we are well positioned as we come out of this challenging time to capture opportunities as market conditions improve. Thank you all and see you for Q4FY26.

Moderator: Thank you. On behalf of Tata Chemicals Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2026

May 9, 202 6
The General Manager
Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500770 The Manager
Listing Department
The Natio nal Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex
Bandra (E)
Mumbai – 400 051
Symbol: TATACHEM

Dear Sir / Madam ,
Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and financial year ended March 31, 202 6
Further to our letter dated May 4, 2026, we enclose herewith a copy o f the transcript of the Analysts/Investors Call on the Audited Consolidated and Standalone Financial Results of Tata Chemicals Limited for the quarter and financial year ended March 31, 202 6, held on Monday, May 4, 202 6.

The same is also being made available on the Company's website at:
https://www.tatachemicals.com/investors/financial -reports .

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Tata Chemicals Limited

Jeraz E. Mahernosh
Company Secretary
(FCS 7008)

Encl: as above

"Tata Chemicals Limited
Q4 & FY26 Earnings Conference Call "
May 04, 202 6

MANAGEMENT : MR. R. MUKUNDAN – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – TATA CHEMICALS LIMITED
MR. NANDAKUMAR TIRUMALAI – CHIEF FINANCIAL OFFICER – TATA CHEMICALS LIMITED

Tata Chemicals Limited
May 04, 202 6

Moderator: Good evening, ladies and gentlemen, and welcome to the Q4 and FY26 Earnings Conference Call of Tata Chemicals Limited. Please note that this conference is being recorded. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator b y pressing star then zero on your touchtone phone.
We have with us today R. Mukundan, Managing Director and CEO, and Nand akumar Tirumalai, Chief Financial Officer of Tata Chemicals Limited .
Before we begin, I would like to mention that some of the stateme nts made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. I now invite R. Mukundan to begin proceedings of the call.
R. Mukundan: Thank you, D arwin. Good evening and welcome everyone to our Q4 and FY26 earnings call. I will start the discussion with a brief overview of the industry and then our operational highlights across business and geographies.
Global demand is expected to be broadly flat in the near term, constrained by weak macroeconomic conditi ons and more specifically amongst all our products, the soda ash excess capacity.
The recent Middle East conflict has driven up the energy and raw material prices, increasing production costs across various parts of the world, especially other than US. It has increased our shipping and transportation expenses. Despite these pressures, there is no clear evidence as of now, at present, of demand erosion, but however, a prolonged conflict could begin to weigh on demand. India continues to exhibit relatively r obust demand growth with higher capacity utilization across all sectors.
China and US are witnessing flat demand, mainly in US it is due to the reduced off -take in the container glass segment. The geopolitical risk and ongoing tariff uncertainties continu e to cloud the global demand visibility and this tariff uncertainty is mainly with respect to US - China tariff issues. While the pace of economic recovery is expected to be slow in the year ahead, we do believe solar glass and lithium carbonate are expected to continue to drive demand, especially since the world would certainly pivot towards more renewable and more natural energy sources. Soda ash globally would be gaining from this growth in this segment.
In terms of supply scenario across geographies, Chi na inventories remain elevated. The market sentiment softened slightly during the quarter 4. In addition to that, while several things happened, the Chinese units did begin to slow down and carry out their maintenance work. One unit, which is about 800,000 tons Hubli plant, sort of had an expiration of production permit and it has started to do maintenance work.
We also know in US, one of the producers with 1.36 million tons capacity has also mothballed its plant. Solvay, we know already, had done about 18 0,000 tons of reduced production from

their Spanish plant. This process is only going to help us to balance the demand -supply equation.
In terms of pricing, while in the month of March there were certain corrections, what did happen towards the end of March, the prices saw a slight increase to compensate for energy and raw material prices and higher shipping costs. US domestic prices remain ed flat. China spot expor t offers remain steady between 150 and 170. This resulted in Southeast Asia prices remaining unremunerative, especially for the US producers. Overall, pricing is expected to remain range -bound and react to mainly the energy cost increases, which some of the producers may pass on.
Now I will move to operational highlights. In terms of th e consolidated performance, the revenue was down by 2% at INR 3,4

38 crores compared to previous year. Lower exports from
US was offset by higher volumes in India. EBITDA was at INR 274 crores compared to INR 327 crores Q4 of last year, mainly on account of subdued prices across all geographies.
An exceptional charge of INR 1,837 crores is provided on account of impairment of goodwill in US and INR 159 crores of deferred tax write -off. This tax write -off is expected to be reviewed once the unit starts making profits. Profit after tax before exceptional item was negative INR 279 crores compared to negative INR 12 crores last year. Net debt without leases as on March 31 stood at INR 5,961 crores.
In terms of standalone, the revenue from operations stood at INR 1,254 crores, up 3% compared to previous year's same quarter. EBITDA at INR 216 crores was down by 6% due to lower realization. Profit after tax from continuing operations was INR 48 crores, down 51%

from Q4 of last year. During the quarter, we acquired Novabay Pte Limited , Singapore , this acquisition was completed on 19th March 2026. In addition to this, 50 kilo tons of electric calciner soda ash was operationalized in Kenya .

Unit-wise, in India, Gujarat facility achieved 1 million tons of soda ash production. The performance is higher compared to previous year, however, price drop was offset by higher volume. Drop in EBITDA is due to increase in fixed cost compared to previous year. US export volumes were lower and South -east Asia market realizations were unremunerative. UK had lower revenue due to lower volumes, partly offset by pricing. PBT is higher than previous year. Increase in volumes in Kenya was partially offsetting t he lower realization. Singapore acquisition, as I mentioned, was completed during the quarter. Rallis saw an overall revenue growth of 6%, volume growth of 5%, and price growth of 1%, driven by growth in both crop care and seed business.

Overall, when you look at the context of strategy, the non -soda ash revenue grew 14% from INR 6,118 crores in FY25 to INR 6,946 crores in FY26 . This is in line with company's focus to grow non -cyclical business and non -soda ash business. In conclusion, geopolitical developm ents in West Asia since late February have led to disruption in supply chain , these

have resulted in higher costs. This impact has been varied across geographies; however, overall sales performance remains steady.

Management is focused on reinforcing supp ly chain planning, maintaining cost discipline, improving operational agility to address near -term disruptions. Our priorities remain firmly aligned to protecting margin, preserving cash flows, and maintaining balance sheet strength. We also continue to ad opt a very disciplined approach to capital allocation, and we want to ensure resilience through this current phase of cycle. We would be focusing on growing non -soda ash revenue in line with long -term strategic objective.

With that, I close my comments an d hand it back to moderator to open for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Saurabh Jain from HSBC. Please go ahead.

Saurabh Jain: Hi, thank you for the opportunity. Can you please expand a bit on the disruptions that you're noticing because of the Middle East conflict? In particular, how is it impacting your raw material sourcing across your regions and any outlook you would have that if the conflict stretches from here, can it materially impact your availability to procure your raw material?

R. Mukundan: Thank you, Saurabh. Firstly, I would say that US operations remain largely insulated from this disruption. The UK operation also largely is insulated be cause the key element for them is the brine which they wean from their own brine wells. In addition to that, they did see some increase in spike in the un

hedged portion of the gas, but this is only a price issue, not an availability issue , and part of that price increase we have also informed the customers and have also made the requisite changes there.

With respect to India, thankfully has been working with imported coal, mainly from Indonesia, which is not disrupted , it's continuing as we speak. Of course , there 's a movement in pricing for which we have taken price changes. Our biggest issue in India has been mainly the availability of imported limestone. While we have adequate stock, we've also moved to blended domestic and imported limestone, which is en abling us to run the unit well and at least we don't see any big issues for the next three months.

I would say amongst all the units, the one which probably we need to watch closely is the Kenyan unit, which depends on HFO. As of now, they've got about 40 days of supply. We are monitoring this closely and the HFO comes from Middle East and we need to ensure that we have alternate sources, which -- about which we are working through the system. So all in all, except for one key element, which is HFO which is bought for Kenya, all other units are absolutely safe and sound from the input disruptions.

The big issue for us which we are trying to monitor is, while we have passed on the cost increases to customers, would any of our customers be under pressure in te rms of the impact

from this crisis . Up to now, we have not seen it in the marketplace, but we remain completely watchful on that account.

Saurabh Jain: Understood. Do you also have any ammonia needs in our domestic India manufacturing?
R. Mukundan: Yes, there has been a notification on ammonia. I'm glad you brought that out because while it is a very small quantity, it is nonetheless a quantity which is cycled through in terms of, you know, one tanker for every 15 days or so , and up to now, we have adequa te supply. We are able to source from the market, but the fertilizer units have been advised not to supply to non - fertilizer users. We've written to government that this order is going to impact all of us.
As of now, we are fine, but we're closely monitori ng it and we are also sure government will look into this. It is about 1% of the entire ammonia consumption in the country . Hence, should not disrupt the fertilizer for the farmers, but at the same time, if this were made available to the industry as free ly as it was before, we wouldn't have any issues with respect to any of our production challenge in India.
Saurabh Jain: Understood. That is very helpful. A related question will be that you talked about cost inflation you're noticing in different production facilities across the regions. Can you also give us some sense what kind of price hikes you would have taken in different regions and also whether all of the raw material cost inflation that you would have been noticing now, does it also need more price hike or everything is factored in?
R. Mukundan: See, in terms of the price impact, the cost impact, if you look at US, it's mainly in the diesel , which is used in the diesel vehicles which we run in the plant for the mobile units which are there , and overall in the cost structure, it is not a big number. And we are more or less hedged in terms of our gas, so I don't think there's going to be a big issue there. What we are certainly doing is the shipping costs which have increased is being passed on to our customers who we ship, in a very transparent manner.
We are not doing beyond what is the cost increase. In terms of UK, certainly we have informed the customers, but the issue in UK why I'm not commenting is , our unhedged portion actually moves on a daily basis. So if I pick a day where the spike is high, then it will look like the position is uncovered and we are not recovering fully. If I pick another day where it is , we

would rather wait for a month or so to say whether the price increase is full y covering the cost or not.
As of now, on a weighted average basis, it does cover, but we will know only as we move forward. As far as India is concerned, again we've covered the cost increases fully, whatever we had in terms of the energy cost as well as the additional cost to get the transport the material from the markets in both in Indonesia and the Middle East for limestone and coal.
So, in all places, we have been able to pass on the increase. Kenya too has done the same, but in Kenya it's not a price issue, it's an availability issue which we are working through. And as I

mentioned, we are hopeful the next shipment will enable us to go beyond the 45 -day cover we have today.
Saurabh Jain: Understood. Okay, sure. A related question would be that, you kn ow, if the RM costs kind of don't really kind of increase from here, is it a safe assumption that the margins that we delivered in Q4, that those are the bottom margins? And if the costs don't increase materially from here, there is a possibility that we c ould do better on the profitability or you still would believe some sort of margin pressure could sustain in the Q1 as well?
R. Mukundan: So I can only speak about what we have witnessed up to now, and this is something which could change in future. We're fully covered and as far as the numbers are concerned, they should reflect what we've seen. Going forward, if something happens dramatic that we cannot predict , we'll have to probably come to and talk to all the analysts and investors. But as of now, we're fully covered. What we are watching is the Kenyan situation.
Saurabh Jain: Understood. Okay. And are you also noticing any inclinations from your customers to try to ask for to shift away from the short -term contracts into the mid -term contracts for soda ash? Any that kind of excitement, are you noticing any of those signs?
R. Mukundan: All I can say is that customers have become now more sensitive to domestic sourcing because they have realized the difficulty of depending on imports. So we are witnes sing, especially in India, those who were importing have certainly have made requests to us to increase the allocation because their view is that going forward , they would like to reduce the dependency on imports. While they will maintain a share of import s versus domestic supply , the realization that they would not want to take a risk on the imported material is a positive on the market front.
Moderator: Our next question comes from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar: My question is for US. Sequentially, we have seen an improvement in EBITDA okay, from last profit. So, can we say this is because of you have cut down your export where you were making losses? And also if it is so, what is the mix of domestic sales for US and export mix?

R. Mukundan: You're right. we will not be selling in the unremunerative market, which today for us is mainly Southeast Asia. That is what has happened during the quarter.
Sumant Kumar: Regarding fuel cost, in this quarter, how to what extent we have an impact because of higher fuel cost in the market across geography?
R. Mukundan: In terms of cost, we have no impact at all , because usually we have different levels of stock and different positions of hedging. For example, in India, we usually carry three to four months of stock, and this more or less would help us to work through. If at all any increases will come through goi ng forward, so we do know the coming shipments are going to be expensive, so we have actually spoken to customers and taken the corrective actions there.

As far as US is concerned, as I mentioned, the gas is fully hedged and we are keeping a watch on thos e prices. Our bi

ggest issue continues to be in Kenya where while we have a cover for 45 days, beyond that cover, we'll have to buy at the market rate and the market rate has actually shot up quite a bit in terms of going up almost 50% to 60%, which we are engaged with customers and have informed them and we are dealing with this in a very transparent basis.
Sumant Kumar: Okay. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Vivek Rajamani from Morgan Stanley. Please go ahea d.
Vivek Rajamani: Hi, Sir. Thank you so much for the presentation. You did mention that we are seeing a few closures or some capacity taking maintenance. You did give examples of a capacity in the US and in China. Just with respect to that, could you just talk about how soda ash flows have started to change, if they have, because of the conflict?
And if we could see some relief with respect to, some of the regions potentially slowing their exports or you could see some relief in terms of pricing, which yo u were obviously suffering because of the lower dumping that was happening. So, are you starting to see some sort of relief because of these flows or do you expect that to kind of happen over the next couple of quarters?
R. Mukundan: See, what we are certa inly seeing is the imports have slowed down. They've become almost half of what it used to be pre -conflict. That's the net effect, the result of the slowing down of exports which Iran was doing as well as the Turkey which was coming through the Red Sea , those two have certainly slowed.
Also, the movement from other exporters have reduced during the period because I'm talking about the first month of April what we are seeing, but this trend is likely to continue in our view. So certainly, in India, we are seeing an impact of war and also customers are also very clearly wanting to have a hig her share of domestic supplies. T hat's all we can say.
In terms of any other pressure point in terms of prices coming down, it's actually going up because shipping costs have increased. So, the landed cost in India has gone up because of the shipping cost.
Vivek Rajamani: Sure, sir. That's clear. But it would also be fair to say that the increase is purely a cost of an exercise, so margins will potentially have to wait for a bit longer to kind of benefit. Would that be a fair statement?
R. Mukundan: It would vary between market -to-market, but it's a fair statement. Also, there's a play which will happen because of rupee depreciation. That also brings in a natural protection for the

Indian market. So, you'd see all these effects play out. So , we do believe that it's going to be positive for domestic producers and domestic sales in every part of the world.
Vivek Rajamani: Sure, sir. Thanks. And just one last clarification on UK. You were reporting positive numbers for the last three quarters. Could you just explain what happened this time around with respect to the EBITDA? Thank you.
R. Mukundan: Yes, this time the main dec ision which we had taken was there were certain operational changes which we had to do with respect to our product and product production capability and capacity. We preponed the shutdown which was planned in April into the month of March. This was done pr oactively to have a better run next year.
And that's the impact you're seeing in terms of numbers. Otherwise, it would go back to the

normal number. In fact, because of the preponing of the maintenanc e, we do believe that we
will have much better operatin g parameters than what we had before.
Vivek Rajamani: Sure, sir. Thank you and all the very best.
Moderator: Thank you. Our next question comes from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Yes, hi sir. Thanks for the op portunity. First question, in your opening remarks you did highlighted so

me plants either going for a longer sort of maintenance or maybe mothballing.
Does it change the overall demand -supply dynamics given the incremental supply that was coming from China ?
R. Mukundan: No, see the point which I want to highlight on China is that their inventories are fairly high even today. The inventories are close to 1.8 million tons, but it's been stable. Unless the stock levels come down, we cannot see the major impact flowing through to market. So, we will sort of highlight this inventory level in every quarter.
As of now, its pretty range bound as I highlighted. The Chinese prices while they do show an increase in dollar terms, but in the Renminbi terms they have remained more or less flat at about 1,250 renminbi or so per ton.
Ankur Periwal: Sure, sir. And just a follow -up there, there was an expectation that probably, the synthetic, the older plants in China may see a shutdown with this natural so rt of production increasing. Any updates, anything on that side or it's still the same capacity?
R. Mukundan: It's the same capacity, but they're running many of them are taking a maintenance closure and many of them are running at a lower utilization. But clearly what I would say is that the early signs are that we are beginning to see some movement, but it's not today of a number which is of a substantial nature to highlight .

So, I would certainly say that it is beginning and the numbers are also showing . We've also looked at the listed companies and their financial numbers. Their operating parameters are under financial stress.
Ankur Periwal: Sure, sir. And just lastly on our, the cash flow generation from the business. We have seen a sharp dip in operat ing cash flows, which is, in a way being led by the working capital decline as well sorry, increase as well. So, any thoughts there, how should one look at, the cash flow generation across the businesses or is there any one entity which is impacting, the o verall company's cash flows? So, your comments over there. Thank you.
R. Mukundan: fundamentally we have to ensure that we exit from unremunerative market which we have done. Barring for last quarter we did do one shipment to Southeast Asia which was unrem unerative because there was already a pre -existing contract. Other than that, we have now stopped it. So, we would only see this improve going forward.
And also, since we are focusing more on domestic and the proportion is mostly higher with domestic, you would also find that the working capital cycle improve and that should also release some cash.
Ankur Periwal: Sure, sir. That's helpful. That's it from my side. Thank you and all the best.
Moderator: Thank you. The next question i s from the line of Rohit Nagraj from 360 ONE Capital . Please go ahead.
Rohit Nagraj: Yes, thanks for the opportunity. So, first question is in terms of the increase in operating cost. Given that we are safeguarded from the inventory, but generally speaking increase in the fuel cost as well as the logistics cost, what would be the increase in opex across our four facilities given that if the new high -cost utilities come into play? Thank you.
R. Mukundan: I can't give a specific number. All I can say is that the logistics cost on the output side is mostly a pass -throug h for customers because they do as a part of the contractual arrangement which we have. Whereas the input cost increases , it is already transparently communicated to customers and passed on those increases. In all the un its it's been more or less been at par with what our cost increase has been, except in UK where I said because of the fluctuating gas prices we're not able to pin down, but on an average , it is fully passed on to the customers.
Rohit Nagraj: Sure. And seco nd question is you talked about multiple capacities getting in shutdowns or probably extended

shutdowns. Has this happened particula rly post the conflict or it happens before that? I mean just to get understanding about what all capacities have been shut o r how much capacity has been shut post confl ict and the earlier was I think it was not there in the system?
R. Mukundan: Yes, most of them had initiated this process pre -conflict. Conflict may have accelerated their

decision , because we are talking about a period in quarter where the conflict was and the

visible effect started to show itself towards the end of March. So really this was a pre -conflict issue. We are monitoring the situation, and we'll give the better update in terms of post -conflict what are the changes in the next quarter results call.

Rohit Nagraj: Thanks a lot and all the best.

Moderator: Thank you. The next question comes from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.

Arjun Khanna: Sure, thank you for taking my question. My first query is on our new capex plan. So we have enumerated almost INR 15 crores of additional capex . Could you help us with what kind of IRR we exp ect to generate on these four projects?

R. Mukundan: If you look at the capacity expansion which is immediate, which is INR 100 crores, will come on stream immediately in about 12 months to 14 months' time. T he return is expected to be in the upwards of 20%, which is our cut off and this is a debottlenecking on our current plant because we do believe with the current steam capacity we can produce more and the market needs more every year.

The precipitated silica plant is undergoing a review, detailed review in terms of various elements, but if this capex were to stay, this will be towards anywhere between 15% at the low end or 20% at the high end. The dense ash is actually repurposing of our existing plant , so bulk of the expenditure is on repurposing. This probably is going to be the least cost dense ash plant built anywhere. We would be exiting after the decision is taken from our cement business and will be using the same facilities to make dense ash. Valinokkam by the same token again i s in the range of 20%.

Arjun Khanna: Sir, just on the Valinokkam , if one looks at the intensity , it's capital intensity is 2x of that of Mithapur. So why would IRR be 20% unless the selling price is double?

R. Mukundan: The big issue which I want to highlight is in salt cost structure, production cost is one element, but the logistic cost is equally high.

Arjun Khanna: The freight, right.

R. Mukundan: Yes freight. S o what we will be saving in this is primarily freight in the Southern markets and we've mapped out the Southern markets which can take ea sily. So probably we will have a slightly higher capital cost will be offset by the savings in the logistic cost.

Arjun Khanna: Sure. And we generally sell this to a group company Tata Consumer. So in terms of our contracts, is it on a cost -plus bas is? I know in 2019 during the time of demerger we had mentioned, has there been any change in the agreement since then and what are we currently making on related party transactions?

R. Mukundan: No, all this is part of the same structure, and we are conti nuing to do exactly as it has been approved by the board and our arrangements remain the same. This has also been reviewed by the management of Tata Consumer, and which is one of the reasons we are going ahead with it.

Arjun Khanna: Sure. So just to unders tand, for the iodized salt we are looking at 15% to 20% IRR for these projects. Obviously, soda ash will be very remunerative. And just on the precipitated Silica Plant, so current HDS prices and if we look at various grades it seems to be at around INR 80 a kilo. So I don't get how you'd be making 15% to 20% margins. IRR on the Cuddalore facility ?
R.

Mukundan: See the big difference is that we are in South India and Silica is a very bulk commodity and logistic cost is extremely high. We are the only unit which will be in South, rest of the units are in Gujarat. There's a freight cost difference between them and we are supplying only to the t yre industry.

Arjun Khanna: Sure. Maybe I'll take this later. Just the follow -up and the last question is given that we have taken a write -down of goodwill in the US given soda ash prices, does that mean that logically we won't be undergoing any capex in the US market?

R. Mukundan: We had made it clear that our capex for the soda ash business is going to be only when the cycle returns and we are very clear about it. The capacity which we spoke about dense ash is a repurposing of the existing plant, other than that we have no other plans in terms of investment there.

Our investments are fundamentally focused on non -soda a sh businesses, which is bicarbonate, salt, bromine and various other chemicals. And that's what we're focusing because this is cycle is still not complete. Only when we get a very clear sign that the cycle is shifting is when we'll start investing.
Arjun K hanna: And our net debt ex -leases close to INR 6,000 crores. How do you see that play out over the next year? What capex’s do we have lined up for FY27?
Nandakumar T. : Around INR 1,300 crores capex for next year, Arjun. And next year we expect the debt to remain overall at similar levels because the pressure on the business is there for next year also. So we're expecting the debt to be more or less in the similar level as current y ear March ending 2026. It may not change too much from now .
Arjun Khanna: And what would we be spending this INR 1,300 crores on?
Nandakumar T. : See, mostly on maintenance capex we have in both Mithapur and US, plus some capex on Valinokkam and Silica, and some capex also for the Singapore Company we acquired recently. So broadly it is maintenance capex in all geographies, mainly Mithapur and US, and growth capex in South India and Singapore.

Arjun Khanna: Sure, fair. Thank you and wishing you all the best.
Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: Yes, good evening. Thank you so much, sir. Just two from my side. One is with regard to the valuation review that was conducted for the US operations. Did that cover the mining rights assets also that are part of the US books? I believ e those are fairly large amount .
Nandakumar T. : Yes, I talk about that. See, in the US GAAP, there's no mining rights, so there's only an India concept. There's only a goodwill in the US boo ks. So, mining rights only in India and the IFRS part here. So we only impa ired the goodwill and not the mining rights. So $208 million is the impairment of goodwill which is there. The mining rights rema ins intact. US GAAP there's no mining rights, it's only goodwill.
Abhijit Akella: Okay, but were these mining rights also assessed in terms of, the value of that they carry at this point in time
Nandakumar T. : Yes, they are intact. See, we value an entire business as a whole and then we see what the value worth is now . With the shortfall, first we knock off goodwill. So this $208 million is only goodwill, which means the mining righ ts are intact in the Ind AS books.
R. Mukundan : And we are depreciat ing the mining rights.
Nandakumar T. : Yes, over 100 years based upon the life. So we take a write -off every year 100 for last 10 years and going forward. That is the gradual drop in that based upon the mine life left over. So broadly that's the way we look at things here.
Abhijit Akella: Okay, got it. And just the other one on the silica plant at Cuddalore, the INR 775 crore s investment. So would it be possible to just help us with

the broad expected revenues and
maybe EBITDA from that project, the 50,000 t ons we are putting up?
Nandakumar T. : The next call we'll update you watching all of people. I thought very early stages now here, but we'll talk about more about them maybe in the Q1 quarterly call.
Abhijit Akella: Okay, but I mean 20% ROCE would mean something like say INR 150 crore s odd of earnings EBIT from that project. Would that be a fair assessment?
Nandakumar T. : We work out based upon those numbers and we will talk more about them maybe end of Q1. And the as sessment is done based upon a market view of what's going to happen. And if you look at this plant, there's no incremental fixed cost. It's the same plant only you're going to have there. So you go in the same location you're going to add more capacities. Therefore, the fixed cost would remain same.

So, you get an operating leverage there and therefore you'll be ending up earning more EBITDA per ton. That's the broad concept. It's not a greenfield, it's more like a within the same location adding more machi nes with the people being more or less constant.
R. Mukundan : So it’s broadly in the range, Abhijit .
Abhijit Akella: I see. I mean the INR 775 crores is all incremental capex, right?
Nandakumar T. : Yes.

Abhijit Akella: Okay, al l right. I'll take it offline. Thank you.
Moderator: Thank you. The next question is from the line of Aatur from ICICI Prudential Mutual Fund. Please go ahead.
Aatur : No, thanks. My questions have been answered. Thanks.
Moderator: Thank you. Our next question comes from the line of Saket Kapoor from Kapoor Company. Please go ahead. Saket , your line has been unmuted. Yes.
Saket Kapoor: Yes. Hello , sir. Hope I'm audible .
R. Mukundan: Yes.
Saket Kapoor: Yes, sir. Firstly, what are the signs of the incremental demand from the solar glass manufacturers? Particularly , some new capacities were anticipated to commercialize for the current financial year . And what's the outlook going ahead, especially from the solar glass? And then, sir, the update on the re -initiation of the anti -dump ing dut ies, what's the update on the same? This is my first question.
R. Mukundan: So the thing which is being investigated along with ADD is also safeguard duty, which will have quantity restriction. That's what the government is looking at rather than ju st put duty on, they also want to put the quantity restrictions in place. The second piece is on the solar glass. It's safe to assume that when the solar glass units are running, we would be anywhere between approximately 7,500 - 10,000 tons of demand eve ry month for the dense ash incrementally during the initial period. But we'll come back with the exact specific, how this demand is going to grow as each one of the units comes on stream.
Saket Kapoor: As per the program outlined by the solar glass manufacturer, what is the anticipated demand? Have you worked out a number on the same? the big updates are coming this year .
R. Mukundan: Which is the main reason we are doing this unit in the conversion of cement plant to dense ash plant is to cover that demand. We do expect at least 50% utilization as it comes on stream and the balance with the growth, which is why we are doing the repurposing of the cement unit.

Saket Kapoor: Okay , and sir, currently with the type of geopolitical scenario playing out and imported material hindrance, what kind of -- how are the imports being affected on a monthly basis from the other geographies into the country?
R. Mukundan: Yes, broadly one would say that anywhere between 70,000 ton to 80,000 ton / 1 lakh ton was the imports depending on which month you pick up, and that has reduced to half right now.
Saket Kapoor: Okay. And those are supporting the domestic volume

s and that is being supplied by the domestic players. That is how it is getting …
R. Mukundan: That is what has happened. There's the increased focus on the domestic players and we are supporting the Indian customers as well as we can from the domestic source. All the players are doing the same.
Saket Kapoor: And s ir, in terms of the flue gas are part of the story, how is the sodium bicarbonate demand currently shaping up and what are our utilization levels in terms of the same?
R. Mukundan: I won't have the exact number of how much percentage of our output goes the re. We increased our output from about 140,000 ton to 290,000 ton in India, which is fully sold out now. And with the increased production from power from coal -fired plants, this demand is going to continue to grow and it's the biggest buyer is of course NTPC and we do work with them very closely.
Saket Kapoor: Last point is on the freight and forwarding charges, sir. When we look at the standalone numbers, the volume increase is I think so from 2,15,000 metric ton to 2,22,000 metric ton , whereas the freig ht and forwarding charges have gone up from INR 148 crores to INR 166 crores . And similarly, the employee benefit costs have also risen significantly from INR 67 crores to INR 84 crores . So, what explains these two inflationary trends, sir?
R. Mukundan: So, the employee one is the year -end adjustments which we make , if you ideal ly take the full year number, which is INR 293 crores versus INR 313 crores on the employee side. On the freight side, you want to get back, Nandu?
Nand akumar T .: Yes, come back on that separately. I don't have the numbers offhand.
Saket Kapoor: Okay, so 10% increase , it is not 10%, sir, I think so it's a higher amount. INR 20 crores , yes, more that, sir. From INR 150 to INR 166 crores where the volume has not risen commensurate to that. So that was the reason for my question.
R. Mukundan: Okay.
Saket Kapoor: And sir, partly in the non -soda ash revenue, what are we including in this INR 6,000 crores revenue part? So, what is the major i tem that we have?

R. Mukundan: Everything other than soda ash, fundamentally bicarbonate, salt, silica, FOS, bromine, chlorine, cement, also Rallis, all that is included in this.
Saket Kapoor: Thank you, sir, and all the best to the team.
R. Mukundan: Than k you.
Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to R. Mukundan for closing comments. Over to you, sir.
R. Mukundan: Thank you for joining the call today. It's been a difficult quarter and a difficult operating environment, but what we are focused on is disciplined execution, strengthening the supply chain responsiveness, maintaining strict cost and cash flow discipline, reinforcing the portfolio action in terms of moving towards higher percentage of non -soda ash business.
These actions taken over the next few quarters will improve further the outcomes in terms of margin and profitability. Our commitment to customer serv ice and operational continuity, especially in the current times, remains the very focus. Our long -term value creation remains one of the key top agendas which we have for that. We have experienced team which is well - positioned to manage the current uncerta inties and continue deliver sustainable performance for all shareholders. Thank you and see you all for the Q1FY27 results call.
Moderator: Thank you. On behalf of Tata Chemicals Limited, that concludes this conference. Thank you all for joining us. You ma y now discon nect your lines.